

SUPERIOR COURT OF JUSTICE

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) Jack J. Fireman, Q.C. and Donald L.
) Granatstein, Q.C., for the Plaintiffs
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) David G. Boghosian, Sachin Persaud, and
) Catherine Virgo for the Defendants
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) **HEARD:** November 12-14, 17-20, 27-28,
) December 1-3, 8-12, 16-18, 2008, January
15, 23 and February 4, 2009

[2] In our system of justice, the personal losses arising from unfortunate events lie where they fall unless there is a legal basis for transferring responsibility for them to another person. In this lawsuit, Jessica Greenhalgh and her parents claim that the Township of Douro-Dummer caused her injuries by negligently failing to erect two “No Exit” signs at the intersection of

Rusaw Lane and County Road 40 and a checkerboard sign signalling the end of Rusaw Lane.¹ For the reasons set out in this judgment, I dismiss the claim. The Township was not negligent and the absence of road signs did not cause the events that led to Jessica Greenhalgh's injuries. Responsibility for the very unfortunate events of that night rests with Jessica Greenhalgh.

[3] In the first part of these reasons I address the liability issues, and in the second part the damage issues.

[4] There were many witnesses whose evidence will be referred to in these reasons. For convenience and not out of any disrespect, I have generally used the first names of the lay witnesses. Since there are two Jessicas, the plaintiff, Jessica Greenhalgh will be referred to as "Jessica G" and the witness Jessica Arthur will be referred to as "Jessica A". Robyn LaDuke is also Robyn Earnshaw, which is her married name.

The Liability Claim

[5] To succeed in a lawsuit for personal injuries, the plaintiff must prove, on a balance of probabilities:

- (a) injury to the plaintiff;
- (b) the existence of a duty of care owed by the defendant to the plaintiff;
- (c) the breach of the standard of care by the defendant;
- (d) the defendant's breach caused the plaintiff's injury; and
- (e) the injury must not be too remote a result of the defendant's conduct.²

[6] A plaintiff who proves that the defendant was negligent may be contributorily negligent; if this is established by the defendant on a balance of probabilities, the court may apportion the fault and the damages between the plaintiff and the defendant in the respective degrees of fault.³

¹ This action was originally brought by Jessica Greenhalgh and her parents, Gary and Eileen Greenhalgh, as claimants under the *Family Law Act*, R.S.O. 1990, c. F.3, and Robyn LaDuke, and her family members Lee, Diane and Aaron LaDuke suing as *Family Law Act* claimants. The defendants were the Township of Douro-Dummer and Henry Weidner, owner of property adjoining Rusaw Lane, a municipal road. As a result of pre-trial developments, Jessica and her parents remain as plaintiffs, and the Township of Douro-Dummer remains as a defendant. Robyn LaDuke explained that she "decided I did not need compensation" and "wanted to put it all behind me;" her parents influenced her to withdraw from the proceedings.

² A.M. Linden and B. Felthusen, *Canadian Tort Law*, 8th ed, (LexisNexis Canada, 2006) at 109.

³ *Negligence Act*, R.S.O. 1990, c. N.1.

The Plaintiffs' Position

[7] The opening statement of Mr. Granatstein concerning liability set out the claim:

The Greenhalghs are suing for damages resulting from an accident in which Jessica Greenhalgh lost both legs and eight fingers by reason of the failure of Douro-Dummer to erect "Dead End" or "No Exit" on Rusaw Lane.

The accident occurred on January 14, 2000, at about 9:00 p.m. J.G.[Jessica Greenhalgh] turned onto Rusaw Lane in the Township of D-D [Douro-Dummer]. She turned onto Rusaw Lane because she thought it went through to another Concession road. She thought it went through to another Concession road because there were no signs at the beginning of Rusaw Lane or at the end of Rusaw Lane indicating that it was a dead end road. As a result of the lack of warning signs, she drove onto private property where her car got lodged on a rock.

[8] Jessica G and Robyn eventually left the car. As a result of their midnight trek in freezing temperatures, they both suffered frostbite that led to amputations.

[9] In his closing argument on liability, Mr. Granatstein submitted:

The defendant [the Township of Douro-Dummer] breached its duty to warn Jessica Greenhalgh that Rusaw Lane ended by failing to erect Dead End/No Exit and checkerboard signs. This failure constitutes negligence and a breach of its statutory duty to keep the road in a state of repair. The defendant's negligence and breach of statutory duty caused the plaintiffs' injuries.

[10] In short, the plaintiffs say that if Rusaw Lane had been properly signed by the Township of Douro-Dummer, Jessica G and Robyn would not have gone down the road and would therefore not have suffered harm.

The Defendant's Position

[11] The defendant contests the factual elements of the liability claim and asserts that "the plaintiffs have not established that the absence of signage caused or contributed to the damages ultimately sustained" because:

- (a) Jessica G "knew Rusaw Lane was a dead end road";
- (b) Jessica G "intentionally drove on to a private lane off the end of Rusaw Lane knowing that she was doing so";

- (c) “In the alternative, she ought to have known that she was driving off Rusaw Lane onto a private lane but did not because she was intoxicated and/or high on drugs”; and
- (d) “She probably would not have noticed or heeded a “No Exit” sign or “dead end” sign even if one had been posted at the entrance of Rusaw Lane.”

The Live Issues on Liability

[12] Considering the elements of a lawsuit for personal injury, it is plain that Jessica G suffered personal injury. The contested liability issues are: 1) whether the defendant met the standard of care to keep Rusaw Lane in a reasonable state of repair; 2) whether the defendant’s breach of the standard of care caused Jessica G’s injury; 3) whether the damages are too remote; and 4) whether Jessica G was contributorily negligent. Each issue is addressed in turn.

Issue One: Did the Township of Douro-Dummer breach its duty to keep Rusaw Lane in a reasonable state of repair?

[13] The Township of Douro-Dummer owed a duty of care to Jessica G and other users of the road to keep Rusaw Lane in a reasonable state of repair, a duty that is set out in section 284(1) of the *Municipal Act*.⁴

284. (1) The council of the corporation that has jurisdiction over a highway or bridge shall keep it in a state of repair that is reasonable in light of all the circumstances, including the character and location of the highway or bridge.

(1.1) In case of default, the corporation, subject to the Negligence Act, is liable for all damages any person sustains because of the default.

...

(3) No action shall be brought against a corporation for the recovery of damages caused by the presence or absence or insufficiency of any wall, fence, guard rail, railing or barrier, or caused by or on account of any construction, obstruction or erection or any situation, arrangement, or disposition of any earth, rock, tree or other material or object adjacent to or in, along or upon any highway or any part thereof not within the traveled portion of such highway.

⁴ R.S.O. 1990 c.M.45, in force on January 14, 2000. Section 284 is now found in the *Municipal Act*, S.O. 2001, c.25, as section 44.

[14] To succeed on this issue, the plaintiffs must prove, on a balance of probabilities, that Rusaw Lane was in a state of non-repair and that the non-repair was the cause of the injuries in question. Once these requirements are met, the onus then shifts to the municipality to establish, on balance of probabilities, that the condition of non-repair existed despite the municipality's reasonable efforts to keep the road in repair.⁵

[15] Signage is an element of repair.⁶

[16] With respect to signage, in *Vokes v. Vokes*,⁷ McFarland J. adopted the following statement from *Galbiati v. Regina (City)*,⁸ concerning the applicable standard of care:

The general rule seems to be that, in the absence of a statute so providing, a municipality is not under a duty to the traveling public to place stop signs or other road signs or warning markers on the road or highway within the municipality except where there may be a danger or hazard of such a character that it is reasonable to require a notice of some kind to be given to bring that peril to the attention of those using the road. The exercise of any statutory or any other power or authority to erect such signs lies very largely within the realm of common sense and a prudent discretion on the part of the municipal council ...

[17] Although the issue in *Housen v. Nikolaisen*,⁹ was about permissible appellate review, the majority approved the obiter discussion of signage and the standard of repair in the dissenting reasons of Bastarache J:

.....it is clear that the mere existence of a hazard or danger does not in and of itself give rise to a duty on the part of the municipality to erect a sign. Even if a trial judge concludes on the facts that the conditions of the road do, in fact, present a hazard, he or she must still go on to assess whether that hazard would present a risk to the reasonable driver exercising ordinary care. The ordinary driver is often faced with inherently dangerous driving conditions. Motorists drive in icy or wet conditions. They drive at

⁵ See *Johnson v. Milton (Town)*, [2006] O.J. No. 3232, 25 M.P.L.R. (4th) 17 at para. 76 (Sup. Ct.), revrs'd on other grounds, [2008] O.J. No. 2157, 2008 ONCA 440(C.A.); *McMaster v. York Regional Municipality*, [1997] O.J. No. 3928, 42 M.P.L.R. (2d) 90; aff'd, [2000] O.J. No. 1404, 11 M.P.L.R. (3d) 7 (C.A.); leave to appeal dismissed, [2000] S.C.C.A. No. 305.; *Roycroft v. Kyte*, [1999] O.J. No. 296, 88 O.T.C. 81 at para. 48 (Gen. Div.).

⁶ *Ontario (Minister of Highways) v. Jennings*, [1966] S.C.R. 532; *Houser v. West Lincoln* [1983] O.J. No. 2178, 29 M.P.L.R. 55 (C.A.); *Mero v. Waterloo (Regional Municipality)*, [1992] 7 O.R. (3d) 102 at para. 5 (C.A.); *Roycroft v. Kyte*, *supra*, note 5 at paras. 41-44; *Johnson v. Milton (Town)*, *supra*, note 5 at para. 77.

⁷ [1988] O.J. No. 2556 at 10 (H.C.J.), appeal dismissed, [1991] O.J. No. 2718 (C.A.); leave to appeal dismissed, [1991] S.C.C.A. No. 347; [1991] S.C.C.A. No. 364.

⁸ [1972] 2 W.W.R. 40 at para. 5 (Sask. Q.B.).

⁹ [2002] 2 S.C.R. 235.

night on country roads that are not well lit. They are faced with obstacles such as snow ridges and potholes. These obstacles are often not in plain view, but are obscured or "hidden". Common sense dictates that motorists will, however, exercise a degree of caution when faced with dangerous driving conditions. A municipality is expected to provide extra cautionary measures only where the conditions of the road and the surrounding circumstances do not signal to the driver the possibility that a hazard is present.¹⁰

[18] What is an ordinary driver? Perfection is not required; the standard tolerates driver error. Shaughnessy J. added a note of practical importance in *Roycroft v. Kyte*,¹¹

In considering the statutory duty to maintain the roads under its jurisdiction, the issue arises whether the Town of East Gwillimbury can avoid liability on the ground that a sufficiently careful driver would not have been put at risk by the state of the road, including the absence of a warning sign. In other words, how far does the duty of the municipality extend? In the case of *Rider v. Rider* [1973] Q.B. 505 at pg. 514, the Court of Appeal, per Sachs L.J. stated:

Motorists who thus use the highway and to whom a duty is owed, are not to be expected by the authority all to be model drivers. Drivers in general are liable to make mistakes, including some rated as negligent by the Courts, without being merely for that reason stigmatized as unreasonable or abnormal drivers; some drivers may be inexperienced and some drivers may find themselves in difficulties from which the more adept could escape. The highway authority must provide not merely for model drivers, but for all the normal run of drivers to be found on their highways and that includes those who make mistakes which experience and common sense teaches us are likely to occur.

Lord Justice Laughton at page 518 of the same decision stated:

In my judgment highway authorities when performing their statutory duty to maintain their roads should keep in mind the driver who may take a corner too fast or may be slow to notice changes in road conditions. Such drivers form part of the traffic on our roads and it would be unrealistic for the highway authorities when deciding what standard of maintenance is necessary to forget

¹⁰ *Ibid.* at para 117. See also *MacMaster v. York (Municipality)*, *supra*, note 5.

¹¹ *Roycroft v. Kyte*, *supra*, note 5 at paras. 44 – 45.

their existence and to provide only for those who always use reasonable care - if such paragons of driving virtue are to be found.

[19] In order to apply the law, it is necessary to lay out the relevant facts on this issue.

Facts Relating to Roads in Douro-Dummer

[20] The Township of Douro-Dummer is located east of the City of Peterborough and north of Highway 7 in Peterborough County. According to David Clifford, the Chief Administrative Officer for the Township of Douro-Dummer, as of January 1, 1998, the population was about 6,500 residents. It is a rural municipality. The southern area is farmland, the northern one-third is marginal land and wilderness, and the north boundary is waterfront and is fully developed. The Township is 460 square kilometres in size and has 16 full-time employees and seasonal workers.

[21] Barry Tighe, the former roads superintendent for Douro-Dummer, testified that the Township has 265 kilometres of roads. Two-thirds of these roads are gravel. The rest are surface-treated hard top tar and chip roads. There is one section of paved road about 0.4 kilometres in length. County Road 40, which figures in the evidence, is a county road and the Township has no responsibility for constructing or maintaining it.

[22] Highway 7, which runs east/west in this area, is intersected in Norwood by County Road 40, which runs north/south. South of Norwood, Highway 7 becomes County Road 45, which proceeds south about nine kilometres to Hastings. East from Norwood about ten kilometres along Highway 7 lies Havelock, at the intersection of County Road 46, which proceeds north. Between County Road 40 and County Road 46 lie north/ south township concession roads, being Tenth Line and Eleventh Line Dummer, which are discontinuous, and Twelfth Line Dummer; all intersect with Highway 7. The distance between Havelock and Campbellford is about 18.7 kilometres.

[23] There are only three roads that run east from County Road 40. Webster Road is about 5.2 kilometres north of Highway 7. Mill Line Road is a little further north, about 6.76 kilometres north of Norwood; it is possible to drive from County Road 40 to County Road 46 through a series of public back roads from Mill Line Road, including the notorious "Beer Bottle Road" and Twelfth Line Dummer, to Havelock without using Highway 7. Rusaw Lane is about 13.1 kilometres to the north of Norwood, or about twice the distance of Mill Line Road. Mr. Tighe noted that "only Mill Line Road goes through eventually" and he added that "locals would know Mill Line Road is the only one that goes through."

[24] According to Mr Boghosian, who amended the trial evidence in argument without dispute, as of January 2000 there were 55 dead-end roads in Douro-Dummer, 26 of which were signed with a single No Exit sign and a dead end sign. Three had only a checkerboard sign. The remaining 26 dead-end roads were unsigned. Mr. Tighe said that if there was a hazard, the Township would place a sign. He defined a hazard to include a cliff, a lake, a drop-off, a body of water beyond the end of the road, and gave the example of South Beach Road on Clear Lake.

There had been no accidents at the end of the Rusaw Lane that would justify a checkerboard sign. The placement of signs was also done in response to complaints or requests by local residents, and there were none for Rusaw Lane.

[25] Rusaw Lane is a two lane gravel road about 1.4 kilometres in length. In 2000, there were eight houses on Rusaw Lane that accounted for about 20 trips per day in and out.

[26] According to the evidence of Dr. Patrick Robins, the defendant's human factors expert, Rusaw Lane proceeds for approximately 600 metres east from County Road 40 to a right hand jog at 90 degrees in the road followed 177 metres further on by a similar left hand jog, and the road then continues east. It culminates in a "turnaround", a "cul-de-sac" or a "wider area", depending on the witness giving evidence or counsel making submissions, which is about 55 feet across, large enough to permit snow ploughs to turn around. Just before the turnaround is an unmaintained township road heading north on the tenth concession line. There are two private single-lane laneways that run off of the eastern end of the turnaround. The photographs show an evident down slope from the turnaround to the laneways that a driver would notice. Local resident Keith Keating testified that the drop from the turnaround to the laneways is between six and ten feet. Local resident David Bonner testified that the laneways are clearly not a continuation of Rusaw Lane, which obviously ends at the turnaround. The photographic and the video evidence, including the night-time video, is consistent with this evidence.

[27] There is a sign that bears its name on the northeast corner of the entrance to Rusaw Lane. There are no other signs on the road. In particular, there are no "No Exit" signs at the intersection of Rusaw Lane and County Road 40, and no checkerboard sign signalling the end of Rusaw Lane.

The Expert Evidence on Roads and Signs

[28] Dr. Brian Allen is a professional engineer and spent many years on the Faculty of Engineering at McMaster University. He retired in 2001 and is associated with A.T. Traffic Safety Corporation, which is engaged in litigation support. Dr. Allen was qualified as an expert in roadway design, traffic control devices including signs, and safety standards. His evidence was led by the plaintiffs. He has always been a passionate advocate for the implementation of standards from the *Manual of Uniform Traffic Control Devices*¹² ("MUTCD").

[29] Brian Malone is a professional engineer and has worked in the transportation area since 1985. He has worked for municipalities, the Ministry of Transportation of Ontario and private industry. He has written a number of articles on traffic matters and teaches in the area. He was qualified as a traffic engineer and an expert in road signs. His evidence was led by the defendant.

The Standard of Care

¹² Ministry of Transportation of Ontario, (January 1995).

[30] The plaintiffs argue that the standard of care is set by the MUTCD, being the 1985 MUTCD standards as amended to January, 1995. They rely on two standards in particular. The first relates to the need for “No Exit” signs on a dead-end road. The second is the need for a checkerboard sign at the termination of a dead-end road.

[31] The general principle behind warning signs is the presence of hazards. Part A, section 3.01 entitled “Application of Warning Signs” provides:

Warning Signs, when used, shall indicate in advance conditions upon or adjacent to the highway that are potentially dangerous to the road user. Such conditions will normally require caution on the part of the driver and may necessitate a reduction in speed. Adequate Warning Signs are therefore a real assistance to the road user in terms of safety, and in expediting traffic flow.

A consistent level of warning on a particular roadway or within a jurisdiction is essential in meeting driver expectancies. Insufficient warning messages may leave the driver unprepared when encountering hazards. Oversigning or exaggeration may result in driver complacency. Misuse of Warning Signs in this manner will promote disrespect for these, as well as other, traffic control devices. Warning Sign messages should therefore be kept to a minimum and, when used, should accurately portray the degree of hazard.

[32] For the plaintiffs, Dr. Ian Noy was qualified as a human factors expert, and his evidence was aimed at showing the need for road signs on Rusaw Lane. The corresponding witness for the defendant was Dr. Robins.

[33] Dr. Noy’s evidence included the following from his report:

There were other cues, prior to entering onto to the Weidner property that might have alerted Ms. Greenhalgh to the fact that Rusaw Lane ended. These included the presence of the turning circle, the rather sharp turn at the entrance to the Weidner property, the signs that may have existed at the time, the narrowing of the roadway and the change in road surface. The presence of the turning circle should have signalled that there was something unusual about the road, especially given the rise in elevation at the end and the decline beyond. An experienced driver might have questioned whether the public road actually continued beyond the turning circle. However, an inexperienced driver who was convinced that the road would lead to a north/south arterial road might reasonably have expected that the public road did indeed

continue beyond the turning circle due to the absence of a warning sign to the contrary, e.g., a “Dead End” sign.

He concluded:

In sum, the visual cues that may have signalled the end of the road were not sufficiently strong to overcome Ms. Greenhalgh’s expectation that the road she was travelling would lead her to another country road.

[34] Dr. Robins gave evidence about a number of “no trespassing”, “private property” signs that he encountered and that, in his opinion, the women should have noticed. He relied on many of the same facts as Dr. Noy concerning the nature of the roadway and so on. He noted in his report:

...it appears quite unreasonable to have turned very sharply to the right and entered the Weidner property and believe it to be a continuation of Rusaw Lane.

...it would have been obvious to a prudent driver, especially at night time, that the road had ended. The gate posts, with or without the snow fence stretched fully across would have been a pretty clear indicator that they were entering a non-public property. Even a downed fence bunched up at one side ought to have been an adequate signal for the women that they were no longer on a public path.

[35] For the reasons set out later, I do not accept the basic assumptions in Dr. Noy’s report, those being that Jessica G and Robyn had an expectation that Rusaw Lane continued past the turnaround and that it would reach the 12th Concession. These assumptions also underlay Dr. Robins’ responding opinion. Neither Jessica G nor Robyn was under any such illusion.

[36] I give relatively little weight to the evidence of the human factors experts. To a large extent, they were informed advocates for their respective clients and testified on some of the very questions that I must decide. The amount of real expertise involved in their evidence was minimal.

[37] I find that there were no “conditions upon or adjacent to the highway that are potentially dangerous to the road user” at the end of or immediately beyond the end of Rusaw Lane that required an advanced warning.

“No Exit” signs

[38] The MUTCD requires “No Exit” signs at the entrance to a dead end road. Part A, section 3.38 entitled “ ‘NO EXIT’ Sign” provided:

The “No Exit” sign shall be used to warn motorists at the entrance to a side road that the roadway has no outlet.

The sign shall be conspicuously posted on both sides of the entrance, at an angle of 45° to the side road, so as to be easily seen by traffic approaching from either direction.

[39] Dr. Allen’s evidence was that the placement of such signs would allow a motorist traveling in either direction on the main roadway to know that the side road had no outlet before making turn into it:

The purpose of these signs is to inform drivers that upon entering the road, they cannot connect to another road, and that if they chose to use Rusaw Lane, for example, they will be forced to backtrack to County Road 40. So, for those drivers who are unfamiliar with the road, signs inform them, in advance, that the road is not a through road and will not provide a route to other public roads.

[40] The defendant’s traffic engineer, Mr. Malone, agreed that the purpose of a No Exit sign is to prevent inconvenience to a motorist of driving out of her way unnecessarily (no complaints were ever made to the Township in this regard) and to avoid potential danger for large vehicles if there is insufficient area to turn around at the end of a dead end road, a situation not present on Rusaw Lane given the wide turning circle at its end. He also pointed out that there are a number of exceptions even in the Ontario MUTCD to the posting of No Exit signs (for example, cul-de-sacs in suburban areas) and No Exit signs are treated as optional and informational only in both the Canadian MUTCD and the American MUTCD.

[41] The MUTCD directs the placement of a “No Exit” sign where a road has no outlet, which both traffic engineering experts agreed means a road that does not connect to another public road.

[42] In cross-examination, Dr. Allen admitted that Rusaw Lane was in fact connected to another public road, being the seasonal road running north along the 10th Line road allowance. This is a public road, even if it is not maintained by the Township, by the applicable definition: “roadway... in the context of these *standards* means any public assumed road *right-of-way*, intended for vehicular traffic. It refers not only to the traveled *road surface*, but to all *services* relevant to the *road* within the *right-of-way*.” (Emphasis in original) On this definition, Dr. Allen conceded that the 10th Line seasonal road was a roadway; since Rusaw Lane was therefore not a dead-end road, “No Exit” signs would have been misleading to a person unfamiliar with the

road. At the point in his cross-examination when he made this concession, late in the day, Dr. Allen, who is elderly, was quite tired and seemed a bit confused. I am not prepared to find that the MUTCD, properly interpreted in the context, does not require “No Exit” signs at the beginning of Rusaw Lane, given the purpose for the signs. My difficulty in part relates to the fact that in its Amended Statement of Defence the Township admitted that Rusaw Lane is a dead end road. No groundwork was laid for the withdrawal of this admission.

Checkerboard Signs

[43] Part A, section 3.15 of the MUTCD, relating to checkerboard signs, provided in part:

The Checkerboard sign (Wa -8) shall be used to warn motorists of the termination of a highway where, at the terminal point the driver can proceed neither straight ahead nor to the left or right. This checkerboard sign shall consist of black and yellow squares over the entire surface of the sign.

[44] Dr. Allen was invited to interpret this language in a way that would suggest that so long as there was even a private means of exit from the turnaround at the end of Rusaw Lane, this standard would not apply. Dr. Allen’s interpretation, which I accept, is that the standard refers to public roads only. In other words, the right way to read the standard is as follows: “The Checkerboard sign shall be used to warn motorists of the termination of a highway where, at the terminal point a driver can proceed neither straight ahead nor to the left or right,” over a highway. The additional underlined words are, in Dr. Allen’s view, implicit. I agree.

[45] According to Part A, section 3.15 of the MUTCD, “(a)ll Checkerboard signs shall be located directly in line with the path of the approaching vehicles. Checkerboard signs shall be located: on the side of the crossroads remote to the approaching vehicle at “T” intersections; at points of abrupt changes in alignment; or at the terminal point of a roadway.” On Rusaw Lane, the appropriate spot for the placement of a Checkerboard sign would be at the location on the turnaround where the eastbound lane terminated.

[46] I therefore find that the Ontario MUTCD standards do require both “No Exit” signs and a checkerboard sign on Rusaw Lane.

Did the Township Adopt the MUTCD Standards?

[47] The plaintiffs submit that the Township adopted the MUTCD standards and should be held to them. The Township of Douro-Dummer passed By-Law No. 47-1996, which provides:

- (2) That all operational activities of the municipal road department be directed to provide the desired roadway services as herein described where care is taken first to assure that the minimum standards are maintained, and second that such services are efficiently and effectively rendered.

- (5) That where situations arise or applications be made which fall outside the scope of these standards, the road superintendent shall respond as he/she may deem to be appropriate, with respect to budgetary constraint and reasonable practice.
- (6) That the budgets and Council priorities shall be set on the basis of provision of roadway services to desirable standards, and that where fiscal constraints are applied such desirable standards shall be redefined.

[48] The by-law attached as a schedule a roadway classification system and a set of standards. Schedule A, section 3.5 relates to safety devices:

There is an obligation for the road authority to provide traffic control and safety devices on its roads according to this standard and other adopted design standards. All safety devices, when in the jurisdiction of the road authority, should be installed in accordance with the standards prescribed in the Manual of Uniform Traffic Control Devices, and good practice. (Underlined emphasis added)

[49] Dr. Allen refused to concede that this language allowed the municipality to adopt other design standards. He viewed the MUTCD standards as a minimum. I do not accept his interpretation on either point.

[50] The defendant denies that the by-law adopts the Ontario MUTCD standards or makes them mandatorily applicable to all roads in the Township and makes three arguments. First, the schedule to the by-law does not indicate whether it is referring to the Ontario MUTCD, the Canadian MUTCD or the American MUTCD, all of which are slightly different. I reject this argument. Dr. Allen noted that the language of the by-law was virtually identical to the language in document entitled “A Guide for the Development of Policy for Roadway Service Standards for Municipal Roads in Ontario”¹³ (“RSS”). Page 32 of the RSS sets out language that is found in the by-law. Dr. Allen infers that the by-law language came from the RSS, and his inference seems reasonable. It is plain that the municipality had the Ontario MUTCD in mind in enacting the by-law.

[51] Second, the defendant argues that the basic interpretation of Section 3.5 of the Schedule to the By-Law is that it refers to the standards of installation in the MUTCD, but not to the standards themselves when it says: “All safety devices, when in the jurisdiction of the road authority, should be installed in accordance with the standard prescribed in the ...[emphasis added].” In Mr. Malone’s opinion, these installation features include the size of sign, the lettering, the colouring, the location and so on. The sentence seems to imply that only the installation standards in the MUTCD are mandatory but not the standards requiring the installation. I observe that the drafting is not the best and the provision is ambiguous.

¹³ Ontario Good Roads Association, (February, 1995).

[52] Third, and most importantly, the defendant argues that the Township did not understand itself to be adopting the Ontario MUTCD sign standards as mandatorily applicable to all roads in the municipality. The best evidence, in fact, is that the Township has not complied with the standard. Mr. Tighe, Mr. Clifford and Reeve Jones, all testified to their understanding that the by-law did not require the installation of all the signs required by the MUTCD, that the MUTCD was a guideline, that budgetary constraints were relevant and to be considered in determining whether to post signs, and that other factors, such as actual hazards on a particular road and the presence of complains, could be considered. They testified that the lack of signage on Rusaw Lane was reasonable in light of the realities of the Township's road system and its economic circumstances.

[53] The evidence of Township's Chief Administrative Officer, Dave Clifford, is that the population of the Township is predominantly blue-collar and there was a limited property tax base (greater than 96% residential) with little scope for significant property tax and therefore budget increases. Provincial government subsidy increases are beyond the Township's control. In terms of setting departmental budgets such as the Roads Department's budget each year, there was similarly little scope for significant increases. The annual budget was typically set based on the previous year's budget with requests for increased funding in years where equipment purchases or major road reconstruction was required.

[54] The Township's Roads Manager at the time, Mr. Tighe, testified that the safety devices (including signs as well as roadside safety devices like guardrails) budget was similarly static other than in years where an extraordinary expenditure was required, such as to install 911 road signs and house numbers and to replace old stop signs with retro-reflective stop signs as mandated by a new provincial regulation.

[55] Mr. Tighe testified that 90% of his budget was used to maintain and replace existing signage (consistent with Mr. Malone's evidence about his experience as the Traffic Engineer with the City of Hamilton) and the remaining 10% was used to post new signs he deemed to be important for the safety of the motoring public, such as curve warning signs and stop signs. Mr. Tighe testified that the Township experienced a high level of damage and vandalism to its existing signs, particularly in remote areas with long dead end roads. Even if he had more funding for the Roads Department, he would have committed it to higher priorities from a safety standpoint, such as increased grading of road surfaces and posting of critical signs such as curve warning signs on higher traffic roads, rather than for posting "No Exit" and checkerboard signs on low volume, dead end roads. Mr. Tighe testified that Rusaw Lane would not have been a priority for posting "No Exit" and "checkerboard" signs compared to other dead-end roads in the Township.

[56] In order to properly sign all dead end roads in the Township, as of January 2000, it would cost in the order of \$21,800.00, representing the entire "safety device" budget for the Township for a typical 5 year period or a 4% property tax increase in any given year, not including the ongoing cost of maintaining such signs.

[57] Mr. Clifford testified that, based on his three decades of service as the Chief Administrative Officer of the Township and its predecessor, in his opinion their Councils would not have approved an increase to the Roads Department budget to post signs on all of the dead end roads that were unsigned, and that Mr. Tighe likely would have found himself out of a job if he had pushed such a proposal given the many other higher priorities that the Township could not afford, both in terms of its roads as well as other departments' needs.

[58] Dr. Allen rejected the idea that a municipality's obligation to comply with the standards should depend on "budgetary considerations." The concern of the MUTCD for consistency of application of the standards was an overriding policy consideration for him. If the warrant is met, the sign must be put up. This has been his position for decades respecting signage in accordance with MUTCD standards.

[59] He insisted further that the standards should apply both to rural townships like Douro-Dummer and to major municipalities. If the warrant for the safety device exists, then the sign must be placed. If the municipality is maintaining a road as an open road then compliance is required. If there is a hazardous condition then the warrant must be met regardless of the class of road. According to Dr. Allen, the standard has equal application across the board.

[60] I conclude that the Township did not adopt the MUTCD standards in the way Dr. Allen advocates for. I accept the evidence of the Township's witnesses that the standards were accepted as no more than guidelines. Perhaps they were aspirational, but they were no more than that. Even if the Town had adopted them, the plaintiff must still establish in accordance with the cases that the MUTCD standards represent the applicable standard of care.

[61] Regarding the reasonableness of a municipality's efforts to keep a road in a state of repair, budgetary realities are valid considerations in adopting a lower standard of repair than might otherwise be the case.¹⁴

[62] The reluctance of the courts to prescribe standards has been matched by the provincial government. Dr. Allen admitted that there is no statute or regulation that makes the MUTCD standards legally enforceable. He also agreed that the *Highway Traffic Act*¹⁵ and the regulation dealing with the maintenance of minimum standards, O Reg. 238/02,¹⁶ do make certain elements of the MUTCD mandatory, including, for example, stop signs. He admitted that neither requires the posting of "No Exit" or checkerboard signs. Nonetheless, Dr. Allen rejected the idea that the MUTCD standards are "guidelines". They are, he insisted, the standard.

¹⁴ *Gaultier v. South Norfolk*, [1972] 1 W.W.R. 258 at paras. 39-41 (Man. Q.B.); *Oser v. Nelson (City)*, [1997] B.C.J. No. 2809, 44 M.P.L.R. (2d) 231 at paras. 8 and 11 (B.C.S.C.); *Secombe v. Edmonton (City)*, [2000] A.J. No. 1173, 2000 ABCA 274 at para. 2.

¹⁵ R.S.O. 1990, c. H.8.

¹⁶ "Minimum Maintenance Standards for Municipal Highways", *Municipal Act*, 2001, O.Reg. 239/02.

[63] The evidence demonstrates conclusively, however, that municipalities in Ontario do not comply with the MUTCD standards. This is evident from the survey prepared by Dr. Allen even though it is unreliable. The plaintiffs' surveying expert, Marilyn Sandler, essentially says as much in her report (Exhibit 1), in which she noted that the survey sample was small, subjective, the response rate just "fair" and self-selecting (meaning that the respondents tend to be those that are in compliance with asserted standards about which they are being questioned). She specifically noted that it was impossible to assign any margin of error to it. The response rate of only 46 of 171 municipalities surveyed and the fact that the 171 surveyed represents only a fraction of the total number of municipalities in Ontario at the time further reduces its reliability.

[64] What the Allen survey indicates is that with respect to "No Exit" signs, 18% of the municipalities who responded indicated that they did not post any signage on all of their no outlet roads and 96% did not comply with the Ontario MUTCD requirement of posting 2 "No Exit" signs at the entrance to such roads. In terms of checkerboard signs, 41% of the responding municipalities did not post checkerboards at the end of some or all of their no outlet roads. These results do not demonstrate a prevailing standard of care in Ontario of signing all no outlet roads. According to Allen's survey, only 56% of municipalities stated that they even followed the Ontario MUTCD at all, as opposed to the Canadian MUTCD (in which cul-de-sac signs are optional) or some other signage manual.

[65] Dr. Allen's survey concerning signing dead end roads contained comments from municipalities that both signed and did not sign such roads concerning the reasonableness of the MUTCD requirements (Exhibit 22, pp. 3). Those comments included that the signage requirements were too onerous in light of the expense of posting and maintaining such signage on low traffic roads and that discretion had to be exercised based on the extent of the use of the road and whether there was a hazardous condition at the end of the road, the same factors upon which the Township based its decisions whether to sign no outlet roads. Despite his evidence in chief, in cross examination Dr. Allen agreed that, notwithstanding the mandatory language in the MUTCD, such budgetary and other practical considerations were appropriate and reasonable bases for not complying with the Ontario MUTCD signage requirements regarding dead end roads. Given the established existence of such constraints in the case of Douro-Dummer, coupled with the absence of any danger at the end of or just beyond the end of Rusaw Lane, I find that the Township's decision not to sign Rusaw Lane with "No Exit" and checkerboard signs was reasonable.

[66] While in some contexts the MUTCD might inform the standard of care, it is of little assistance here, even with the Township's By-law 47-1996, in determining whether civil liability for non-repair of Rusaw Lane should be imposed pursuant to Section 284 of the *Municipal Act*.

[67] As stated by the Supreme Court of Canada in *Housen v. Nikolaisen*¹⁷ and by the Ontario Court of Appeal in *Vokes v. Vokes*,¹⁸ the focus of the inquiry under Section 284 of the *Municipal Act*, with respect to the Township's potential civil liability, is whether a danger or hazard of such

¹⁷ *Housen v. Nikolaisen*, *supra*, note 9.

¹⁸ *Vokes v. Vokes*, *supra*, note 7.

character existed about which it is reasonable to require notice. As indicated in the *Galbiati* case,¹⁹ cited with approval in *Vokes v. Vokes*, the decision whether to erect signage in a particular location is within the discretion of the road authority, and should not lightly be second-guessed by this court.

[68] I am not prepared to find that the MUTCD standard should apply as a matter of law in the specific circumstances of Rusaw Lane; given its low traffic load and the absence of hazardous conditions on or near the road; a judicial decision effectively imposing the MUTCD standard as the enforceable standard of care would amount to a form of judicial legislation with wider fiscal and other ramifications, since very few Ontario roads could escape if Rusaw Lane could not. This is not a proper case in which to accept Mr. Fireman's invitation to innovate consistent "with the modern goal of tort law of encouraging care and vigilance"²⁰ and to "ensure that standards do not remain static but move ahead."²¹

[69] I therefore conclude that the Township of Douro-Dummer did not breach the applicable standard of care by not posting signs on Rusaw Lane.

Issue Two: Did the Township of Douro-Dummer's breach of the standard of care cause Jessica G's injury?

[70] Despite the conclusion in the preceding paragraph, in this section of the judgment I assess whether, assuming that the defendant breached the standard of care, the breach caused Jessica G's injury.

Legal Causation

[71] As noted in *Roycroft v. Kyte*,²² the plaintiff must establish, on the balance of probabilities, that the defendant's negligence caused the injury. Cause in fact and cause in law are not necessarily the same thing.²³ The "but for" test determines legal causation.²⁴ McLachlin C.J.C. said in *Resurface Corp v. Hanke*: "The plaintiff bears the burden of showing that 'but for' the negligent act or omission of each defendant, the injury would not have occurred....The 'but for' test recognizes that compensation for negligent conduct should only be made 'where a substantial connection between the injury and defendant's conduct' is present."²⁵ I discuss in the next section of the judgment whether Jessica G's injuries were a "reasonably foreseeable" consequence of the breach or whether the breach was too "remote" to be the compensable "proximate cause" of the injuries.

¹⁹ *Galbiati v. Regina (City)*, *supra*, note 8.

²⁰ *Ingles v. Tutkaluk Construction Ltd.* [2000] 1 S.C.R. 298 at para 51.

²¹ Lewis N. Klar, *Tort Law*, 3rd ed., (Scarborough, ON: Carswell, 2003) at 16.

²² *Roycroft v. Kyte*, *supra*, note 5 at para 48

²³ *Mustapha v. Culligan of Canada Ltd.*, [2008] 2 S.C.R. 114, 2008 SCC 27 at para 11.

²⁴ *Resurface Corp v. Hanke*, [2007] S.C.J. No. 7, 2007 SCC 7 at paras 21-23.

²⁵ *Ibid.* at paras. 21 and 23.

Facts Related to Causation

[72] Many of the basic facts are relatively undisputed. A number are strongly disputed. There were many witnesses whose evidence sometimes agreed, sometimes differed slightly, or sometimes directly conflicted. In this section of the reasons I set out the evidence of the witnesses. In the next section I set out the sequence of events that I have found, after carefully considering the evidence, to have been most likely and reach conclusions on the specific issues relevant to liability.

The Witnesses

[73] Before assessing the respective factual claims of the plaintiffs and the defendant, it is necessary to set the evidentiary context. On January 14, 2000, the plaintiff, Jessica G, was eighteen years old; Robyn was twenty years old; the witness Nicole Moffatt was about nineteen years old; the witness Jessica Arthur was about twenty-one years old; the witness Randy McIlmoyle was about twenty-one years old; and the witness David Hollings was nineteen years old. This group of individuals had attended high school together and were part of a larger social group.

[74] Jessica G was a very difficult and reluctant witness. She was angry and recalcitrant both in examination-in-chief, and in cross-examination. She left the courtroom abruptly on three occasions as a result of her evident distress at having to testify. Both her examination in chief and her cross-examination were truncated by counsel as a result of which an accommodation was reached regarding the use of discovery transcripts. Her demeanour likely contributed to a decision not to call her in reply, but instead to call Robyn LaDuke, who perforce testified in chief as the main witness for the plaintiffs and again in reply. For that reason I begin with a review of Robyn's evidence.

The First Evidence of Robyn LaDuke

[75] Robyn is now married to Mike Earnshaw. They live together with their daughter in Norwood. Robyn works at a nursing home in Peterborough.

[76] She has stayed in touch with Jessica G over the years and was last in contact with her over a year ago when Jessica G went to Alberta.

[77] In January 2000 Robyn lived with her mother and brother in Norwood while Jessica G lived up the road along Highway 7 in Havelock with her Aunt Catherine.

[78] Jessica G and Robyn made plans to go to Randy McIlmoyle's house for dinner on January 14, 2000. It was about a 20 minute drive in Jessica G's car. They arrived about 3:00 p.m. Randy's roommate Nathan Rutherford was there. This was the first time she had met Nathan. No one else was there.

[79] Robyn said there was a six pack of beer and a bottle of red wine. She described herself at the time as a “social drinker”. If she went out on a weekend, she would have a couple of drinks but not every weekend. She specifically denied drug use at the time. During dinner she believes she consumed one to two bottles of beer at most and a glass of red wine. Jessica G and Nathan also had one to two bottles each. Randy was a non-drinker because his mother was an alcoholic.

[80] They left Randy’s house about 7:00 p.m. Robyn cannot recall what was in the car, but did not notice beer or wine bottles and did not hear any clanking of bottles.

[81] After a drive of about 20 minutes they arrived at Curtis King’s apartment. She recalled that Curtis was there along with Sean Barr and some others. She did not recall seeing Nicole Moffatt there. They did not drink while they were there. They were there for about half an hour and then left when the others went off to a hockey game. She did not want to go to the rink “to stand in the cold”.

[82] The two decided to “drive around” with the intention of meeting up with the group who had gone to the hockey game sometime later. Robyn felt safe in the car at the time; Jessica G did not show signs of intoxication.

[83] Robyn and Jessica G left Curtis’s apartment around 8 p.m. and went north to John and Ann Marie Poole’s house north of Norwood. She believed that it was about a 5 minute drive. No one was there when they arrived.

[84] After leaving Poole’s house, they went south in the direction of Norwood and turned onto Rusaw Lane. Robyn did not recall why, but then she said: “Um, we may have thought it would go over to the – the next line – the Twelfth Line.”

[85] Once on Rusaw Lane, it took a couple of minutes to get to where the roadway narrowed to a single lane. Robyn testified that she had never been on Rusaw Lane before and that until that time she did not know that Rusaw Lane was a dead end. She did not believe that Jessica had ever been on Rusaw Lane before or knew that it was a dead end.

[86] Robyn recalled “possibly” calling her brother Aaron on the cell phone “just to find out what he was doing, maybe”, “because you, of course, had nothing to do for quite a while?” “Exactly.”

[87] Once they got to the single lane, they did not see a gate, or fence blocking the road or on to one side of the road. They eventually realized that the road was private; that would have been a couple of minutes along, and “we were too far in just to reverse out”. They looked for a place to turn around but did not notice any clearing before they arrived at the hydro right-of-way. On the right-of-way, Jessica G did try to turn around and was one quarter of the way into a turn moving to the left of the area when she hit the rock.

[88] Robyn called Aaron to tell him they were stuck. She was able to tell him that but not to provide him with directions before the cell phone battery died.

[89] Robyn and Jessica G then decided to walk back the way that they drove in. It was dark. There was no moon. There was no sound of cars. At the time Robyn was wearing a winter jacket, jeans and black boots. She cannot recall what Jessica G was wearing, but before they left Jessica G put on a heavy wool sweater that was in the car. They spent the night in the bush.

[90] In the morning, they were picked up by Joel Thomas and taken to the Campbellford Hospital. In the intake form of the Campbellford Hospital it was noted that Robyn said that she had consumed alcohol between 3:00 p.m. and 6:00 p.m. the previous evening.

[91] They were soon moved to the Kingston Hospital where Robyn stayed for a couple of months. She had frost bite on her toes and the tops of her feet; both of her big toes were amputated and the one beside the big toe on her right foot. She also had four partial amputations on the toes of her left foot. There were skin grafts on the tops of her feet.

[92] Robyn described Jessica G before the accident as being happy. She had a good social life and boyfriends before the accident. She had the intention of pursuing post-secondary school, getting married and having children. Post-accident Jessica G is not the same, but is more moody, withdrawn and not quite as social.

[93] In cross-examination Robyn admitted that she was “pretty close friends” with Jessica G in 2000 and that they did a lot together. They spent time in the hospital and “bonded”. Later they went to Centennial College together and were roommates until Jessica G dropped out. They are no longer that close. Nonetheless, Robyn said that she cares for Jessica and “for the suffering and the losses that she has gone through”, but asserted that her feelings did not affect her evidence.

[94] In 2000 Jessica G often liked to socialize and that “often involved going to people’s houses and going to parties”, which would “typically involve consumption of alcohol...and occasionally drugs”. Robyn denied partaking in drugs but admitted smoking pot in high school and possibly smoking it in January of 2000. She was defensive about drug use and was reluctant to admit that Jessica would drink and consume drugs, suggesting that the cross-examiner question Jessica G on those issues because “I don’t remember”.

[95] In cross-examination, Robyn admitted that Jessica G and Mike Earnshaw were caught smoking pot in the dorm room at Centennial College. Robyn was not there but was in another room down the hall. She and Jessica had to do some “community service time”.

[96] Robyn confirmed her relationship with Jessica Arthur who is her cousin and best friend. She trusts Jessica A and considers her to be honest and upstanding. They were not friends for three to four years, but are very close now. She was to be Jessica A’s matron of honour at her upcoming wedding.

[97] Mr. Boghosian put Jessica A's anticipated evidence concerning back road tours in the period leading up to January 2000 to Robyn. She responded that she had been involved in back road tours: "Possibly. I don't know". She specifically denied participating in "back road tours, [which] would involve a weekend night like a Friday night where you'd drive the back roads and find somewhere, either an abandoned house or a place to park on a private lane and consume alcohol and drugs". She denied parking on roads like "Beer Bottle Road." In response to a question on whether "it is possible", she said "I don't know".

[98] Robyn was pressed on whether she had been on Rusaw Lane before and she denied it. She was asked whether she had "gone up Rusaw Lane and gone off on one of the trails that went off the property – off the road and you turned around because it was bumpy and rocky". She denied this.

[99] Robyn did admit, however, that she had noticed Rusaw Lane and the sign prior to the evening in question and that she had been up County Road 40 numerous times.

[100] In response to a question about John Poole, she admitted that he was older although "he hangs out with the younger crowd". When asked "Were you aware that John Poole sold drugs?" She responded "I've heard that." Robyn denied, however, that she and Jessica G were going to Poole's house that evening to buy drugs. She admitted that it was possible that she had bought drugs from him before.

[101] Robyn admitted that she had gone up a road called the Tenth Line to what others referred to as "the haunted house". Jessica G, Jessica A, Nicole and Robyn would go to the house occasionally and she admitted that it was possible that they would "consume alcohol and drugs" there.

[102] Robyn denied bringing alcohol to Randy's house and denied specifically bringing a twenty-four case of beer and gin coolers. When pressed, she reiterated her previous testimony about the six pack of beer and the wine and indicated "that's what my statement says from the time."

[103] They left Randy's house at about 7:00 p.m. and arrived at Curtis's apartment at about 7:30 p.m. staying until about 8:00 p.m. The hockey game was in Norwood and the plan was to join Curtis back at his place later that evening. There was no reason for them to go to Havelock that evening. It took about 5 to 7 minutes to drive from Curtis's home to Poole's house. She does not believe they pulled into Poole's driveway because it was clear from the roadway that no one was home. They then drove south on County Road 40.

[104] In response to close questioning Robyn reiterated that "we just – we thought that it would connect up, that Rusaw Lane would connect up with the Twelfth Line...I believe that that was where we tried to go was just over to the Twelfth Line to kill some time and drive around". The following exchange occurred:

Q. You don't know why you were on Rusaw Lane that night and where you were planning on going?

A. We were drivin' around. That's correct.

Q. So you may have just turned on Rusaw Lane for – just to kill some time, to see where it went?

A. That's what I said, yah, we thought it went over to the Twelfth Line.

[105] Poole's house is a minute north of Rusaw Lane. It took a couple of minutes to go down Rusaw Lane to the point where it narrowed. It took a couple more minutes to get from the point where the road narrowed to the point where the car got stuck.

[106] In reviewing the drive down the Weidner Laneway the following exchange occurred:

Q. Okay. And I take it driving along this trail, you're claiming that you and Jessica had no concern at all?

A. That's right.

Q. Did this trail seem safe to you?

A. Yes.

[107] Robyn corroborates Jessica G's evidence concerning the sequence of telephone calls. It was possible that there was an earlier social call to Aaron and that the later call was cut off when the battery died.

[108] In cross-examination Mr. Boghosian took Robyn through a timing exercise. If all of the events had happen sequentially, the car would have been disabled about 8:15 p.m. with the first call being made at 21:40 p.m., about one hour and twenty-five minutes later, and the last call at 21:53 p.m. or about an hour and thirty-eight minutes later. Regardless of the exact sequence of events, Robyn was unable to explain what she and Jessica G were doing for more than an hour that evening.

[109] She specifically denied drinking in the car between the time they left Curtis' house and the time that they started walking.

[110] Mr. Granatstein suggested in his opening address that Jessica G and Robyn were perhaps confused and thought that they were on Mill Line Road. The following exchange shows that there was no mistake:

Q. Now, you knew when you turned off County Road 40, made that left hand turn that you were going onto Rusaw Lane, I take it?

A. Ah, yes.

Q. And you knew that it's Mill Line Road and not Rusaw Lane that took you to Beer Bottle Road?

A. That's right.

[111] Robyn knew that Mill Line Road is south of Rusaw Lane. She had been on Mill Line Road a number of times as well as Beer Bottle Road. She did not recall having been in a car parked on Beer Bottle Road for the purpose of drinking.

[112] She denied having been on Rusaw Lane before, but admitted that no one else had told her that the road went through to Twelfth Line. This was "just a guess."

[113] She was then asked:

Q. Why is it that instead of taking the road you knew went through to the Twelfth Line that would get to where you wanted to go, that you took Rusaw Lane where you didn't have a clue whether it would go through or not?

A. For something different, I guess. I don't know.

[114] Mr. Boghosian took Robyn through the photographs of the Weidner laneway. Robyn was completely unable to answer questions about any of them saying, generally, "I don't remember."

[115] I recount Robyn's evidence in reply below.

The Evidence of Jessica G

[116] In her evidence at trial, Jessica G testified that she had not had anything to drink before arriving at Randy's apartment. She did not, in her evidence-in-chief, recall if she had anything to drink while there, but testified that she was not intoxicated when she left, nor was Robyn.

[117] In cross-examination at trial Jessica G testified that she did not bring alcohol to the dinner at Randy's place. When asked whether she drank while there, she said "I don't think so, no." When pressed, she was prepared to admit to a beer. She did not recall wine with dinner.

[118] When pressed, she also admitted that it was possible that there was alcohol in her car and it was also possible that it could have been purchased that day. She was asked whether she

might have taken a case of beer and some gin beverages to Randy's house and responded "maybe, yeah. I don't know."

[119] Jessica G's discovery evidence in 2002 was that after dinner at Randy's place, she and Robyn drove to Curtis King's apartment on the west side of Norwood.²⁶ The trip from Randy's house to Curtis's apartment would have taken about 45 minutes and it was possible that they left Randy's house at about 7:00 p.m. They arrived about 8:00 p.m. and found that Curtis was "just leaving", "everyone was gone--was going to a hockey game". She denied going into Curtis's apartment.

[120] At trial, however, Jessica G testified that she and Robyn went to Curtis King's apartment and there were people there. Jessica G did not recall the time at which they left Randy's house, but was reminded that in earlier evidence she had testified that it was 8:00 p.m. and that she stayed at Curtis's apartment for 15 minutes. She then confirmed that evidence. She admitted entering Curtis's apartment.

[121] The contradiction between her evidence at discovery and her evidence at trial was then put to her and she then affirmed her discovery evidence that they did not go into Curtis's apartment. The evidence of the other witnesses leads me to conclude that Jessica G and Robyn did enter the apartment that evening.

[122] When the group was breaking up to go to the hockey game, she and Robyn left and started driving with "no destination" in mind.

[123] Jessica G's evidence was that they then went to John Poole's house on County Road 40 where they had been before. He was not her friend, but could have been Robyn's friend. When asked why she went to the house, she said "I don't know" and then said that it might have been to see his wife and children. She did not recall whether Poole's house was north or south of Rusaw Lane. In previous evidence, Jessica G had testified that she was at John Poole's house between 8:30 and 8:45 p.m. and confirmed the evidence at trial. It appears from the evidence of other witnesses that Poole was a local drug dealer, so the reason why they went to his house is self-evident. Jessica G prevaricated on this evidence.

[124] Jessica G and Robyn then decided that they wanted to get to Havelock by a side road. She was not familiar with all of them, but was in particular looking for the Mill Line Road which turns into "Beer Bottle Road."

[125] She testified in chief that she had not been on Rusaw Lane before. Her evidence was that Rusaw Lane changed and became narrower "at some point". She saw no signs telling her not to enter, and no fence or gate across the road. She testified that she realized that the road did

²⁶ Jessica G was examined for discovery in this action on June 5, 2002, and slightly earlier in an accident benefits action on May 15, 2002. By agreement of counsel read-ins from the transcripts of both discoveries were permitted for the purpose of this trial.

not go through to the Twelfth Line, but did not recall when. She could not provide a reason for not trying to turn around before the car got stuck.

[126] At her discovery on May 15, 2002, read in at trial, she testified that she was going down Rusaw Lane “for a drive”:

Q. To drive where?

A. We thought that it might end up to a different road.

Q. Which road was that?

A. I wasn’t sure which road. The Twelfth Line, I think.

Q. Did you have a destination in mind?

A. No.

[127] She concluded by saying that they might have been looking for “other people at a different house, yes, but I am not too sure.” She admitted at trial that it was possible that they had turned onto Rusaw Lane because they were looking for a house on that street and that she had previously told her mother that, but now cannot recall the details.

[128] The evidence of both Jessica G and Robyn in chief was that they had never been on Rusaw Lane before. They thought, however, that it might offer them a way to get through to Concession 12 so they could get to Havelock by the side roads.

[129] In further cross-examination, Jessica G admitted that “Beer Bottle Road” ran off Mill Line Road and not Rusaw Lane. The exchange is important because it suggests that she had been on Rusaw Lane before:

Q. You knew when you turned onto Rusaw Lane, I am suggesting, because there was a sign right at County Road 40 that said Rusaw Lane, you knew you were on Rusaw Lane and not Mill Line Road, right?

A. I guess, yeah.

Q. And this was a road you’d never been on before and didn’t know where it went, correct?

A. Did I say that? No.

Q. Is it true that you’d never been on Rusaw Lane before?

A. No, I have probably been on it before.

Q. You – now, you have been on it before?

A. Maybe.

[130] She asserted that “I thought it did go through”, later admitting “I coulda’ been on that road before. I don’t know. I don’t memorize every road I have been on.” This is not the clearest evidence but it tends to show that Jessica G had been on that road before. Jessica G was not questioned about her participation in back road tours.

[131] In reviewing the photographs that were exhibited in this action, Jessica G admitted that “they were encountering obstacles along the roadway” on the Weidner Laneway. Her evidence was that they had travelled about half a kilometre or so before considering that they should turn around. At this point they knew they were not on a public road. Jessica G was not able to give actively recollected evidence about her progress along the Weidner Laneway or the hydro right-of-way, but generally affirmed the evidence that she had previously given, noted above.

[132] There was a 5 minute telephone call recorded on the cell phone record at 21:40 that evening. Jessica G admitted that the call might have been made while she and Robyn were on County Road 40 or on Rusaw Lane. She was unable to account for the hour between the time she testified that they were at Poole’s house and the call at 9:40 p.m. She was unable to remember whether the call was made when they were stuck. There was a second call at 9:49 p.m. which lasted about 2 minutes; that call might have been made in order to tell Aaron LaDuke, Robyn’s brother, that they were stuck. The cell phone battery, however, died before they were able to give directions to Aaron.

The Evidence of Nicole Moffatt

[133] Nicole Moffatt was called as a witness by the defence. She now lives in Hastings where she works as a waitress.

[134] In January 2000, Nicole Moffatt lived in Norwood with Pam and Milt Arthur who are Robyn’s aunt and uncle. Jessica Arthur is their daughter and Nicole was staying in her room.

[135] She and Jessica G had gone to high school together and for some period of time were best friends. Nicole socialized with Jessica G before the accident. They hung out after school, and went to parties where there was drinking. Jessica G liked to drink to the point of being intoxicated. Her behaviour was somewhat erratic when she drank:

All depends on how Jessie would feel. Sometime, she’d lock herself in a bathroom for hours. Sometimes she’d whip a bottle of beer if she was hyper at the time. Sometimes, she’d pick up kittens and whip them against the wall...she was my best friend, but she was a little – kind of like hyper with things and stuff – I don’t know.

[136] Nicole and Jessica G would smoke pot and hash and hash oil. They would take drugs on the weekends and after school.

[137] Nicole was often in Jessica G's car. Jessica G always had clothing in the car because she would spend the night at the houses of friends. She generally did not have bottles in the car because "the boys would take them for empties."

[138] Nicole gave evidence on back road tours: "A whole bunch of us get into a vehicle and, huh, drive around like getting high and stuff." They would park and hang out. They went to the "Devil's Four Mile" at the end of the Eighth Line, Beer Bottle Road, up Tenth Line to a haunted house, and then Carmichael's field. Once there they would drink and smoke drugs. Jessica G was with her every time. They went on back road tours "like two times after school week and then on the weekends for sure, if there wasn't something else going on, like a hockey game or a party or something."

[139] Nicole Moffatt was present at the apartment of Curtis King on the evening of January 14, 2000. With her were Jason Begg, Dave Hollings, Sean Barr and Mike Earnshaw, among others. She arrived about 6:00 p.m. in the company of Dave Hollings and Mike Earnshaw. Curtis's apartment was the place where people gathered before a hockey game.

[140] Jessica G and Robyn arrived about 15 or 20 minutes before people left to go to the hockey game. When they "showed up, it had seemed like they had been drinking, yes." Her impression was that Jessica G "was acting louder than she'd usually be and she came and sat beside Curtis and I on the couch, and she kept like falling off his lap and stuff...to let people know that she had been drinking." This was not unusual for a Friday night.

[141] Nicole admitted that she was high on the night of the incident, but she does not drink. As Nicole recalled it, Jessica G had on her vest and "her boots with the long laces in them" which she never tied up, a shirt and jeans. Robyn was wearing jeans and "skater shoes" and a light blue jacket. I prefer Robyn's evidence that she was wearing black boots and not "skater shoes" as Nicole described. Robyn testified that her skater shoes are white, not blue and grey in colour and she was not wearing them that evening in any event.

[142] My impression is that once Jessica A departed around Thanksgiving 1999, the dynamic of "three's a crowd" began and Robyn displaced Nicole as Jessica G's best friend. There was a falling out. According to Nicole, the culminating event occurred some weeks before January 14, 2000, at Mark and Rick Murray's apartment, when one of Jessica G and Robyn tossed a pair of work boots at Nicole while she was sitting on the couch watching TV. Robyn denies the specific encounter, but says that there was a falling out sometime earlier. It was not put to Jessica G. It is plain from the evidence of Nicole that she was hurt and angered by these events in 1999. She continues to harbour these feelings and blames Robyn for the events of that night. Nicole is no longer in touch with the other three women.

[143] According to Nicole, by January 14, 2000 Jessica G and Robyn "were kind of out of our circle of friends then because a couple of weekends before that, they'd showed up at a place and

stole our friends' alcohol and tried to rip – Jessie had tried to rip the door off her friends' place and the one friend was in his bedroom sleeping". Nicole was present on that occasion, a few weekends before the accident. On that occasion "they had thrown a pair of work boots at my head on the couch" and were intoxicated. She still considers Jessica G to be her friend, but there is no evidence on when they last were in touch.

[144] As they were leaving Curtis's apartment on January 14, 2000, Jessica G and Robyn were "like hitting the roof of the vehicle yelling: "this is a f- around, and stuff".

[145] Later that evening a group went to Mr. Convenience. Another friend, Mark Murray, was working and told them that Robyn and Jessica were lost. She believed that Aaron went to look for them.

[146] Mr. Granatstein cross-examined Nicole at length. Nicole said that she had stopped being best friends with Jessica a couple of weekends before the accident. The culminating incident was described above.

[147] Nicole was distressed with Robyn LaDuke because Robyn was Jessica G's new best friend. As she put it "she just chose Robyn" she would still have been Jessica G's friend "if Robyn wasn't in the picture". She was adamant: "I think it's all Robyn's fault, what's the matter with Jessica".

[148] Nicole testified that she wanted Jessica to come with her to the hockey game that night "but I would not have like accepted Robyn coming with us, no." When she was asked to explain why she wanted Jessica G to come with her even though they were no longer best friends, she said: "It's the way small towns work. One day you're friends with someone. One day you're not." But she objected to Robyn: "I did not like Robyn."

[149] Nicole testified that she went to school with Randy and that Robyn had dated Randy. She testified that she had a conversation with Randy, probably on January 15, 2000, or the day after. She knew that Jessica G and Robyn had been at Randy's house because he told her. Her evidence was:

Q. Okay. And did he tell you how much they had been drinking?

A. Huh, they – he had probably said, "we finished off a two four and the girls had left with a case of loaded sodas".

[150] Mr. Granatstein put Randy's evidence at trial to Nicole in which he denied speaking to her in January 2000. In the course of answering the question, she disclosed the trial evidence of Jeff McNiece: "That he got rid of alcohol for the girls. That was a known fact around, to, - and, to, that the Norwood Fire Department had found alcohol and had it hidden – hid it so, yah, there is a lot of lying and stuff going on in this case." The reference to the Norwood Fire Department

was based on her understanding that Mr. McNiece was head of the volunteer fire department at the time.

[151] When questioned further about the trial evidence, she stated “the whole town of Norwood is talking about it sir. I knew about it friggin’ the week that Jeff – I was living at Robyn’s uncle’s house when that happened. The whole town was talking about it...Jeff McNiece told his sister and it’s going around town right now. Everyone is talking about it. Come live in our small towns for a bit and know what the gossip and how we know everything.”

[152] Nicole branded as “a lie” Randy McIlmoyle’s evidence that he had not spoken to her since high school, stating “I can show you Facebook records. I just spoke to him last week when he was home – two weeks ago, however long it was when he was home. Everybody got together with Randy. We call him Pink. So we know all about this, yes”.

[153] In terms of evidence concerning the use of LSD, Nicole gave evidence that Randy did not mention LSD to her. Her response was that: “Acid was like – on New Year’s, Robyn and Jessica did it. There was no acid involved that night. They weren’t big druggies like that.”

[154] Mr. Granatstein put to Nicole the evidence of Dave Hollings that he did not go to Curtis’s apartment with her: “I went with Dave Hollings. I left with Mike Earnshaw. I don’t care what they say so ask me questions on what you want to know from me ‘cause I’m telling you the truth”. She also denied Hollings’ evidence that Jessica G and Robyn were not drunk.

[155] Nicole testified that Robyn was wearing grey skater shoes, or that they could have been grey and blue: “She had so many of those skater shoes. They were ugly.” She further denied that Robyn wore black boots that night because she had never seen them on her.

[156] Nicole admitted that she had been charged earlier in the year with assault with a weapon. She got in a fight with her boyfriend and drove her truck at him. She pled guilty.

[157] Nicole was highly emotional throughout her evidence. At one point she cried while giving evidence about Robyn’s behaviour. She was generally forthcoming but refused to give the name of Brandon Barnett, with whom she had visited with Randy a couple of weeks before giving evidence, initially hiding the name in the lie that she did not remember. She gave her evidence with a great degree of certainty but was somewhat unreliable. I reject the evidence she gave about the skater shoes that she alleged Robyn was wearing. I have doubts about the reliability of her evidence about Jessica G’s behaviour at Curtis King’s apartment; she was high and angry with both women. From time to time she gave her evidence in a pitched voice and needed to be settled down on a number of occasions.

[158] Nicole’s evidence helps to set the context for the activities of the foursome and helps explain how it broke down when Jessica A went out west, therefore explaining why Jessica G. and Robyn were alone that night. Her evidence establishes that Jessica G and Robyn were at Curtis’ apartment that night and that they went in.

[159] Regrettably, she was not asked whether she had been on Rusaw Lane with the others before. Her evidence on back road tours was corroborated generally by Jessica A and reluctantly by Robyn. Her evidence about the presence of Jessica G and Robyn at Curtis' apartment was corroborated by Robyn and David Hollings. She has not been in touch with Jessica G, Robyn or Jessica A for years.

The Evidence of David Hollings

[160] David Hollings was called by the Plaintiffs.

[161] He was at Curtis King's apartment on January 14, 2000 when Jessica G and Robyn arrived. He testified that they were not impaired and he did not see them drink anything while they were there. He denied seeing Jessica G sitting on Curtis' lap. His evidence was that Jessica G and Robyn were at the apartment for about 15 minutes, having arrived at 8:30 p.m. He left at 8:55 p.m., five or ten minutes after they left. He was going to the hockey game which started at 9:00 or 9:30 p.m. Nicole Moffatt was there as well, but he denied being with her.

[162] Mr. Hollings disclosed that he had recently been convicted of theft from his employer and was serving a sentence of house arrest. He denied in cross-examination that he was lying about the conduct of Jessica G and Robyn that night.

The Evidence of Jessica Arthur

[163] Jessica A was called by the defence. She left Ontario in October, after Thanksgiving in 1999. For two years up to that date, she and Robyn were best friends and linked up with Jessica G and Nicole Moffatt as a foursome. Jessica A and Robyn were together every day and the foursome were together at least every weekend.

[164] The foursome socialized together and would "hang out, drink, sit at the beach" and smoke drugs. They drank on the weekends, usually both days, and "we all drank till we got drunk". They smoked hashish oil as well. She explained the evolution of the foursome: "Robyn and I were best friends and Nicole and Jessica G were best friends and we amalgamated sometime, I would say, in Grade 12," which was around 1997.

[165] Jessica A testified that Jessica G had "a bad temper, a bad attitude and frequent outbursts in public places...she'd just take off from parties and no apparent reason." She gave evidence that Jessica G had a bad temper before the accident. She described the experience at parties: "When you get a comfortable silence, she'd just bolt. She'd lock herself – I don't know, one on one in a car, wouldn't come out, bedrooms, random house parties, she'd just take off and lock herself away...I don't really have a specific reason why she'd just take off. I just remember it being a pain because we would all be hanging out and she would jet, then we'd all go or sometimes we'd ignore her."

[166] Jessica A described back road tours as "it's just something that us girls used to do to hang out, drive around aimlessly." Back road tours would occur most Friday nights. Jessica A

described locations around Norwood including the Tenth Line, the Eighth Line, Beer Bottle Road, Rusaw Lane, and the Boy Scout Forest. The sites they visited would include private property including the abandoned house at Carmichael's. They would also go onto the hydro corridor at Seventh Line. From time to time they would ignore and drive past "No Trespassing" signs. When they arrived at an appropriate spot they would "turn the car off, kick back, listen to music, laugh, joke, smoke drugs."

[167] They would drive on the outskirts of Norwood. Sometimes they would park and other times they would just drive: "Like Beer Bottle Road goes straight through so you'd just kinda pull off for a little bit, hang out and then pop out at Hwy 7 again."

Q. And when would you do these back road tours?

A. They were at random. Like in the summertime, it was quite often, but comin' down towards the accident, every Friday night was girls' night out, back road tour.

Q. You weren't here coming towards the accident?

A. Well, the last thing I said to them was, "Save your money. Get out of town. Something really bad is going to happen."

She reiterated later that "Friday nights were designated girls night out". Back road tours also occurred in the winter time.

[168] She was asked where they would park on back road tours and she said "There's always little pullouts on the side of the pathways like Beer Bottle Road, there was an opening and you could pull off on the side. The Tenth Line was just a dead end road that went to an abandoned house. We'd just pull in and park. The Eighth Line, you just kinda go till the road ends and then you are on private property. We'd pull in and turn around and face the way we came in." They had no difficulty about going on private property.

[169] Jessica A testified that smoking drugs was usual and a regular pattern not only for the foursome but also for the larger group of friends, noting that "I'd only be able to name, maybe, three friends that didn't smoke." Her evidence was that five friends at one point all lost their licences for driving under the influence and added that she "could probably get up to eight or nine."

[170] Jessica A testified that she had been on Rusaw Lane, which she identified by the sign, on a back road tour. She was there in September of 1999 first with Robyn LaDuke. Her evidence was that "we ended up getting mixed up and ended up down some farmer's driveway. Like it was a really long driveway and, by the time we realized it was a driveway, we had to go all the way back to his house and turn around, so we gave up on that one."

[171] On the second occasion all four of them were in Robyn's car and "we went all the way down Rusaw Road and ended up getting stuck up on a boulder on one of the pathways." She remembered that "the trees closed in on us." It was "really rough and rocky and all of a sudden, there was scraping on the bottom of the car and we had went over a boulder and like were completely over the boulder and then we had to reverse back off the boulder. We did some damage to the car 'cause it didn't drive right after." Her evidence was that the struts had broken on the car on the right side. They backed up to the turnaround. She understood it to be a "four wheeling trail", and they were "just exploring. We did stuff like that."

[172] Jessica A testified that she did not think the trail would take her to another road and they were not looking for another road on that occasion.

[173] On the third occasion, they went to Rusaw Lane in late September, but only to the turnaround. On that occasion all four women were present. While they were there, they listen to music and "smoked botts", which was described as a method of smoking hashish oil involving a cigarette and a beer bottle.

[174] Mr. Granatstein put some of Robyn's evidence to Jessica A. In response to Robyn's evidence that the struts in her car were broken because there were too many people in the car at the Havelock Jamboree, she responded: "I have a different story."

[175] Mr. Granatstein put Robyn's evidence to Jessica A concerning Rusaw Lane:

Q. All right. She also says she's never been down Rusaw Lane before the day of the accident.

A. Okay.

Q. Okay what? Do you agree with that?"

A. No.

[176] Mr. Granatstein put to her that they would have been unlikely to go down Rusaw Lane again after the incident with the boulder that damaged Robyn's car. Jessica A asserted that they would not have hesitated to go down Rusaw Lane in a Ford Tempo: "We tried to do ridiculous things in those cars." Mr. Granatstein persisted:

Q. Okay. But I'm talking about January 14, 2000. Why would Robyn and Jessica go down Rusaw Lane again if they had been stuck on it before?

A. For a back road tour.

Q. To get stuck.

A. I don't think they probably wanted to get stuck.

[177] Mr. Granatstein asked why Robyn and Jessica would need to go past the turnaround on Rusaw Lane:

Q. Well, I'm asking you, if they had been there before, why would...

A. I would...

Q. ...and they knew about it...

A. ...see if I could get down the road further.

Q. Pardon?

A. To get down the road further.

[178] Jessica A testified that John Poole was a drug dealer from whom the women used to purchase hash oil. They went at least once a week and never went to his house for any purpose other than to buy drugs.

[179] Jessica A decided to move out west in the summer of 1999 because "just things were getting a little stale. Everybody was smoking drugs all the time, drinking and driving. All our friends are losing their licences and I chose to go that way. Robyn was supposed to come too."

[180] Jessica A left Ontario and moved to Whistler, British Columbia, after Thanksgiving 1999 where she worked as an assistant manager in a retail store. She had saved \$5,000 for the trip out west and was not prepared to share that with Robyn, who had saved nothing. The friendship with Robyn "just kinda went silent" when she moved away. Robyn and Jessica A had a falling out.

[181] She found out about the accident involving Jessica G and Robyn the day after they went missing. Her mother called her. Although she was able to keep track of developments through her mother, Jessica A did not attempt to contact Robyn during her convalescence. They met again at the wedding of Jessica A's sister in July of 2000, had a confrontation and were reconciled, according to Jessica A's evidence, which was reluctantly accepted by Robyn in cross-examination. The confrontation was over the impression that Robyn had obtained through discussion with others that Jessica A blamed her for the events of January 14, 2000, which Jessica A assured her was not true. Jessica A returned to Ontario in May, 2002.

[182] Jessica A also knows Randy McIlmoyle. He was a schoolmate and a friend. He, Robyn and Jessica G would go to his house to socialize, drink, smoke drugs and play music. This was frequent when he lived in Norwood, but less so when he moved to Hastings near Campbellford. Before he moved, they hung out with Randy every weekend or every couple of days. They

socialized frequently at Robyn's house. She visited in his house in Hastings as many as five times. When they went to Randy's house they would drink "not always, but frequently" but would do drugs "all the time...every time."

[183] Randy was the second person to call her in Whistler after the accident. "He was flipping out about the girls' accident, um, telling me that they had taken off from his house and that I had missed the best trip of acid ever." Jessica A had not spoken to Randy since she left.

[184] Randy said that "the girls had come over, that they did LSD and that they bolted from his house and he was flipping out about that." Jessica A's evidence was that they did acid "on numerous occasions in high school", but not in 1999. She explained that "we use to have this guy called the acid man that came when we were in Grade 10 and after that, it kind of disappeared". Randy did not tell her that Jessica G and Robyn had had dinner at his house.

[185] In cross-examination Mr. Granatstein put Randy's denial of a conversation with her to Jessica A. She stuck with her version of events noting "what do you want me to say about it? What would I gain from this conversation? Robyn's my best friend."

[186] Jessica A admitted that she did not contact Robyn directly after the accident. She knew what was going on through family sources. She spoke to Robyn for the first time after the incident on July 29, 2000 and is certain about the date because that is the day her sister got married. Jessica A justified that there was a confrontation at her sister's wedding about the conversation with Randy in which Robyn said "That I said that everything was all her fault. That's what Randy had told her. I explained myself, I told her what he had said on the phone and it was, whew, wiped clean and we started anew – talking again."

[187] She was cross-examined about whether she had talked to anyone, particularly her uncle Jeff McNiece, about her evidence. She answered that it was common knowledge that she was not permitted to discuss her evidence. She denied reading the newspapers but said "I guess, I've heard stuff" from her co-workers. She works in a plant in Peterborough and has been there for three years.

[188] Jessica A testified that she spoke to Robyn briefly about Robyn's evidence: "She also told me that she lied a couple of times and she wasn't sure about what." She denied, however, knowing all of Robyn's testimony. Jessica A testified that she understood that Robyn had denied back road tours. She described this as "just common knowledge."

[189] Mr. Granatstein asked Jessica A how she knew there was alcohol in the car:

Q. Did Jason tell you what he said in court about finding alcohol at the car?

A. No. I knew that he had found it. When they found the car, they were talking about it. Like back nine years ago almost.

[190] In relation to Randy McIlmoyle's evidence that he would not let somebody leave the house impaired because of an incident in his family history, she denied it as false, since "we had left numerous occasions drinking and after smoking drugs from Randy's house so, false."

[191] The important evidence of Jessica A was that she had been on Rusaw Lane three times in the fall of 1999 with one or the other of Jessica G and Robyn. This evidence suggests that either or both of them knew that Rusaw Lane was a dead end road.

Similar Fact Evidence

[192] The other important piece of evidence concerned back road tours. Mr. Granatstein argued that the evidence of Jessica A on back road tours was similar fact evidence and therefore inadmissible. I dealt with this objection in the reasons released on October 13, 2009 for refusing it and allowed Jessica A to testify about the back road tours and related issues. I noted:

[26] Mr. Boghosian argued that Jessica Arthur's evidence was tendered to address the reason why the girls were on Rusaw Lane that night. He argued that the practice of back road tours is material and probative to explain the true intent of Jessica Greenhalgh and Robyn LaDuke in their drive down Rusaw Lane on the night in question. The evidence is not tendered, he asserted, to show that Jessica Greenhalgh and Robyn LaDuke had a propensity for consuming alcohol or drugs which might cause them to be seen as persons of bad character.

[27] If Jessica Greenhalgh and Robyn LaDuke were on a "back roads tour" on Rusaw Lane that night, that would cast doubt on the explanation given by them that they had a specific destination in mind which they thought they could reach via Rusaw Lane, and would, in turn, cast doubt on Mr. Granatstein's critical assertion that "the failure of Douro-Dummer to erect "Dead End" or "No Exit" [signs] on Rusaw Lane" was causally linked to Ms. Greenhalgh's injuries.

[193] In my view, the evidence does not show disreputable or discreditable conduct in the sense contemplated by the cases on similar fact evidence in which the sort of criminal conduct involved is very serious. It is more in the nature of evidence of a habitual pattern of conduct that is relevant as circumstantial evidence tending to show that Jessica G and Robyn were doing on that particular Friday night what they did on many other Friday nights. Assuming, however, that the evidence is similar fact evidence, I must determine whether its probative value outweighs its prejudicial effect.

[194] Under the framework outlined in *R. v. Handy*, the first step is to identify the “issue in question.”²⁷ In this case, the first issue in question is what Jessica G and Robyn were likely doing on Rusaw Lane. The second issue in question is whether they were drinking and in that way impaired their judgment.

[195] For the reasons set out later in this decision at paras. 303 and following I decline to use the similar fact evidence of alcohol and drug abuse on back road tours to draw an inference that Jessica G and Robyn were intoxicated on January 14, 2000. In my view the similar fact evidence is not sufficiently probative to overcome the lack of direct evidence of intoxication from the witnesses who saw the women on that day.

[196] The remaining the issue in question is what Jessica G and Robyn were likely doing on Rusaw Lane. The second step in the *Handy* framework is to identify factors that connect the similar facts to the issue in question.²⁸ The third step in the *Handy* framework is to determine whether the degree of “situation-specific behaviour” is “sufficiently compelling to draw safely the inference” sought to be drawn.²⁹ Both can be addressed together.

[197] In this case the similar fact evidence provided by Jessica A shows that: Friday nights were “girls’ night out”; that involved going on a back roads tour just driving around or exploring to find a secluded place; the secluded place was often on private property; they would sometimes use the cars in unusual ways (“We tried to do ridiculous things in those cars”); and they would park from time to time. In my view the similar fact evidence is probative and not “morally prejudicial” within the meaning of *Handy*.

Jessica A’s credibility

[198] Mr. Granatstein challenged the credibility of Jessica Arthur on a number of grounds. First, she gave evidence she had been at Randy McIlmoyle’s house in Hastings near Campbellford a number of times, perhaps as many as five. She also said that she only saw Randy in the company of Robyn. Robyn, however, denied being at Randy’s house in Hastings before January 14, 2000. Nicole Moffatt, the other member of the foursome, had never been there and Jessica G was not asked. Jessica Arthur did respond to Mr. Granatstein’s questions by volunteering to tell him what the house looked like. Regrettably, the cross-examination was not sufficiently pointed to allow me to draw the inference that Jessica A was lying since the fact that the other women denied being there was not put to her. There may have been another explanation for her familiarity with the house.

[199] Second, Jessica A gave evidence that the call from Randy, on or about January 15, 2000, focused on the fact that the women had taken acid that night. Mr. Granatstein put to her out that Randy denied calling her. There was no other evidence about acid. She testified that Randy did not mention alcohol, nor did he mention that Jessica G and Robyn were over for

²⁷ *R. v. Handy*, [2002] S.C.J. No. 57, 2002 SCC 56 para. 99.

²⁸ *Ibid.* at para. 82.

²⁹ *Ibid.* at paras. 89-91

dinner. These facts make it improbable, Mr. Granatstein argued, that Randy actually called Jessica A. My impression is that Randy was one of the popular friends in the group. For him, reacting to the news by calling friends such as calling Nicole and Jessica A would not be unusual. I therefore accept that Randy called Jessica A to discuss the tragedy but I do not accept her evidence on the details of the call.

[200] Third, Mr. Granatstein submitted that Jessica A lied about when she decided to come forward to testify. He relied on two bits of evidence. He referred to her response in cross-examination: “I’m just saying that it was common knowledge that they’re denying this – denying going down Rusaw Road. That’s why I know we went down Rusaw Road and that’s why I contacted them [defence counsel].” He also referred to her evidence when he again cross examined her after re-examination: “...she [Robyn] told me after she testified that she knew she lied a couple of times, she just wasn’t sure of what and that put a big alarm in my head because I knew there was gonna’ be parts of the story that contradicted because she lied a couple of times, just wasn’t sure about what. Q. So you came here to support her. Is that what you said?”

[201] Mr. Granatstein argued: “Her evidence that she volunteered to testify after Robyn had told her that she had lied about some things is contradicted by her own evidence that she volunteered to testify before she could have had this conversation with Robyn”. This makes too much of the ambiguities in the answers to the questions in the preceding paragraph. Mr. Granatstein did not press the point in cross examination and I am reluctant to draw an adverse inference. It is quite plain from Jessica A’s answer in re-examination that she contacted defence counsel before Robyn testified:

Q. Ms. Arthur, did you first call my law clerk, Lisa, in the morning of the day that Robyn Leduc testified at this trial?

A. I think so, ya.

Q. Did you first speak to me the same morning that you first spoke to my clerk just a little later?

A. Yes.

[202] My ruling on the application of the rule in *Browne v. Dunn*,³⁰ released on October 13, 2009 noted the following: “Mr. Boghosian says that he did not put Jessica Arthur’s evidence to Jessica Greenhalgh or Robyn LaDuke because he was not aware of it when they were in the box, having just that morning met briefly with Arthur.” This basis for disputing Jessica A’s credibility has no merit.

[203] Fourth, Mr. Granatstein challenged Jessica A’s credibility on the expressed reason she gave on coming forward. Mr. Granatstein cross-examined Jessica A about the way in which she came to give evidence. Her explanation emerges in the following exchange:

³⁰ (1893), 6 R. 67, H.L.

Q. You cared enough about Robyn to come forward and tell the story about acid?

A. I just want to make sure that if she goes down, like we were all there, and kids making bad decisions, good kids making bad decisions.

[204] She was challenged on why she did not come forward earlier. She stated that she would have called someone earlier if she had known the number to call and she only found the number two weeks before she testified from her sister Jennifer who had been subpoenaed along with other family members by the defence. Jessica A testified that she was prompted to come forward by her own conscience.

[205] She elaborated in response to a question from the bench: “Just like my own conscience that I felt these girls were going to be ripped apart and it’s just something that we did when we were younger. Good girls making bad choices, I guess, I was right there with them and if I didn’t go out west, I believe that I would have been involved – so it’s an accident. Bad choices.”

[206] The transcript records the following exchange:

Court: But why did you want to come forward and testify about this?

A. Just to be here for my cousin.

Court: But the evidence you are giving is directly contradictory to her.

A. Well, I didn’t really know it at the time.

Court: When did you find out?

A. I don’t. You’re telling me now. I don’t know how much is contradictory.

[207] In his cross-examination, Mr. Granatstein challenged Jessica A’s story that she was there to support Robyn. He pointed out that “your family is the only ones that are saying that these girls were impaired.” To this Jessica A responded “it can’t be true.”

[208] He said:

Q. You’re sure it wasn’t to support Jeff McNiece?

A. Jeff McNiece, I don’t talk to him enough.

[209] Jessica A testified that she had not spoken to her Uncle Jeff McNiece in months, had not spoken to Nicole for seven or eight years, and that she spoke to Jason Rodgers two weekends ago. Jason is married to Jessica A's older sister, Jennifer. Jessica A believed that Jennifer told her that "they couldn't talk to anybody about the case."

[210] Mr. Granatstein questioned Jessica A's motive for testifying. He poured scorn on her explanation that she was there to support her cousin Robyn, but in her evidence she made it clear that she did not know what Robyn's evidence had been when she testified. This seems accurate because her evidence was inconsistent in spots with Robyn's evidence, particularly around back road tours and drug use. Her explanation that she was testifying in solidarity with Robyn seems odd since she volunteered her evidence not to the plaintiffs, who were calling Robyn as a witness, but to counsel for the defendant. I am puzzled as to why, if Jessica A was there to support her cousin Robyn, she would not have contacted counsel for the plaintiff, rather than counsel for the defence. This question was not, however, put to her. Counsel for the defence had subpoenaed members of her family so it is perhaps not surprising that she called Mr. Boghosian's office. I find it difficult to draw an adverse inference.

[211] I am most troubled by Jessica A's insistence that when Randy called her on January 15, 2000 to relay the news to her, he alleged that they consumed LSD. This is not consistent with the telephone call between Randy McIlmoyle and Nicole Moffatt in which the subject of the conversation related to how much they drank at Randy's house. There is no other evidence that LSD was involved that evening. Jessica's recollection of the conversation with Randy on the subject is suspect. It casts doubt on the truthfulness of Jessica A's evidence. On balance, however, I find that her evidence about back road tours is largely corroborated by Nicole albeit reluctantly by Robyn and is reliable. In terms of aimless exploration, both Robyn and Jessica G testified that they were killing time that night, consistent with the back road tour pattern.

The Reply Evidence of Robyn LaDuke

[212] Mr. Fireman called Robyn LaDuke to give reply evidence. He put to her the evidence of Jessica A that apparently contradicted her earlier evidence. The question was awkwardly worded and did not accurately reflect Jessica A's evidence: "She said that preceding January 14, 2000, and the years before, she said that, amongst others, you and she would go onto private property looking for, I guess, empty houses – these houses, I've got and would often pass and ignore "No Trespassing" signs." Robyn responded that that was "incorrect."

[213] Second, Mr. Fireman put to her Jessica A's evidence about Robyn driving a Ford Taurus Wagon down Rusaw Lane and on one of the trails, "When they hit a large rock or boulder." Robyn repeated her previous evidence that the struts in her car were broken at the Havelock Jamboree and again denied having been on Rusaw Lane before.

[214] In cross-examination, Mr. Boghosian put to Robyn, Jessica A's evidence that "you told her, in general, about coming here?" Robyn agreed with that statement but denied telling Jessica A that she had "told a few lies in her evidence."

[215] Robyn initially denied reconciling with Jessica A in 2000 at her sister's wedding, but then grudgingly admitted it. Robyn generally expressed great confidence in Jessica A.

[216] Mr. Boghosian challenged Robyn on her evidence about the breaking of the struts at the jamboree. She again denied that the struts broke on one of the laneways off of Rusaw Lane. She was unable to tell him how many people were in the vehicle or where it was repaired.

[217] In further cross-examination, she admitted that the so called haunted house on the Tenth Line was in fact private property.

[218] In response to question from the court, Robyn confirmed that the foursome had formed but at the time of the incident had fallen apart. Friday nights were girls' night out. She admitted a back roads tour to the haunted house on two occasions or so, but said that Friday nights were usually spent at someone's house, usually hers. She admitted to drug use.

[219] Robyn's evidence was generally unsatisfactory. She made efforts to minimize the alcohol and drug abuse that she and her friends engaged in. She was, perhaps understandably, reluctant to say negative things about Jessica G. She was extremely reluctant to admit her involvement in back road tours. She was combative in cross-examination, demanding that questions not be repeated and on one occasion challenging the relevance of a question. On various topics she was taken through a sequence in which she would say first "I don't know", then, "I don't remember" and finally, "it's possible." I have some doubt about whether she was actively trying to remember what happened; it seemed that she was simply trying to conform with a "statement" that she had given sometime earlier (There were two, one in 2002 and another in 2006 to which she made reference on a few occasions.) I have no doubt that Robyn feels badly about the injuries that befell Jessica G and wants to do what she can to help. Perhaps she feels guilty about her involvement in the events of that evening. All in all, however, for the most part I am reluctant to accept her evidence where it is not independently corroborated.

The Evidence of Randy McIlmoyle

[220] On January 14, 2000, Randy was living with Nate Rutherford in Campbellford. He went out west in March 2000 and now lives in Edmonton.

[221] Robyn and Jessica G arrived between 3:00 and 4:00 p.m. for dinner. There were no signs that they had been drinking or taking drugs. Randy had bought a six pack of beer for dinner. The others had one or two beers at most but he did not drink. There was no other alcohol available.

[222] This was to be a going away dinner. They sat down to eat between 5:30 and 6:15 p.m. There was no wine at dinner. Jessica G and Robyn left between 7:00 and 7:30 p.m. There was no sign of impairment. Randy testified that if the women had shown signs of impairment he would not have let them go. He was conscious of possible guest liability for alcohol consumption.

[223] Randy heard about the events the next day. He contacted Robyn and went to Kingston Hospital and stayed with her for about one hour. He did not see Jessica G.

[224] In cross-examination, Randy said that he had dated Robyn in high school, ending about 1998. He also knew Jessica G from school. He admitted to socializing with both of them before and after he broke up with Robyn. He knew Jessica A as a schoolmate and that they consumed drugs and alcohol together on several occasions, though Randy denied typically having drugs.

[225] Randy testified that Jessica G and Robyn did not bring a 24 pack of beer or coolers. He denied that they showed up at 11:00 a.m. with a case of 24 beer and 4 coolers, and that they had other drugs.

[226] Randy testified that Jessica G and Robyn did not leave in a hurry. They received a phone call, said goodbye and left.

[227] Randy denied speaking to Jessica A about the events. He denies stating that she “missed the best acid ever” and that the “girls had freaked out”, and that they “bolted” around 6:00 p.m.

[228] He denies speaking to Nicole Moffatt and specifically denies telling her that the women brought a case of 24 beer and 4 coolers. He denies telling her that they were very drunk.

[229] I accept the evidence of Nicole and Jessica A that Randy called them shortly after the event. I am reluctant to accept Nicole’s evidence about the content of their conversation, and I do not accept Jessica A’s evidence about the content of their conversation. I have little confidence in the veracity of Randy’s evidence but accept the balance of it.

The Evidence of Nathan Rutherford

[230] In January of 2000, he and Randy McIlmoyle lived in a house in Hoards Station just east of Campbellford. Jessica G and Robyn came for dinner. He recalls that they arrived between 4:00 and 4:30 p.m. It was dark out. They showed no signs of drinking or drug taking that he could see.

[231] Randy prepared dinner. Robyn and Jessica G brought no food. He was not familiar with either of them and had not met them before. Nathan lived in Campbellford and went to a different school than Randy, so he was not in the same social circle. This was “a bit of a farewell” dinner for Randy since Robyn had been his ex.

[232] Much of the evening was spent in the kitchen. Then they moved to the dining room. He cannot recall specifically what was discussed. Perhaps there was discussion of why they were moving and what they planned to do for work.

[233] Nathan gave evidence that there was a six pack of beer available and that Jessica G and Robyn had at most a beer each. There was no wine with dinner. There were no drugs available.

[234] To the best of his recollection, Jessica G and Robyn left between 7:30 and 8:00 p.m. He did not have any idea where they were going. Neither of them was impaired and he would not have let them drive if they had been impaired. Nathan confirmed that Randy was not a drinker because his mother died of alcohol poisoning. Nathan testified that he was aware that there were consequences to impaired driving and particularly to a host but denied that this knowledge had affected his evidence.

[235] Randy and he went to the hospital in Kingston in early February. Shortly afterwards he and Randy moved out west to Edmonton. In cross-examination, Nathan said that the evening was “ingrained in his mind” he saw it as a tragedy, one that Randy and he have spoken about a few times over the years. He moved from Edmonton in 2005 to Canmore and then later to Victoria, B.C.

[236] Nathan denied that Robyn and Jessica G arrived at 11:00 a.m. He was not at home at that time but was still at school. He was home when they arrived later. They did not leave in a hurry.

Aaron LaDuke

[237] Aaron was called by the defence and admitted refusing to speak to the defence prior to testifying. He had, however, spoken with plaintiffs’ counsel, Mr. Fireman, in the past.

[238] Aaron’s date of birth is September 3, 1981, and he was eighteen on January 14, 2000. He is Robyn’s brother and the nephew of Jeff McNiece. Robyn and Aaron lived together in their mother’s house. Their mother spent most of her time at her boyfriend’s house.

[239] The cell phone bill was put to him, particularly the five minute call at 9:40 p.m. Aaron was home alone at the time. Robyn was in the car; she might have been asking for directions.

[240] The phone bill records a second call at 9:49 p.m. lasting two minutes, which might have meant that it was at least one minute plus one second in actual duration. Aaron’s evidence was that the cell phone went dead. He does not recall being told that Jessica and Robyn were stuck. But because the cell phone went dead, he went looking up County Road 40, driving his sister’s Ford Taurus. He went looking 10 minutes after the phone call. During the call, the tone was “happy” and “giddy” but not drunken. They seemed cool and collected.

[241] Aaron testified that Robyn did not do drugs, although she may have tried them. She was not a drinker and a driver. He did not know what the term “back road tour” meant.

[242] In cross-examination. Mr. LaDuke recalled one telephone call in which Robyn was looking for directions off of County Road 40. He does not recall a second phone call and particularly does not recall being told that they were lost or stuck in the car or marooned. He did not know the name of the road that they were on. The phone went dead.

[243] Aaron gave evidence that Jessica G, Robyn and Nicole Moffatt had been friends. There was a falling out because Nicole stole Robyn's boyfriend. Robyn's evidence suggested, however, that it may have been the other way around.

Finding the Car

[244] I briefly digress to recount the evidence about finding the car. This narrative constitutes my findings on the evidence, which is set out below in more detail.

[245] The car was found two or three days later. Jeff McNiece, Robyn's uncle, met with Robyn in the hospital in Kingston and she told him that the car was somewhere off Rusaw Lane. With that information, he enlisted Ross Rodgers who had hunted in the area, and his son, Jason Rodgers, to search for the car. (In the summer of 2000, Jason Rodgers married Jennifer Arthur who is also the niece of Jeff McNiece.) They went in McNiece's Ford four by four, one half ton pick up truck. They first went down the Weidner Laneway. On the way down, they noticed that there was a tree lying across the roadway and a fallen tree overhanging the roadway at a height that would permit a car to pass underneath it, but not McNiece's truck. They concluded that the car could not have gone through and turned back. They then checked the laneway just north of the Weidner Laneway off of the turnaround but recognized that it was not a likely place for the car. They then went north on the un-maintained Tenth Line which lies slightly to the west of the turnaround and arrived at the end of it where they found a number of very large rocks that were impassable; they concluded that the car was not there either.

[246] The men went back to the Weidner Laneway. They lifted the overhanging tree to allow the truck to pass through and proceeded to the hydro right-of-way. They found the car there stuck on a rock, aimed in a westerly direction. The keys had been left in the ignition and the lights and the radio had been left on. The battery was dead. McNiece saw two cooler bottles sitting empty on top of the car. He looked inside the car and saw blankets, clothing, empty beer bottles, and a wine bottle with some wine in it. McNiece opened the trunk and found a survival kit. He went into the car and smelled alcohol. He and Jason Rodgers discarded the bottles in the bushes.

[247] McNiece left the scene and got booster cables from a friend who lived on County Road 40 north of Rusaw Lane. He then went back to the car and boosted it. Once the car was started, the men tried to push it off the rock but they were unable to do so. Using a tow line, McNiece pulled the car off the rock. Jason drove the car out. He was unable to turn the car around until he had backed up to the point where the Weidner Laneway exits to the hydro right-of-way. He had to take a run to get over the log on the laneway since it was too heavy for the men to move; the car bottomed out. Apparently it also bottomed out elsewhere on the laneway. Jason drove the car to McNiece's house in Norwood.

[248] What follows is the evidence of the individuals related to the search for the car.

The Evidence of Jeff McNiece

[249] Jeff McNiece is the uncle of Robyn LaDuke, Aaron LaDuke, Jessica Arthur and Jennifer Rodgers, who is married to Jason Rodgers. He is the owner of Asphodel Fire Trucks, which is in the business of manufacturing and servicing emergency vehicles for police, fire and ambulance. He has been in the business for 13 years.

[250] McNiece heard about the events that befell Jessica G and Robyn the next day, and two or three days later went to look for the car. He was accompanied by Ross Rodgers and Jason Rodgers. He was driving a Ford half ton four by four truck with four wheel drive.

[251] They went down the Weidner laneway. They were stopped by a fallen tree that was suspended over the laneway, which the truck could not get under. It was caught in the crotch of another tree. This was just past the fork in the Weidner laneway.

[252] This led them to the view that the car would not have likely gone there either, so they checked out the laneway running to the north of Rusaw Lane, being the Tenth Line, and came to a group of large stones. They concluded that the car could not be there and went back to the Weidner Laneway and moved the tree. Further down the laneway they found a tree about six inches in diameter that they had to drive over and then came out on the hydro right of way. They got out of the vehicle and started walking and saw the car. The car was 'hung up' on a large rock with the front wheels slightly off the ground.

[253] The battery was dead, apparently because Jessica G and Robyn had left the radio on. As a result, McNiece had to drive back and get a set of booster cables which they obtained from a friend, Henry Levesque, whose place was just north of Rusaw Lane. He estimated that they were gone 15 minutes. In McNiece's view, Gerry McGowan did not find the car before he did.

[254] McNiece looked inside the car and saw blankets, clothing, beer bottles and a wine bottle with some wine in it. He and Jason Rodgers discarded the bottles. He does not believe that he said anything to Ross Rodgers about the bottles. He believes that Ross Rodgers was retrieving the chain to pull the car off the rock. This seems unlikely, since the men first tried to push the car off the rock when it was running.

[255] McNiece opened the trunk and found a survival kit. He went into the car as well and smelled alcohol. There was a wine bottle and some empty beer bottles and:

A. "There was also two cooler bottles on the car."

Q. "On top of the car?"

A. "Yes."

Q. "And were they empty?"

A. "Yes, they had just a little bit left in them."

Q. “Okay. So the two coolers, were they on the hood of the car?”

A. “I believe, it was the roof by the passenger’s door.”

This is a telling image, and I note that neither party put it to Robyn to refresh her memory when she was called in reply.

[256] McNiece identified the rock and a pathway to the right of the rock “where, uh, four wheelers go up and down. The – the snowmobile trail is – is in there”. McNiece estimated that the car was in two or three hundred feet from the laneway, facing west.

[257] When Jason Rodgers drove the car out “he had to take a run at that tree that was across the road ‘cause it was too big for us to lift and it really bottomed out goin’ over the tree”. The tree was about a half a kilometre from the cabin and a kilometre away from the hydro right of way.

[258] McNiece went to the hospital and visited Robyn who told them that: “They had turned off the Rusaw Lane.”

[259] McNiece admits giving a statement to Terry Leonard, investigator for the defendant in March of 2000. The statement noted that “the girls left Norwood looking for a house party in the area...down Rusaw Lane.” The 2000 statement did not refer to Jason Rodgers. It did not say anything about the bottles found in the car or the bottles found on top of the car. McNiece explained this as: “I was trying to protect my niece.” He did not tell the investigator that the car smelled of alcohol.

[260] McNiece was called to give evidence twice. The first occasion was on November 24, 2008. He gave evidence a second time on December 12, 2008 in response to a ruling from the court on December 3, 2008. There was more cross-examination by plaintiffs’ counsel. McNiece did not previously tell about the bottles he found in the car because he was trying to protect Robyn’s name from being smeared in the media. He admitted lying in the statements that he provided in 2002 and 2006. He said that he was not prepared to lie under oath and so advised Joan Granatstein, the legal assistant to counsel for the plaintiff, Donald Granatstein, in a telephone conversation.

[261] He spoke to Jason Rodgers a couple of weeks before giving evidence a second time and after his earlier testimony. They spoke in general because the case is quite controversial in the municipality. He asked Jason whether he had gone to court at that point. (Jason testified on December 8, 2008.) He then said that Jason brought up finding the bottles on top of the car. He had no response when he was told that Jason had given evidence that McNiece refreshed his memory about the bottles on top of the car.

[262] In further questioning, McNiece admitted that he knew that he was not to discuss his evidence in court and he said that he had not. He had no conversation with Jessica Arthur about

her evidence. He saw her three months ago, incidentally at the doctor's office and about five months ago at a birthday party. He is on good terms with Robyn. The Saturday before testifying, all of his nieces except Jessica Arthur were at his home as part of an annual Christmas party for staff and family.

[263] McNiece said that he did not realize until a couple of years ago that Douro-Dummer was the defendant. He was questioned about his business, Asphodel Fire Trucks. It manufactures emergency vehicles. It also services those vehicles for Douro-Dummer. The service work started in 2005 and continues. In 2007, he delivered a fire truck to Douro-Dummer for which the company was paid \$239,000, having made the low bid.

[264] Douro-Dummer has five stations and nine to ten trucks. It was put to him that he was changing his evidence in order to preserve his business relationship with the municipality. His response was direct: "That's incorrect. I tell the truth and it doesn't matter which way it goes." He testified that he was not asked by Douro-Dummer to change his evidence and would not do so in any event.

[265] The company has 37 employees and builds 40 trucks a year, approximately one truck every 10 days. There are 761 fire departments in Ontario alone and Douro-Dummer's bid was one only. He admitted hoping to do more business with the municipality in the future, but would not put the company's or his own reputation on the line by lying under oath.

[266] McNiece's evidence was straightforward and coherent about finding Jessica G's car. His evidence was reasonable and consistent. The details are corroborated by the evidence of others as will be noted below. He gave his evidence in a clear and direct manner and was not shaken in cross-examination. His recall was good, including matters of detail.

[267] Mr. Granatstein attacked Mr. McNiece's credibility on a number of bases. First, he challenged McNiece's evidence on finding beer bottles in the car and on top of the car, and throwing them away. This was inconsistent with previous statements that McNiece gave. McNiece said that he was trying to protect his niece and I find this to be a plausible explanation. Mr. Granatstein pointed out that Jason Rodgers and McNiece are not consistent on who of the two of them first remember the cooler bottles on top of the car. McNiece said it was Jason, and Jason said it was McNiece. Mr. Granatstein invited me to draw the inference that they were making it up in order to make the case easier for the defence. How a common memory can be revived is a mystery and I am unable to conclude that McNiece was lying when he gave this evidence. Mr. Granatstein simply did not press hard enough on the issue in cross-examination. Mr. Fireman's failure to follow up on this in Robyn's examination in chief in reply is telling. I conclude that regardless of who refreshed whose memory, the memory was accurate.

[268] Mr. Granatstein argued that McNiece has an interest in the outcome of the litigation because the Township is a customer of his fire truck business. I doubt that the sale of a fire truck or an ongoing servicing contract would be enough to motivate perjury, particularly since the business depends on sales to many more fire departments than Douro-Dummer. I am also aware,

however, that if a loss in this case were blamed on McNiece's evidence, his business might be adversely affected because other municipalities might be upset at the general increase in liability obligations.

[269] Mr. Granatstein also argued that Ross Rodgers would have seen the bottles and heard them being disposed of. But his questioning of Ross Rodgers did not push Ross into considering whether he saw bottles on top of the car or whether he heard them being thrown away. After so many years, it is not surprising that Ross Rodgers would have no specific recall without memory refreshment.

[270] In some of his questioning of witnesses, Mr. Granatstein came close to suggesting that there was collusion among McNiece, his son-in-law Jason Rodgers, and his niece Jessica A. While this is possible, I find that it is not likely. There are enough corroborative points of congruity between the evidence of Jessica A and the evidence of others not under McNiece's influence such as Jessica G, Robyn and Nicole Moffatt to allay this concern. Jessica A's evidence was fluent and unrehearsed. I doubt McNiece's capacity to coach her on either her presence on Rusaw Lane in fall 1999 with Jessica G and Robyn or on the details of back road tours, and there is no evidence that he did so.

[271] McNiece's evidence was straightforward and coherent about finding Jessica G's car. His evidence was reasonable and consistent. The details are corroborated by the evidence of others as will be noted below. He gave his evidence in a clear and direct manner and was not shaken in cross-examination. His recall was good, including matters of detail. Despite Mr. Granatstein's submissions, I accept Mr. McNiece's evidence.

The Evidence of Jason Rodgers

[272] Jason Rodgers was called by the defence. He is 34 years old and lives in Norwood, Ontario where he works as a miner. On Monday, January 17, 2000, he set out at about 10 a.m. with Jeff McNiece and his father, Ross Rodgers, to find Jessica G's car. Jeff McNiece apparently got information from Robin's mother that the car was in an open field off the end of "Rusaw Road." They drove to the turnaround at the end of Rusaw Lane.

[273] Jason identified the photographs along the Weidner laneway. He did not recall seeing the "No Trespassing" sign on the post but he noted that he was in the back of the vehicle. It was a normal drive on the laneway to the hunt camp, which is about 100 feet in. They parked the truck and walked on the trail into the forest. He found it to be "really rocky" with rocks, stumps, and trees on the road itself. They proceeded past the fork when the laneway became "really, really rocky." He identified it as an all terrain vehicle trail.

[274] Eventually they came to a spot where a fallen tree was bent over the roadway. At one side it was about three feet above the road and at the other side was about eight to ten feet above the road. They decided that the car could not have gone that way and walked back to the truck.

[275] They next tested the other easterly laneway, which has been described as a logging road. At about 60 to 100 feet in they reached a dead end.

[276] They then went north on the 10th concession line, which is an unopened road allowance. About one half to three quarters of a mile in, the way was blocked by five or six big rocks.

[277] They concluded that the car had to be at the end of the Weidner laneway. They drove the truck to the tree that was across the laneway. They moved the tree off and then proceeded, driving slowly, and continued on to the “towerline” corridor. Jason testified in response to questions that there were in some places along the way where a car might have turned around.

[278] The truck came out through some pine trees at the edge of the towerline. He said that it was tough to see the trail from the towerline because of the big pine trees. These were identified in one of the exhibited photographs. In response to questions from counsel, Jason noted that the terrain at the exit of the laneway on the hydro right of way was a clear and relatively flat, and a car could have turned around there. There was a trail to the left and the right along the hydro right of way.

[279] McNiece turned the truck to the right heading west and they saw the car up about 300 yards, according to Jason’s estimate. He inspected the vehicle and noticed a couple of wine cooler bottles on top of the car that were empty.

[280] The car was pointing west parallel to the direction of the corridor and the wheels were straight. It was perched on a rock. The molding on the bottom of the door was damaged. There was a burnt spot on the grass was under the driver’s side door and he surmised that the exhaust must have caught the grass on fire.

[281] He opened the door and he could smell alcohol. He saw six to eight empty beer bottles and a 1.5 litre bottle of wine that was half full. There was also clothing on the back seat consisting of three or four shirts, sweatpants, sweaters, and blankets.

[282] The car would not start because the battery was dead. The men left to get booster cables and when they returned they boosted the car. When the car was boosted, it turned out that, while the keys were in the “off” position, the lights were on. When it started, they tried to drive the car off the rocks with Jason at the wheel and Ross Rodgers and McNiece trying to push it off. That was unsuccessful and they pulled it off with a chain.

[283] Jason drove the vehicle out. He had to back it up to the area where the laneway exited before he could turn it around. It was possible to drive the car on the laneway but he “had to take it really slow”.

[284] Jason was cross-examined about a conversation that he had with the investigator, Ian Wahn, in 2006. He did not remember telling Mr. Wahn that there was no place to turn the car around. He also did not remember telling Mr. Wahn that he did not recall seeing beer bottles.

[285] His memory about the bottles was refreshed by talking to McNiece three months earlier who said something about bottles. He remembered bottles on top of the car but says he did not discuss that with McNiece. Later in cross-examination, he said that he did not remember the bottles until he spoke with McNiece. McNiece told him that there were two bottles on top of the car. He discarded the bottles because he did not want the girls to get into trouble. He and McNiece threw them into the bushes. I cannot infer that he and McNiece colluded on this evidence.

[286] Jason was asked about his father's evidence. His father, he says, would have seen the cooler bottles sitting on top of the car since he was in the passenger seat. His father, however, said that he did not see the bottles. Jason said that his father was a truthful person and if he had seen the bottles he would have said so. He concluded that his father probably does not remember. He agreed that his father would have heard McNiece and him tossing the bottles into the bush, but he has not discussed this with him.

Evidence of Ross Rodgers

[287] Ross Rodgers was called as a witness by the plaintiffs. His evidence corroborates the evidence of both Jeff McNiece and Jason Rodgers in most material particulars. Some of the different details follow.

[288] Ross was familiar with Rusaw Lane because he had hunted there in the past. In cross-examination, Ross said that he did not see the post with the "no trespassing" sign on it at the beginning of the Weidner laneway, but he admitted that it could have been there. The tree that they found suspended across the laneway would have permitted a car to pass underneath it, but not the truck. This required them to lift the tree.

[289] The car was found facing west. By his estimate, the car was located 500 to 1000 yards along the tower line from the exit of the laneway. Ross could see no indication that the car had been trying to turn.

[290] Ross was not in the car and did not look inside it. He noticed that the grass was burnt. Ross put the cables on the battery to boost it. He assisted in towing the car off the "hump" with the motor going. His evidence was that the keys were left in the on position but this is not consistent with the evidence of Jason, who was in the car.

[291] Ross was specifically asked whether he saw any beer or liquor bottles "around the car". He said that he did not see any. It is impossible to know whether his memory would have been refreshed by a specific question about whether he saw two wine cooler bottles on top of the car, but this evidence did not come in until later in the trial through McNiece and Jason. He was not asked if he heard the clanking of bottles when they were thrown away by McNiece and Jason. Ross did not remember whether Jason said anything at the time about alcohol or beer bottles.

[292] He reluctantly admitted that there were places in which the car could have been turned around between the Rusaw Lane turnaround and the hydro right-of-way, but he hesitated and said that “you would need to know what you were doing to turn it around even in daytime”.

The Evidence of Joan Granatstein

[293] Joan Granatstein is married to Donald Granatstein, counsel for the plaintiffs, and is his legal assistant. She received a phone call from Jeffery McNiece on September 17, 2008. He objected to being asked to give evidence, advising that he was in business and too busy for this sort of thing. He warned that if he was called, he would say that there were alcohol bottles around the car. He said words to the effect that “the girls did a foolish thing and now they want everyone else to pay for it.” She conveyed the message to her husband.

The Evidence of Ronald Finch

[294] Ronald Finch searched for Jessica G’s car on behalf of Jessica G’s father, Gary Greenhalgh. He was in contact with him and told him he would go look for the car since Mr. Greenhalgh was in the hospital with his daughter. His wife was with him at the time, but stayed in the car. They spent three to four hours looking for the car. He testified that he “drove down quite a few roads” and “by fluke” hit Rusaw Road. He was driving a Ford LTD, which he described as a mid size car.

[295] When he got there he noticed that there was a fallen tree across the road. It was leaning at a 45 degree angle four feet off the road on one side and eight feet off the road on the other side. When he came to the tree, he backed up. He parked at the hunting cabin and walked up the trail. When he turned around at the spot where the tree was leaning and did not find the car. He later found out that he was on the right road but did not go far enough.

The Evidence of Gerry McGowan

[296] Gerry McGowan worked with Gary Greenhalgh. On January 15, 2000, he heard about the incident involving Jessica G and Robyn and went looking for their car. He had heard that the car might be in the Rusaw Lane area. He knew the area quite well. His younger brother was friendly with boys who lived on Rusaw Lane. He had also hunted in the area.

[297] He went down Rusaw Lane to the turnaround. He then went down the Weidner Laneway. He was driving a 1998 Ford one ton four wheel drive truck. He drove down towards the tower line and when he came out, he saw the car, he estimates, 50 to 60 feet away. He approached the car which he noticed was hung up on a rock and “never touched nothing”.

[298] He saw no bottles. He glanced inside the car and did not see bottles there. He noticed that the ground under the car was burnt. He got back in the truck and left. He believes that he called Gary Greenhalgh or Ronald Finch. He thought that Jeff McNiece might have found the vehicle before he did. McNiece was supposed to take care of it.

[299] It is probable that McNiece found the car first. McGowan did not mention the tree across the laneway. As in the case of McNiece, who was driving a slightly smaller truck, he would not have been able to get past it. This suggests that the tree had already been removed by McNiece before McGowan came upon the car. McNiece's evidence was that he left to get booster cables, so it is possible that the bottles were removed from the car and disposed of before McGowan got there. McNiece did not testify until after McGowan gave his evidence so the specific evidence about the two bottles on top of the car was not put to McGowan. McGowan was not recalled, however, to deal with that evidence.

The Evidence of Terry Leonard

[300] Terry Leonard is an independent insurance adjuster and was retained to investigate the incident in February 2000. He took a statement from Jeff McNiece dated March 14, 2000, which was made an exhibit. He does not recall who referred him to McNiece but says that he knew that McNiece was Robyn LaDuke's uncle.

[301] Before speaking to McNiece, he heard talk around the village about the alcohol bottles. He deliberately chose not to ask McNiece about the bottles because he did not want to jeopardize his chances of getting McNiece to provide him with information and get a statement.

The Evidence of Ian Wahn

[302] Mr. Wahn is a private investigator retained by Mr. Granatstein to investigate the matter. He interviewed Jason Rodgers on January 17, 2006, who remembered a wine bottle but did not recall finding beer bottles in the car. Mr. Wahn interviewed Jeff McNiece by telephone on January 16, 2006. McNiece recalled finding the car. He advised Mr. Wahn that there were no bottles in or around the car and that he would be willing to sign a statement to that effect.

The Alcohol Issue

[303] The defendant was focused on the use of alcohol by Jessica G and Robyn that evening. I am not able to find on the balance of probabilities that Jessica G and Robyn were intoxicated at any point in the afternoon or the evening. Only they know how much they drank, when they drank and what the effect was on them. I am therefore not able to conclude that alcohol intake played a critical role in the events of the evening. I do find, however, that Jessica G and Robyn lied when they denied alcohol intake in or around the car.

[304] Jessica G initially did not recall drinking at Randy's apartment earlier in the day, but later admitted that she did, and the fact that she did is plain from the evidence of Randy, Nathan and Robyn, who also admitted to drinking. The evidence was that they were not intoxicated when they left Randy's apartment. While I believe that all four witnesses were minimizing alcohol consumption, I am not able, on the balance of probabilities, to conclude that they were intoxicated at that time.

[305] There is no evidence that there was alcohol consumption at Curtis' apartment. Nicole's evidence about Jessica G's alleged drunken behaviour is not corroborated by David Hollings. No other evidence was led, so again, I am not able to conclude, on the balance of probabilities that Jessica G and Robyn were intoxicated when they left Curtis' apartment.

[306] The women deny that they consumed alcohol from time to time in the car, but Jeff McNiece and Jason Rodgers, who found the car, said that it smelled strongly of alcohol. The odour could signify active drinking, or the presence of empties in the car that had not dried out.

[307] I accept the evidence of Jason Rodgers and Jeff McNiece that they found empty bottles and a half-bottle of wine in Jessica G's car. I also accept their evidence that they found the car with two empty cooler bottles on the roof, which leads to the inference that the women drank them immediately before they set off.

[308] This evidence is not of recent fabrication, since both Nicole and Jessica A testified that the presence of bottles in the car was known in the community in January 2000. This is corroborated by the evidence of insurance investigator Terry Leonard, who says that he heard talk around the village about the alcohol bottles, but decided deliberately not to endanger his chance of getting a statement by putting the question to Mr. McNiece. Jason Rodgers told investigator Ian Wahn in 2006 that he recalled the wine bottle, but did not recall finding beer bottles in the car.

Findings on the Evidence

[309] Here I set out the sequence of events that I have found, after carefully considering the evidence, to have been most likely, and I reach conclusions on the specific issues relevant to liability.

[310] On Friday, January 14, 2000, Jessica G was driving her mother's Ford Tempo. She and Robyn met up and went to the home of Randy McIlmoyle and Nathan Rutherford, who lived in a house outside Hastings. They had been invited over for dinner because Robyn was Randy's ex-girlfriend and he was shortly going out West. They arrived at about 3:00 p.m. in the afternoon and some hours later had a spaghetti dinner.

[311] There was alcohol at dinner, at least a six pack of beer and a bottle of red wine. Robyn's evidence was that she consumed one to two bottles of beer at most and a glass of red wine. Randy was a non-drinker because his mother was an alcoholic. Jessica G and Nathan also had one to two bottles each. Jessica G and Robyn deny being intoxicated. I am not able to conclude from the evidence that they were intoxicated when they left Randy's home.

[312] Jessica G and Robyn left at about 7:00 p.m. and went to the home of Curtis King in Norwood. They were at the house for about 15-20 minutes when Curtis and his friends left at about 8:00 pm to play hockey in Norwood. There was some evidence that Jessica G behaved in an obnoxious fashion and appeared intoxicated; it may have been feigned. There is no evidence

that they had anything to drink at Curtis's apartment. I am not able to conclude from the evidence that Jessica G and Robyn were intoxicated when they left Curtis's apartment.

[313] Jessica G and Robyn did not want to go to the hockey game. In Jessica's words they wanted to do "anything but." Robyn disliked the cold of the rink. They left, driving with no particular destination in mind, and ended up going north on County Road 40. Their plan was to rejoin the others after the hockey game.

[314] Jessica G and Robyn drove to the home of John Poole, which was located north of Rusaw Lane off of County Road 40. He was a drug dealer from whom the women used to purchase hash oil. He was not at home. They then went back onto County Road 40, drove south and made a left hand turn onto Rusaw Lane.

[315] At the end of Rusaw Lane are two private single-lane laneways that run off of the eastern end of the turnaround down a slope from the turnaround to the laneways that a driver would notice. Day or night, these laneways are clearly not a continuation of Rusaw Lane, which obviously ends at the turnaround, as shown in the photographic and the video evidence, including the night-time video.

[316] One laneway proceeds north into the woods and is best described as a logging road. The other proceeds east, followed by a hard right turn to the south. It is on the Weidner property. These laneways are obviously single lane tracks and are narrower than Rusaw Lane.

[317] On January 14, 2000, Jessica G and Robyn drove through the turnaround at the end of Rusaw Lane and continued east before making the sharp right hand turn down the Weidner laneway. They passed a primitive gate composed of a fence post to which was attached a snow fence. There was a "No Trespassing" sign on the post. The night video shows that the sign was barely visible and could have been missed, as Jessica and Robyn say it was. I do not believe that it would have deterred the women in any event. The photographs show the snow fence pinned to the post but lying on the ground leaving the laneway open to travel. Jessica and Robyn denied having opened the snow fence to get access.

[318] They drove along the laneway past an unoccupied house, identified by some of the witnesses as a "hunt cabin," and past a fork in the laneway. They took the right hand laneway going south rather than the left hand laneway going east, which is inconsistent with the evidence that they wanted to go east to Twelfth Line, but in the dark and with the twists and turns, they might have become disoriented. As they went along the laneway narrowed and became somewhat bumpier. Towards the end the vegetation was fairly close and, according to Jessica G's evidence, was scraping one or both sides of the car.

[319] They exited from the laneway onto a hydro right-of-way that ran east-west. It was treeless and open, and relatively flat at the exit from the Weidner laneway. They made a right hand turn and drove westerly down the hydro right-of-way for some meters, but the exact distance is unknown. Had they continued they would have eventually reached County Road 40. Unfortunately, however, they soon hit a rock, buried in the dirt, which protruded slightly but was

not visible from inside the car. (No one has since been able to locate the rock.) The car's front wheels were lifted. Since it was a front-wheel drive vehicle, the tires no longer made adequate contact with the ground to move the car. The women tried to back the car off the rock, to move the car forward, and to rock the car. None of these efforts worked.

[320] At one point there was a brief grass fire around the rock and some smoke. At this the women left the car quickly for fear that it might explode. The fire eventually burnt out and they returned to the car. They made additional unsuccessful efforts to start the car. Eventually the battery died.

[321] There is some question about whether the women intended to turn the car around, as they suggested, or whether they intended to continue to drive the car along the hydro right-of-way as the defence suggests. The car was found with its front end facing west towards County Road 40. The photographs show a flattened track in the grass to the right of the rock. It is possible that Jessica G was beginning a turn by going slightly to the left of the track when the car struck the rock. Since the women did not walk west along the right-of-way to County Road 40, which was not visible from the car's resting place, but instead tried to retrace their path into the woods, I find on balance that they intended to turn the car around and were beginning that effort or were about to begin that effort when the car got stuck. They clearly did not know how close they were to County Road 40.

[322] Jessica G had a cell phone with her. The cell phone records indicate that a call was made at approximately 9:40 p.m. to the home of Aaron LaDuke, Robyn's brother. The call lasted about 5 minutes and was apparently a social call. Another call was made at 9:49 p.m. to Aaron. According to the evidence of Jessica G and Robyn, the telephone battery died after they told Aaron that they were stuck but before they were able to tell him the route they had taken to that location. There were two more efforts to call made at 9:51 and 9:53 p.m. that appear to have been unsuccessful.

[323] When it became clear that nothing further could be done with the car, some time after the last phone call the women left the car. Before heading off, they consumed two alcohol coolers and left the empty bottles on top of the car. Robyn was appropriately if lightly dressed for the minus 20 degrees Celsius weather. She had on a hat, coat, mitts and boots. Jessica was dressed in a T-shirt, sweater and a vest. She retrieved the sweater from the back seat of the car. She had on boots but had no hat, and no mitts or gloves. The women did not survey the resources available to them in the car, which would have led them to find an emergency kit in the trunk. They were somewhat oblivious to the dangers facing them.

[324] The women tried to retrace the path taken by the car but were unable to find the laneway in the dark and in the bush. This is not surprising since the laneway exits onto the hydro right-of-way between two evergreen trees whose branches swung back into place after the car passed through. At some point the women veered to the north and made their way through the bush. Eventually Jessica G broke through some ice and ended up in water that was thigh-high. She extricated herself from the water but in the process lost her boots and her socks. Her boots

might not have been laced. Robyn also broke through the ice, but only went in as far as her knees and was able to extricate herself and retain her boots. It is not clear where this incident occurred or whether the body of water was a creek, a pond or the Ouse River. They continued to walk through the bush, Jessica G in bare feet. From time to time they would stop. At one point Jessica G put Robyn's mitts on her feet. From time to time they would huddle in an effort to keep warm. Eventually they stopped and waited for daybreak.

[325] After daybreak they made their way to the entrance to the parking lot to the regional forest, which is found at the north end of Concession Road 12. Joel Thomas, who was heading into the forest to go hunting with some friends, noticed them. He pulled over to where they were and heard them talking through his open window. One of the women said: "We've been in the woods all night. Can you take us to the hospital?"

[326] It took 25 minutes to drive to the Campbellford Hospital. They arrived at about 9:00 a.m. The hospital record written by the intake nurse is timed at 9:25 a.m. Later that day the women were transferred to the Kingston General Hospital for treatment for extensive frostbite.

[327] Jessica G suffered particularly grievous bodily injury. After a failed mid-foot amputation aimed at saving the rest of her feet and her legs, both legs were amputated about mid-calf. She also lost parts of 4 fingers on each hand. Robyn lost her big toes and parts of other toes. After some months Jessica G was able to return home.

[328] It is quite clear from the evidence of the witnesses that their recollections of the timing of events are ragged. This is not surprising, given the lapse of years, and the fact that there was no special reason for anyone to pay attention to the time.

[329] The only precise times of which there is hard evidence is in the telephone records of the calls Robyn made to Aaron LaDuke at 9:40 p.m. when the women were apparently not stuck and at 9:49 p.m. when they were. It also seems plain that Jessica G and Robyn left Curtis' apartment at between 8:00 and 8:30 p.m. If one were to drive the route taken by the women, it would take a matter of minutes to arrive at the rock in the hydro right of way, even if the car were driven relatively slowly down the Weidner laneway as it must have been considering the darkness and the roughness of the terrain. But it took them more than an hour. What they were doing in that time is the central mystery in this case, about which neither Robyn, who was asked, nor Jessica G, who was not asked, offered any plausible explanation.

[330] The likelihood is that they were on a form of back road tour. They went down Rusaw Lane. Having been on it before, and from their knowledge as locals, as Mr. Tighe testified, they knew that it did not go through to the Twelfth Line via public roads. Had Rusaw Lane been part of a route from County Road 40 to the 12th Concession via public roads, this would have been common knowledge among the young people, who would have used it in the same way that they used Mill Line Rd and Beer Bottle Road.

[331] Jessica G and Robyn knew that Rusaw Lane did not go through like Mill Line Road did via Beer Bottle Road but did not care. They were interested in seeing whether a route could be

found through laneways on private property from the end of Rusaw Lane to the Twelfth Line. I find it to be probable that they were likely exploring for that purpose, killing time, moving slowly in the pitch black night, perhaps stopping from time to time.

[332] As they proceeded there were obvious places to turn the car around. They could have turned around at the hunt camp where the ground was relatively flat. They could have turned around at the fork in the laneway a bit further on. But they had no interest in turning around at either point; they wanted to continue the exploration. Because of the nature of the terrain and the dark night, they would have been moving quite slowly; the video shows that taking the route quickly in the dark would be dangerous. Despite the roughness of the road, they did not back out. They did not hesitate to run over the log across the laneway despite the fact that it caused the car to bottom out; it was part of the adventure and they were, at that moment, having fun.

[333] They knew that they were not on a public road once they left the turnaround. They may or may not have noticed the “no trespassing” signs and other indications that they were not on a public road, but that would not have stopped them. They would have taken no notice of “No Exit” signs at the intersection of Rusaw Lane and County Road 40 or a checkerboard sign signalling the end of Rusaw Lane.

[334] As I noted earlier, the plaintiffs must establish, on the balance of probabilities, that the defendant’s negligence caused the injury. To succeed the plaintiffs must show that but for the absence of the No Exit and checkerboard signs on Rusaw Lane, Jessica G’s injuries would not have occurred. I find that the plaintiffs have not proven that there was a causal relationship between the absence of the No Exit and checkerboard signs on Rusaw Lane and the injuries suffered by Jessica G. The Township of Douro-Dummer is therefore not liable.

Issue Three: Was Jessica’s injury a reasonably foreseeable consequence of the breach of the standard of care?

[335] I embark on the analysis of this issue on the assumption that the plaintiff has proven both the existence of a duty of care, and a breach of that duty of care on the part of the defendant that caused the plaintiff’s injuries (even though I have reached the opposite conclusion). Were the injuries a “reasonably foreseeable” consequence of the breach or were they too “remote” to be the “proximate cause”?

[336] The conceptual framework for addressing the question of foreseeability or remoteness is explained by Professor Ken Cooper-Stephenson, in *Personal Injury Damages in Canada*.³¹ He notes that: “A fault-based system of civil responsibility for accidents must have *some* limits on the extent of recovery and the question is therefore not whether such limitations should exist, but exactly where the lines are to be drawn.”³²

³¹ Ken Cooper-Stephenson, “Remoteness of Damage”, *Personal Injury Damages in Canada*, 2nd ed., (Toronto: Carswell, 1996) at 809 – 908.

³² *Ibid.* at 810.

[337] Cooper-Stephenson argues that the concept of foreseeability serves to limit recoverability at every stage of negligence analysis, starting with the question of whether a duty of care exists, continuing on to whether the standard of care was breached, and ending with whether there should be some limit on compensation.

The legal principle which attempts to coordinate the philosophical pressures is “foreseeability”. ...It finds its counterpart in “duty of care” analysis – as the first (“Proximity”) part of the *Anns* formula; and also in “breach of duty” analysis, where the foreseeability (“likelihood”) of harm is an important component in deciding whether the defendant was actually negligent. It is likely that the notion of foreseeability remains relatively constant throughout this scheme of principle, although the duty issue addresses general relationships between categories of people; the breach issue addresses whether, given *all* the potential risks to the plaintiff, there was negligence; and the remoteness issue addresses whether the risk that actually materialized was relevant to the duty and breach. Foreseeability in the first inquiry is part of a general distributive determination, in the second it is a component of a discrete fault inquiry, and in the third a mechanism for bridging the gap between these concerns and the notion of full compensation.³³

[338] The sequence of events that led to Jessica G’s actual injuries is quite convoluted. The defendant seeks to use the improbability of that sequence as a basis for avoiding liability, and raises the issue in three different ways:³⁴

- 1) The “resulting damages will be found to be too remote from the original negligent act, unless it is found that a reasonable person in the defendant’s position would have foreseen that there was a real risk that the same class or character of injury would occur to an ordinarily prudent person as a result of the negligent act.”
- 2) Jessica G’s actions were new and independent acts: “Where new and independent acts intervene between the wrong and the injury, the chain of causation is thereby broken between the original act of negligence and the subsequent injury, unless the intervening acts were reasonably foreseeable as the *natural and probable* result of the original negligence.”
- 3) Section 284 (3) of the *Municipal Act* creates a statutory defence.

Each of these arguments is addressed in turn.

³³ *Ibid.* at 811-812.

³⁴ The claim that Jessica G was contributorily negligent is addressed in the next section of the judgment.

1) General foreseeability

[339] Keeping in mind Cooper-Stephenson's helpful conceptual framework, the "first inquiry" is whether there is a duty of care, which he describes as the "general distributive determination."³⁵ The passage of section 284 of the *Municipal Act* creates a general duty on the part of the municipality towards the users of the road, which is reinforced by the common law, as noted earlier in paras. 15-18, 66 and 67.

[340] The defendant's challenge, however, was not so much to the general duty, but to the issue of the actual breach; this is the "discrete fault inquiry" focusing on the specific facts in the case that Copper-Stephenson calls the "second inquiry."³⁶ The defendant asked "whether the risk that actually materialized was relevant to the duty and breach," and argued strongly that it was "not foreseeable by the defendant that Jessica G would fail to turn the car around, drive on a tower-line corridor, leave the vehicle inadequately dressed, set out through a dense dark forest or suffer from severe frostbite," among other things. Elsewhere, the defendant goes even further:

It is submitted that such injuries are far too remote from the absence of signage to have been caused by it as a matter of law, as a reasonable defendant could not have foreseen a person continuing to drive more than a kilometer beyond the end of the road, past numerous locations where she could reasonably have turned around after realizing she was no longer on a public road and should turn around; attempting to drive on grass along an uneven, rock-strewn hydro corridor; consuming alcohol after getting her car stuck; leaving the vehicle in extremely inadequate clothing when the vehicle contained ample supplies of sweaters, blankets and other clothing; leaving the warmth and shelter of the vehicle and intentionally setting out off into a dark, dense forest (either believing they could somehow blaze a short cut to the home of their drug dealer or because they could not find the trail) in -20°C temperatures; leaving a relatively more brightly lit open space (the hydro corridor) to try to navigate through a relatively darker forest when she could not even find the entrance to the trail they had just traveled along; failing to make appropriate use of the cell phone in their possession; and remaining lost in the woods for 12 hours despite leaving their vehicle stuck at a location approximately 1 kilometer (about a 10-15 minute walk) away from a busy County road on which they should have been able to hear traffic at the time that their car got stuck.

³⁵ Ken Cooper-Stephenson, *supra*, note 31 at 812.

³⁶ *Ibid.*

[341] The form of the defendant's challenge is not consistent with the thrust of the case law. Remoteness analysis does not require foreseeability at anything like this absurd level of detail. In *Mustapha v. Culligan of Canada Ltd.*, concerning a dead fly in a water bottle, the Supreme Court of Canada showed that it is leaning to consideration of the "scope of the risk" posed by the hazardous conduct:

The remoteness inquiry asks whether "the harm [is] too unrelated to the wrongful conduct to hold the defendant fairly liable" (Linden and Feldthusen, at p. 360). Since *The Wagon Mound (No. 1)*, the principle has been that "it is the foresight of the reasonable man which alone can determine responsibility" (*Overseas Tankship (U.K.) Ltd. v. Morts Dock & Engineering Co.*, [1961] A.C. 388 (P.C.), at p. 424).

Much has been written on how probable or likely a harm needs to be in order to be considered reasonably foreseeable. The parties raise the question of whether a reasonably foreseeable harm is one whose occurrence is *probable* or merely *possible*. In my view, these terms are misleading. Any harm which has actually occurred is "possible"; it is therefore clear that possibility alone does not provide a meaningful standard for the application of reasonable foreseeability. The degree of probability that would satisfy the reasonable foreseeability requirement was described in *The Wagon Mound (No. 2)* as a "real risk", i.e. "one which would occur to the mind of a reasonable man in the position of the defendant[t] ... and which he would not brush aside as far-fetched" (*Overseas Tankship (U.K.) [page121] Ltd. v. Miller Steamship Co. Pty.*, [1967] A.C. 617 (P.C.), at p. 643).³⁷

[342] As Cooper-Stephenson notes: "*The Wagon Mound (No. 1)* required merely that the damage must be 'of such a kind' as the reasonable man should have foreseen. It has become clear from subsequent decisions that a relatively broad categorization of kinds or types of damage is involved. Initial response came in *Hughes v. Lord Advocate*. ([1963] A.C. 837 (H.L.))"³⁸

³⁷ *Mustapha v. Culligan of Canada Ltd.*, *supra*, note 23 at paras. 12-13

³⁸ Ken Cooper-Stephenson, at *supra*, note 31 at 819.

[343] In *Ontario v. Cote*,³⁹ the Supreme Court held, per Dickson J.:

The duty of care which rests upon the Minister of Highways admittedly is confined to reasonably foreseeable dangers, the broad general test being that enunciated by this Court in *University Hospital Board v. Lépine* [[1966] S.C.R. 561], at p. 579, “whether a reasonable person should have anticipated that what happened might be a natural result of that act or omission”. If one applies that test to the present case, what happened here was a series of collisions between motor vehicles. The impugned act or omission lay in permitting to continue for some hours a “treacherous, slippery and dangerous” icy condition upon a short stretch of much-traveled highway with a known tendency to ice up. It would seem to me that a reasonable person, familiar with Canadian winters, should have anticipated a vehicle collision or collisions as the natural, and indeed probable, result of such a condition of manifest danger. It is not necessary that one foresee the “precise concatenation of events”; it is enough to fix liability if one can foresee in a general way the class or character of injury which occurred: *Overseas Tankship (U.K.) Ltd. v. Miller Steamship Co. Pty. (Wagon Mound No. 2)* [[1967] 1 A.C. 617]; *School Division of Assiniboine South No. 3 v. Hoffer* [[1971] 4 W.W.R. 746, appeal dismissed, [1973] S.C.R. vi.], appeal to this Court dismissed. [Emphasis added].

[344] Eerily similar to this case is the case of *Lauritzen v. Barstead*, Kirby J. held:

I find that the action of the defendant in grabbing the steering-wheel was the cause of the right rear-wheel running off the traveled portion of the highway; that the conduct of the defendant in doing so constituted negligence; that the action of the defendant in backing up the car after the plaintiff got out of it was an unsuccessful attempt by the defendant to remedy the consequences of his negligence which only served to worsen their position, necessitating the car being moved to a safer location at the bottom of the ditch; that all of the incidents following the initial negligent act of the defendant comprised efforts by both parties to extricate themselves from the desperate situation in which they had been placed by that negligent act.

It is argued that the chain of events was broken by the act of the plaintiff and that he was negligent in getting out of the car after it

³⁹ [1976] 1 S.C.R. 595.

got stuck, leaving the keys in the ignition, knowing the defendant to be in an intoxicated condition. In my view, the plaintiff, taking into consideration the situation in which he found himself, did what any reasonable person would have done under like circumstances and was not negligent in doing what he did at this time.

Returning now to the facts: It was a cold night in December; blizzard conditions prevailed; it was late; the plaintiff and the defendant were traveling through sparsely settled prairie country. These were conditions which made their means of transportation vital to their safety. Traveling as they were, on a slippery highway bordered by a ditch 30 to 40 ft. deep, I am of the opinion that the defendant ought to have foreseen the dangerous consequences likely to flow from his negligent act in grabbing the steering-wheel. It does not seem to me that the decision in the “*Wagon Mound*” case implies that recovery of damages should be conditional upon foreseeability both of the particular harm and the precise manner or sequence of events in which it occurred. I feel, therefore, that the plaintiff is entitled to be compensated for the damages he has suffered.⁴⁰

[345] It seems quite plain that in a somewhat remote location in a rural community in Ontario, someone getting stranded in a motor vehicle in a winter situation as the result of the non-repair of a highway is quite a foreseeable event, as would be physical injury. More is not required to establish reasonable foreseeability as an element of legal causation, since, as noted in *Cote*, “It is not necessary that one foresee the “precise concatenation of events”; it is enough to fix liability if one can foresee in a general way the class or character of injury which occurred.”⁴¹

2) The intervention of an independent new cause

[346] On the factual assumption that Jessica G would not have gone past the end of Rusaw Lane if it had been properly signed, the defendant argued that the coping actions of Jessica Greenhalgh amount to the intervention of an independent new cause of her injuries for which she is solely responsible and not the Township. Cooper-Stephenson explains the law on the intervention of an independent new cause, which is also known as the *novus actus interveniens*:

Even though the initial kind of injury suffered by a plaintiff was reasonably foreseeable, recovery may yet be denied because the causal sequence involved the intervention of an independent new cause: *novus actus interveniens*. On the other hand, it is now very

⁴⁰ *Lauritzen v. Barstead*, [1965] A.J. No. 101, 53 D.L.R. (2d) 267 at paras. 7, 8 and 20 (S.C.).

⁴¹ *Ontario v. Cote*, *supra*, note 39.

rare for a court to deny liability solely on the ground of *novus actus*. Nevertheless, in some circumstances an event occurring between breach and injury may be characterized as a *novus actus* such that, in terms of legal responsibility, the chain of causation is broken; and this despite the defendant's conduct being a clear factual cause of the plaintiff's injury. [Footnotes omitted]⁴²

[347] Cooper-Stephenson goes on to state:

As stated in *Williams v. New Brunswick* [(1985), 34 C.C.L.T. 299 at 319], it would seem that the general test is whether the new force or eventuality was such that "the consequences [of the original negligence] may fairly be regarded as within the ambit of the risk created by the negligence", and not "freakish, fantastic or highly improbable".⁴³

...In summary, it can be suggested that damage will not be too remote if the intervening event was foreseeable; that if the event was not foreseeable, it will only exonerate the defendant if it was (a) so unusual as not even to be a variant on the foreseeable, and (b) of such a character as to make the sequence between breach and injury "indirect". Exoneration, it seems, will be the result only if the event can be characterized as "extraneous" or "extrinsic", or "a fresh", independent cause". In light of this, the notion of *novus actus interveniens* will only very rarely exonerate a defendant from liability.⁴⁴

[348] The defendant argued that Jessica G's negligent conduct after she found herself in difficulty constitutes an intervening cause. The defendant relied generally on the same litany of Jessica G's errors discussed earlier. The plaintiffs responded that, in assessing what Jessica G did or failed to do, "it is important to view her actions in light of the emergency created by the negligence of the defendant." Mr. Granatstein invoked the "doctrine of emergency:"⁴⁵ This was described by Heeney J. in *Burrill v. Ford Motor Co. of Canada Ltd.* in assessing the plaintiff's contributory negligence in that case:

In assessing the plaintiff's actions, there is a well-established body of caselaw that holds that a person thrust into an emergency through the negligence of another, which he did not himself cause or create, is to be judged by a more relaxed standard than

⁴² Ken Cooper-Stephenson, at *supra*, note 31 at 823-824.

⁴³ *Ibid.* at 826.

⁴⁴ *Ibid.* at 828.

⁴⁵ *Gellie v. Naylor et al*, [1986] O.J. No. 372, 55 O.R. (2d) 400 at paras. 8-9 (C.A.).

otherwise. As Henry J. stated in *Hogan et al. v. McEwan et al.* (1976), 10 O.R. (2d) 551 (H.C.J.) at p. 566,

Acting in such a situation not created by himself, his conduct is not to be judged by the standards involving deliberation and the opportunity for careful and conscious decision. He is not negligent in such circumstances if he fails to adopt the best course of action in the light of hindsight; see, e.g., *Harding v. Edwards and Tatisich* (1929), 64 O.L.R. 98, [1929] 4 D.L.R. 598 (Ont. C.A.); affirmed [1931] S.C.R. 167, [1931] 2 D.L.R. 521.

By that standard, I am not persuaded that the plaintiff's decision to "ride it out" and to refrain from applying the brakes was negligent in the circumstances.⁴⁶

[349] There is another category of intervening cause identified by Cooper-Stephenson: "Grossly negligent, reckless or conduct actually intended to cause harm will break the chain of causation and constitute a *novus actus interveniens*, unless such conduct was foreseeable..."⁴⁷ I do not find that Jessica G's conduct after the car got stuck, as unwise as it may seem in retrospect, falls into this category of cases. Her conduct is best assessed under the rubric of contributory negligence.

3) Does section 284 (3) of the *Municipal Act* create a statutory defence?

[350] Section 284(3) of the *Municipal Act* provides:

No action shall be brought against a corporation for the recovery of damages caused by the presence or absence or insufficiency of any wall, fence, guard rail, railing or barrier, or caused by or on account of any construction, obstruction or erection or any situation, arrangement, or disposition of any earth, rock, tree or other material or object adjacent to or in, along or upon any highway or any part thereof not within the traveled portion of such highway.

The defendant argues that this provision is a bar to this action.

[351] In *Dubois vs. Sault Ste. Marie*, construction was proceeding and a ditch had been dug across a section of pavement that had formerly been a continuation of a street, but which had been conveyed to the school board.⁴⁸ The city had installed barricades and two flashing lights to warn traffic that the street ended but they had been removed and thrown on the shoulder of the

⁴⁶ *Burrill v. Ford Motor Co. of Canada Ltd.*, [2006] O.J. No. 4059, 151 A.C.W.S. (3d) 1084 at paras. 79 – 80 (Sup. Ct.)

⁴⁷ Ken Cooper-Stephenson, at *supra*, note 31 at 828, and 830.

street by vandals a day earlier. The plaintiff's vehicle struck the ditch resulting in damage and injuries. Evans J.A. said:

With respect, I am unable to agree with the interpretation which the learned trial Judge has placed upon s. 443(3). Section 443(1) imposes a liability upon a corporation to keep in repair the highways and bridges over which it has jurisdiction. Section 443(3) restricts the bringing of actions for damages against the municipality in certain situations. This subsection, which was formerly s. 480(2a) [Municipal Act, R.S.O. 1937, c. 266], which was enacted by 1939, c. 30, s. 33, was considered by this Court in *Hopper v. County of Bruce*, [1950] O.R. 284 at p. 290, [1950] 2 D.L.R. 638 at p. 642, Laidlaw, J.A., held that the subsection could be divided into two separate parts reading as follows:

- (1) No action shall be brought against a corporation for the recovery of damages caused by the presence or absence or insufficiency of any wall, fence, guard rail, railing or barrier.
- (2) No action shall be brought against a corporation for the recovery of damages caused by or on account of any construction, obstruction or erection or any situation, arrangement or disposition of any earth, rock, tree or other material or object adjacent to or in, along or upon any highway or any part thereof not within the traveled portion of such highway.

In my opinion, the facts of the present case do not fall within either one of the above exceptions. The causa causans of the accident from which the damages resulted was the failure of the City to provide adequate warning to motorists that Wiber St. ended south of the intersection. The construction of a ditch along the south side of Amy St., including that part of the road which was formerly Wiber St., created the hazard, but the effective cause of the accident was the failure of the Municipality to adequately warn of such hazard.⁴⁹

⁴⁸ *Dubois vs. Sault Ste. Marie*, [1971] 1 O.R. 462-466 (C.A.)

⁴⁹ *Ibid.*

[352] In *Ouellette vs. Hearst*, part of a utility pole erected by the Town of Hearst fell during a windstorm and struck a van being driven the plaintiff who was injured.⁵⁰ The trial court found for the plaintiff. The defendant appealed alleging that the utility pole was an “erection... or object not within the traveled portion of a highway” so that Section 284 (3) precluded the action. The court found the plaintiff’s injuries were caused by the defendant’s failure to properly secure and maintain the pole which broke, fell and struck a van traveling on the highway. MacPherson J.A. held:

The purpose and language of s. 284(3) is to protect municipalities from actions where drivers leave the highway and strike an object erected or constructed by the municipality adjacent to the highway. In the present case, s. 284(3) would have precluded Ouellette's action if he had driven off the highway and struck the utility pole where it had been placed. That is not what happened; Ouellette was injured when the pole struck his van while he was driving it on the highway. In short, s. 284(3) seeks to protect municipalities from actions brought by drivers who go where they are not expected to go (off the highway); it does not protect them from injuries to persons in vehicles on the highway. [Emphasis added]⁵¹

[353] The defendant focused on the words: “... s. 284(3) seeks to protect municipalities from actions brought by drivers who go where they are not expected to go (off the highway),” and argued: “as the rock which the Greenhalgh vehicle struck was located beyond the travelled portion of Rusaw Lane, beyond the point on the private trail at which Ms. Greenhalgh no longer thought that she was still on Rusaw Lane and 100-300 yards along the hydro corridor west of the end of the trail that she claims she initially thought was the continuation of Rusaw Lane, the rock was an object not on the travelled portion of Rusaw Lane which falls within the statutory bar to maintaining an action for non-repair.”

[354] The plaintiffs interpreted *Ouelette* differently and picked up on other language in the decision: “The court held that the purpose and language of Section 284(3) is to protect municipalities from actions where drivers leave the highway and strike an object erected or constructed by the municipality adjacent to the highway. Since Ouelette was on the highway, the Court dismissed the appeal.” [Emphasis added]

[355] These decisions can be reconciled. Subsection 284 (3) leaves municipalities responsible for “the presence or absence or insufficiency of any wall, fence, guard rail, railing or barrier, or caused by or on account of any construction, obstruction or erection or any situation, arrangement, or disposition of any earth, rock, tree or other material or object” that is “within the travelled portion of the road allowance.” A municipality cannot escape liability, for example, if it leaves a rock or other object “within the travelled portion of the road allowance.” Road allowances are wider than the travelled portion, so the purpose of the subsection is to protect

⁵⁰ *Ouelette vs. Hearst*, [2004] O.J. No. 1120, 70 O.R. (3d) 204 (C.A.).

⁵¹ *Ibid.* at para. 20.

municipalities against liability for the listed things if they are found within the road allowance but not within the travelled portion. In *Ouelette*, the object ended up on the travelled portion of the road allowance, so the municipality was liable. In *Dubois*, the construction was not within the road allowance because it had been conveyed to the school board; the complaint was about the absence of a warning sign, so the municipality was liable.

[356] Section 284 of the *Municipal Act* is about the repair of highways and bridges by a municipality and expressly creates a duty of care in negligence. That duty of repair, as the cases discussed above at paras 13 – 17 show, includes signage. The protection in section 284 (3) is narrower than the duty in subsections 284 (1) and (1.1). Section 284 (3) refers expressly to a number of things, but not to signs. I therefore find that the protection for the municipality in section 284 (3) does not apply to the plaintiffs' claims, which relate to the absence of signs. The rock on which Jessica G's car got stuck is simply not contemplated by the section.

Issue Four: Was Jessica G contributorily negligent?

[357] The analysis of contributory negligence proceeds on the assumption that the plaintiff has proven both the existence of a duty of care, and a breach of that duty of care on the part of the defendant that caused the plaintiff's injuries (even though I have reached the opposite conclusion).

[358] The defendant catalogued at least sixteen different instances of Jessica G's negligence both after leaving Rusaw Lane and after getting stuck, largely repetitive of the complaints set out above, including: the failure to turn around well prior to the hydro right of way; the fact that she did not check the car for supplies that may have helped (there was an emergency kit in the trunk); leaving the car; leaving the car inadequately dressed when there was clothing in it that could have kept her warm; going into the bush rather than staying on the hydro right of way; venturing on ice so early in the winter, and so on. Retrospective criticisms are always possible and hindsight is perfect. One might, for example, consider Jessica G's and Robyn's decision to leave the car and try to find the laneway, which the evidence notes was at most several hundred metres away, to have been prudent, but then criticize as imprudent their failure to return to the car when they were unable to find the laneway. The defendant argued that Jessica G was contributorily negligent so that a good deal of fault for her injuries is hers; if the Township had been found liable, the fault would therefore be apportioned between her and the defendant in proportion to their respective fault under the provisions of the *Negligence Act*.

[359] Mr. Granatstein for the plaintiffs urged a less critical assessment of the conduct of Jessica G and Robyn both after they went off of Rusaw Lane and after they got stuck on the rock in the hydro right-of-way, and relied on *Lauritzen v. Barstead*,⁵² and *Burrill v. Ford Motor Co. of Canada Ltd.*⁵³ Although I accept the caution, I noted earlier that the women were oblivious to the dangers they faced and the criticisms have some merit. I find that Jessica G was contributorily negligent and, and if the Township had been found liable, I would have apportioned the fault at

⁵² *Supra*, note 40.

⁵³ *Supra*, note 46.

75 % against the plaintiff and 25% against the defendant. Since they are derivative to the main claim, the *FLA* claims also abate by the same ratio.

Conclusions on Liability

[360] To summarize, I have concluded:

1. The Township's decision not to sign Rusaw Lane with "No Exit" and checkerboard signs was not a breach of the standard of care.
2. Even if the lack of signs was a breach of the standard of care, the plaintiffs have not proven that there was a causal relationship between that breach and the injuries suffered by Jessica G, and therefore the Township of Douro-Dummer is not liable.

The remaining liability conclusions rest on the factual assumption that Jessica G would not have gone past the end of Rusaw Lane if it had been properly signed, even though I have reached the opposite conclusion. I carried on the analysis for the sake of completeness.

3. In a remote rural community in Canada, getting stranded in a motor vehicle in a winter situation as the result of the non-repair of a highway is quite foreseeable, as is the consequence of personal injury.
4. Jessica G's actions after leaving Rusaw Lane and after getting stuck on the rock in the hydro right of way were not so grossly negligent as to constitute an intervening new cause of her injuries that would absolve the Township of legal responsibility.
5. Section 284 (3) of the *Municipal Act* would not apply to provide the Township with protection against liability in the circumstances of this case.
6. Jessica G was contributorily negligent and if the Township had been found liable, I would have apportioned the fault at 75 % against the plaintiff and 25% against the defendant.

Damages

[361] In this second part of the reasons for judgment, I address the issue of compensation even though I have not found liability. If the defendant had been found liable to the plaintiffs, how much would each of them receive and why?

[362] In cases of personal injury, an injured plaintiff is entitled to compensation, known as damages, for two kinds of loss.

General Damages

[363] The first kind is sometimes referred to as "general" damages, or "non-pecuniary" damages because they are not attached to any particular expense. As the Supreme Court of

Canada noted in *Andrews v. Grand & Toy Alberta Ltd.*, these damages are intended to provide the injured person “with reasonable solace for his misfortune,”⁵⁴ including “pain and suffering, loss of amenities and loss of expectation of life.”⁵⁵ As the Supreme Court said in *Lindal v. Lindal*: “The purpose of making the award is to substitute other amenities for those that have been lost, not to compensate for something that has a money value.”⁵⁶

[364] In *Andrews*, the Supreme Court set a cap on general damages in the following terms: “I would adopt as the appropriate award in the case of a young adult quadriplegic like Andrews in the amount of \$100,000. Save in exceptional circumstances, this should be regarded as an upper limit of non-pecuniary loss in cases of this nature.”⁵⁷ For the purposes of this case, the applicable cap for general damages has grown to about \$320,000.

[365] The plaintiffs Gary and Eileen Greenhalgh, Jessica G’s parents, claim the equivalent to general damages under Section 61(2) (e) of the *Family Law Act*, which refers to: “an amount to compensate for the loss of guidance, care and companionship that the claimant might reasonably have expected to receive from the person if the injury...had not occurred.”

Pecuniary Damages

[366] The second kind of loss for which a plaintiff can recover compensation is called “pecuniary” loss because the components of it can be measured in terms of expense. The philosophy behind pecuniary damages is that the plaintiff is entitled to “full compensation” for the financial losses suffered: That is “the amount with which may reasonably be expected to be expended and put in the injured party and the position he would have been if he had not sustained the injury.”⁵⁸

[367] The applicable principle is that: “The plaintiff is entitled to full compensation for pecuniary loss past and future, subject, with respect to the loss of prospective earnings, to allowance for the contingencies of life and a discount for accelerated payment.”⁵⁹

[368] But the Court recognizes that “a plaintiff who has been gravely and permanently injured can never be put in the position he would have been in if the tort had not been committed...money is a barren substitute for health and personal happiness, but to the extent within reason that money can be used to sustain or improve the mental or physical health of the injured person, it may properly form part of a claim.”⁶⁰ Recognizing that there cannot be complete or perfect compensation, an award must be moderate and fair to both parties. There is

⁵⁴ *Andrews v. Grand & Toy Alberta Ltd.*, [1978] 2 S.C.R. 229 at 262.

⁵⁵ *Ibid.* at 260.

⁵⁶ *Lindal v. Lindal*, [1981] 2 S.C.R. 629 at 638.

⁵⁷ *Andrews v. Grand & Toy Alberta Ltd.*, *supra*, note 54 at 265.

⁵⁸ *Ibid.* at 241-242.

⁵⁹ Ken Cooper-Stephenson, *supra*, note 31 at 110. See also Roger G. Oatley: “Is it Time to Revisit the Trilogy?” 2005 LSUC Special Lectures, *The Modern Law of Damages* at 153, 155.

⁶⁰ *Andrews v. Grand & Toy Alberta Ltd.*, *supra*, note 54 at 242.

a tension between “full compensation” which implies a certain degree of generosity to the plaintiff, and the goal of moderation and fairness, which limits the first impulse.

[369] The plaintiffs Gary and Eileen Greenhalgh, Jessica G’s parents, claim damages under Section 61 (1) of the *Family Law Act*, for their “pecuniary loss resulting from the injury” to their daughter, Jessica G.

[370] The assessment of pecuniary damages falls into two categories. With respect to past losses, the onus is on the plaintiff who must prove them on the balance of probabilities. For future losses, the onus is on the plaintiff but the burden is somewhat relaxed; she must prove that there is a “substantial possibility” of the particular loss based upon expert or cogent evidence.⁶¹ In *Graham v. Rourke*,⁶² which dealt with future economic loss arising from a motor vehicle injury, the Court said that the possibility must be “realistic as opposed to a speculative possibility.” The Court added:

A Trial Judge who is called upon to assess future pecuniary loss, is of necessity engaged in a somewhat speculative exercise.... A Plaintiff who seeks compensation for future pecuniary loss, need not prove on a balance of probabilities, that (his) future capacity will be lost or diminished if the Plaintiff establishes a real and substantial risk of future pecuniary loss, (he) is entitled to compensation.⁶³

[371] In *Gerula v. Flores*,⁶⁴ the Ontario Court of Appeal said: “The plaintiff need only satisfy the trier of fact on the evidence that there is a reasonable and substantial risk of loss of income in the future in order to be entitled to damages under this heading.”⁶⁵

[372] The cases have not provided a definition of “substantial possibility” to enable one to determine precisely at what point a risk of future loss ceases to be “substantial” and becomes too remote or speculative to attract any award. Cases have held that possibilities of future loss as low as 25% constitute “substantial possibilities”.⁶⁶ There may be an as yet undetermined *de minimis* threshold that must be met.

[373] Once the plaintiff has established that there is a substantial possibility of future loss, the court must quantify the risk and accordingly reduce the damages payable. The damages are reduced in proportion to the risk of their actual occurrence. Thus if a plaintiff establishes a 35% chance of a future loss of \$100,000, the plaintiff will be awarded 35% of \$100,000, or \$35,000.

⁶¹ *Schrump et al. v. Koot et al.* (1977), 18 O.R. (2d) 337 (C.A.); *Meyer v. Bright* (1993), 15 O.R. (3d) 129 (C.A.).

⁶² [1990] O.J. No. 2314, 75 O.R. (2d) 622 (C.A.).

⁶³ *Ibid.* at para. 40.

⁶⁴ [1995] O.J. No. 2300, 126 D.L.R. (4th) 506 (C.A.).

⁶⁵ *Ibid.* at para. 42. See, for example, *Hornick v. Kochinsky*, [2005] O.J. No. 1629, 22 C.C.L.I. (4th) 29 at para. 428 (Sup. Ct.); *Howes v. Roust*, [2002] A.J. No. 1484, 2002 ABQB 1052 at para. 106; *Gray v. Macklin* (2000), [2000] O.J. No. 4603, 4 C.C.L.T. (3d) 13 at para. 185 (Sup. Ct.).

⁶⁶ *Schrump et al. v. Koot et al.*, *supra*, note 61.

This approach was endorsed in *Schrump, and Longeuay v. Thomas*,⁶⁷ which cited the decision of the English Court of Appeal in *Moeliker v. A. Reyrolle & Co. Ltd.*⁶⁸

[374] In *Graham v. Rourke*, Doherty J.A. stated:

A plaintiff who establishes a real and substantial risk of future pecuniary loss is not necessarily entitled to the full measure of that potential loss. Compensation for future loss is not an all or nothing proposition. Entitlement to compensation will depend in part on the degree of risk established. The greater the risk of loss, the greater the compensation. The measure of compensation for future economic loss will also depend on the possibility, if any, that a plaintiff would have suffered some or all of those projected losses even if the wrong done to her had not occurred. The greater this possibility, the lower the award for future pecuniary loss.⁶⁹

[375] As noted in *Andrews v. Grand & Toy Alberta Ltd.*, the award should be broken down into the various heads that are applicable to the case. The assessment of these various heads of damages is carried out below after reviewing the relevant facts.

The Facts Relating to Damages

[376] Before setting out the relevant facts, it is necessary to address the defendant's objection concerning hearsay evidence. It arises because, as noted earlier, Jessica G was a difficult witness and her evidence was truncated. For the most part, she did not testify regarding damages.

[377] Jessica G was examined by a number of experts both for the plaintiff and the defendant. Their evidence and their reports refer to things that Jessica G either said to them or that they gleaned from their review of the history of what she had said to others. It is not unusual nor is it unacceptable for an expert to rely on hearsay evidence in coming to his or her opinion. The issue is the use to which the embodied hearsay evidence can be put.

[378] The defendant submits that any statement by Jessica G to, for example, a doctor, is hearsay and is therefore inadmissible as proof of its contents.⁷⁰ The defendant adds that any opinion based thereon is likewise of little or no evidentiary value if the underlying facts are not independently proven; this is usually done through the testimony of the declarant, in this case, Jessica G. In *R. v. Streu*, Sopinka J. said: "The rationale underlying the exclusion of hearsay evidence is primarily the inherent untrustworthiness of an extra-judicial statement which has

⁶⁷ (1982), 35 O.R. (2d) 660 (C.A.).

⁶⁸ [1977] 1 All E.R. 9.

⁶⁹ *Graham v. Rourke*, *supra*, note 62 at para. 41. And see *Saulnier v. LeBlanc* (2005), 288 N.B.R. (2d) 160, 2005 NBCA 79; *Resendes v. Boutros*, [1989] O.J. No. 2368, 2 C.C.L.T. (2d) 275 (H.C.J.).

⁷⁰ *R. v. Abbey*, [1982] 2 S.C.R. 24; *R. v. Lavallee*, [1990] 1 S.C.R. 852 at paras. 9-10, 26, 64-66, 68, 82-84.

been tendered without affording an opportunity to the party against whom it is adduced to cross-examine the declarant. This rationale applies equally in both criminal and civil cases.”⁷¹

[379] The discussion is troubled somewhat by the fact that most of the precedents involve jury trials where there is a risk that the jury will misuse hearsay evidence, but there is no jury here. The precedents often involve serious criminal charges where the evidence is critical to conviction and the liberty of the subject gives the issue an extra edge that is absent here.

[380] In my view, the principles set out in *R. v. Khelawon* are applicable:

In some circumstances, hearsay evidence presents minimal dangers and its exclusion rather than its admission would impede accurate fact finding... When it is necessary to resort to evidence in this form, a hearsay statement may be admitted if, because of the way in which it came about, its contents are trustworthy, or if circumstances permit the ultimate trier of fact to sufficiently assess its worth. If the proponent of the evidence cannot meet the twin criteria of necessity and reliability, the general exclusionary rule prevails.⁷²

[381] The Court adopted a “functional approach” where the “focus [is] on the particular dangers raised by the hearsay evidence sought to be introduced and on those attributes or circumstances relied upon by the proponent to overcome those dangers.”⁷³ Charron J. held:

The broader spectrum of interests encompassed in trial fairness is reflected in the twin principles of necessity and reliability. The criterion of necessity is founded on society's interest in getting at the truth. Because it is not always possible to meet the optimal test of contemporaneous cross-examination, rather than simply losing the value of the evidence, it becomes necessary in the interests of justice to consider whether it should nonetheless be admitted in its hearsay form. The criterion of reliability is about ensuring the integrity of the trial process. The evidence, although needed, is not admissible unless it is sufficiently reliable to overcome the dangers arising from the difficulty of testing it.⁷⁴

[382] I find that the truth and accuracy of the statements made by Jessica G to various experts and medical practitioners can be sufficiently tested for the purpose of assessing the damage claims. There are enough circumstantial guarantees of trustworthiness to make flexibility in the reception of the hearsay evidence appropriate.

⁷¹ *R. v. Streu*, [1989] 1 S.C.R. 1521 at para. 19.

⁷² *R. v. Khelawon*, [2006] 2 S.C.R. 787 at para. 2.

⁷³ *Ibid.* at para. 93.

⁷⁴ *Ibid.* at para. 49.

[383] It is plain that Jessica G's strategy of defiance in coping with her impairments compels her to understate and underplay those impairments; none of her statements are unusual, outlandish or novel in the context of a person who has suffered her particular injuries, according to the experts. In addition, it seems unnecessary for me, if I were even able, to sift the hearsay elements that would otherwise be inadmissible out of the evidence generated in the course of a doctor's examination. For example, what is the hearsay danger, for practical purposes, where Jessica G is recorded as having said that she experiences pain in her residual limbs, the doctor testifies from expertise that all patients who suffer amputation experience pain in their residual limbs, and the doctor confirms by a physical examination of the residual limbs that there are signs of difficulty because prosthetics are ill-fitting or cysts or neuromas are present? This is not a case where sufficient corroborating objective indicia are absent.

[384] In this case, I find that the evidence is necessary and is also reliable. I am aware that the defendant has been somewhat disadvantaged by the absence of fulsome cross-examination but there are enough circumstantial guarantees of trustworthiness for me to consider the evidence reliable for threshold purposes. I am alive to the danger of using such hearsay statements and will instruct myself accordingly where specific instances require special caution.

Pre-injury circumstances

[385] At the time of the events, Jessica G was 18 years old. She had dropped out of high school in grade 12 in late 1999. In the last two years before she quit school, her attendance and marks were poor. In November 1999, she began working part-time (20 hrs/week) pumping gas for minimum wage, the job she held at the time of her injury. She claimed that prior to the injury, she was planning to complete high school starting in September 2000 and to attend college in an early childhood education program. There was some evidence that she participated in recreational sports.

Post-injury circumstances

[386] The amputations were performed at Kingston General Hospital. Jessica G was discharged from there on March 10, 2000 and convalesced at St. Mary's of the Lake Hospital, going home on weekends, until she was discharged home on April 20, 2000.

Pain/Symptoms

[387] Although Jessica G experiences phantom pain in her legs about 2 or 3 times per week, it is not bad enough in intensity or duration that she takes any medication (prescription or otherwise) or does anything else to obtain relief from it. She also experiences phantom pain in her fingers according to the evidence of Gary Greenhalgh, Dr. John and Dr. Chow.

[388] She experiences pain in her residual limbs with prolonged walking and sometimes in cold or damp weather even without activity. If she is overdue for repairs, adjustments or replacement of her prostheses, this may also lead to pain due to the poor fit. Once the prosthesis is repaired or replaced, the pain is alleviated.

[389] A couple of times a year, Jessica G develops cysts on one or the other of her residual limbs that can prevent her from using a prosthesis on the affected limb for a couple of days. On two documented occasions, one in late 2002 and the other in late 2005, infected cysts have formed on both stumps simultaneously, leading her to be unable to ambulate at all for a 1-2 week period on each occasion.

[390] Jessica G suffers from occasional lower back/hip pain and knee pain, primarily due to misaligned gait when her prostheses become ill-fitting and require replacement or adjustment. She also has such pain with prolonged lower limb activity. She has low back pain and pain in her upper back when she uses her arms more regularly. Dr. English testified that the posture of a double amputee is very different when walking. This pain is more common in a bilateral leg amputation owing to the lack of proprioception from the lack of contact between a live portion of the body and the ground, because the patient loses sense of the relationship between ankles and pelvis and tends to hyperextend her back.

Social/Psychological

[391] Jessica G continues to have friends. The Ontario surveillance showed her to be socially active and out and about visiting friends and partaking in activities requiring her to drive her vehicle on a frequent basis. As of January 2008, Jessica G had 99 friends on Facebook.

[392] It was also the evidence of both Jessica G's friends, Nicole Moffatt and Jessica Arthur, that Jessica G was volatile, had a bad temper and behaved erratically even before the incident.

[393] As will be detailed below, Jessica G was capable of working for 15 months earning high ratings for both skills and attitude in an office work environment, and has maintained relatively long term relationships with male and female friends shows her capacity to carry on effectively with her day-to-day life.

[394] The plaintiffs pursued a theory at trial that Jessica G is getting worse, particularly emotionally and psychologically, and attempted to link her behaviour at trial to her injuries. It is an open question whether Jessica G's volatile behaviour at trial had anything to do with her disability, but her mother said in cross-examination that Jessica G was not doing well at the time of the trial because of the break-up of her common law relationship and the stress of having to testify at trial.

[395] The defendant urged me to reject a theory advanced by the plaintiffs "that Jessica G is "in denial" and as such, overstates her abilities and understates her limitations ...in order to overcome the objective evidence of Jessica G's high level of functionality and activities as well as Jessica G's self reporting of same." The defendant argues that this theory is contradicted by the fact that prior to the 2006/07 school year at Sir Sanford Fleming College ("SSF"), she applied on her own volition for a number of learning support services, including tutoring, a scribe (for note-taking during classes), extra time to write tests and a laptop computer.

[396] Jessica G has consistently denied any psychological difficulties and psychological assessors have not found diagnosable levels of depression, stress or anxiety. The defendant noted that Jessica G also sought counselling after her friend's suicide, further evidence that she can recognize when she needs help and is not averse to seeking help when she needs it, including from a psychological perspective.

[397] Even so, I accept the evidence of psychologist Dr. Yan Cao, who testified for the plaintiffs, that Jessica deals with the difficulties of her life by a strategy of defiance or rebellion. When she is told she is incapable of using her own body in a certain way she does the exact opposite as a way of saying she is still in charge, even though this will only speed up the deterioration in her physical functioning. Jessica applies the same approach in the psychological area. She has refused any psychological interpretation of her behaviours and has declined any form of psychological intervention. Her maladjustment in the psychological area has become a chronic pattern and it will become increasingly difficult to treat. In Dr. Cao's opinion, although at this point Jessica has declined all psychological intervention, it is possible that as she matures and as her life circumstances change she will become more open to psychological counselling in the future. Regardless of her motivation and cooperation it is anticipated that her needs for psychological intervention will remain high, likely for the rest of her life. I accept this evidence.

[398] I also accept the evidence of psychologist Dr. Judith Shapiro, who was called by the defendant, that "while there was no evidence of any psychological symptoms of clinical significance, clinically Jessica G's presentation indicated marked feelings of tension and a great reluctance to discuss any aspect of her personal history or her injury-related history for that matter. Only when pressed did she acknowledge feelings of anger and resentment, but she minimized these feelings and directed these feelings at her personal limitations, rather than the injury and her losses as a result of that event." Dr. Shapiro also said, "as she gradually comes to realize the limitations imposed by her condition and the reaction to these by the public, especially potential employers or romantic partners, she may develop some more pronounced emotional difficulties."

Academic Pursuits

[399] After the injury, from September 2000 until the end of January 2001, Jessica G returned to her previous high school and completed grade 12 (except for one credit), earning good marks .

[400] From September 2001 until May 2002, Jessica G attended Centennial College in Scarborough in its business and marketing program. She earned good marks and was only one credit short of completing a full year of credits. She did not return to Centennial, giving as alternate reasons not liking the city and not liking the business program.

[401] In September 2004, she commenced a general arts and sciences program at Sir Stanford Fleming College (SSF) with a view to going into its Physio/Occupational Therapy ("PT/OT") Assistant program the following year. She successfully completed all courses in May 2005 with good marks, except one.

[402] She returned to SSF in September 2005 intending to complete the course she failed and concurrently to take the PT/OT Assistant Program. Her reasons for not completing that year are unclear. In the Withdrawal Notice in the SSF Records for the 2005/06 school year, she listed the reason as “Personal” rather than “Health.”

[403] Jessica G returned to SSF to attempt again the first year of the PT/OT Assistant program during the 2006/07 school year. She successfully completed the first term of the program, earning average marks. In particular, she successfully completed the Clinical Skills I course which required heavy lifting and other physically-demanding manoeuvres and obtained a score of 85% on the practical testing of lifting, carrying and positioning manoeuvres in that course.

[404] The evidence of Mr. and Mrs. Greenhalgh is that Jessica G did not complete the PT/OT Assistant Program in 2006/07 because she discovered that she could not meet the physical lifting requirements of the course. The report of Mr. Katz was that a “hard Peterborough County Winter” coupled with her physical limitations were to blame. The defendant submits that this is not consistent with the fact that Jessica G completed the Clinical Skills I course in which such lifting was taught and practised in the first terms of both the 2005/06 and 2006/07 school years. According to Carol Kelsey, the Dean of the Health and Wellness Department at SSF and who taught Jessica G in the Clinical Skills I course during the first term of 2005/06, Jessica G did not demonstrate any problem fulfilling the lifting requirements.

[405] The defendant sought to play up Jessica G’s functionality, and argued that, based on the SSF records, the real reason why she did not complete the program was not its physical demands; she accompanied a male friend to Ottawa to see his father during the late February mid-term break in 2007 and the friend committed suicide by shooting himself in the head. Jessica G apparently witnessed the aftermath of this event which upset her to the point of being unable to sleep or attend school and she had to seek counselling. She did not return to school following that event. There is no evidence of any amputation related absences from SSF during the 2006/07 school year, despite the fact that Jessica G dutifully emailed the Program Director to report her absences, including the reasons for them.

[406] Even though there may have been mixed reasons for her to abandon the program, I accept the evidence of Mr. and Mrs. Greenhalgh. This is consistent with the evidence of the experts, some of whom counselled her against taking the program, that Jessica G’s impairments meant that the occupation of PT/OT assistant was not suitable for her because of the physical wear and tear. Even though she was young and strong enough at the time, she probably became aware that the advice had been right.

Independent Living

[407] In May 2000, almost immediately after Jessica G returned home from St. Mary’s, her mother commenced full-time employment at a Timbr-Mart, leaving Jessica G at home alone all day. Although friends and relatives checked in on her, Jessica G would not let them stay or do anything for her. It was agreed that Mrs. Greenhalgh would quit work if Jessica G needed her at

home. Mrs. Greenhalgh remained employed in that position until leaving for Fort McMurray for better employment prospects in February 2007.

[408] Jessica G lived in residence at Centennial College during the 2001/02 school year. From July 2004 through August, Jessica G lived in an apartment in Peterborough with two friends and from January 2004 to July 2004 by herself. She was able to look after all personal care needs and her share of household duties without assistance. The same was true of the 2006/07 school year.

[409] In February 2007, Jessica G's parents moved to Fort McMurray to work. She remained at home in her parents' home, living with her boyfriend Tim O'Donoghue, and with friends of the family and relatives checking in on her occasionally.

[410] In July 2007, Jessica G moved to Fort McMurray. She initially lived in a dormitory owned by the employer, different from the one her parents were then living in. In October 2007, she moved to her own apartment in Fort McMurray, where she lived independently, attending to all of her personal care needs and household duties up until just prior to the trial. She testified that she intends to return to, and live and work in, Fort McMurray, after the trial.

Relationships

[411] Jessica G began a serious relationship with Tim O'Donoghue in early 2006 which continued until Christmas 2007. They lived together between February and July 2007 and he moved with her to Fort McMurray, staying for 3 months until returning to Ontario. He continued living in Mr. and Mrs. Greenhalgh's home after he came back to Ontario, with Jessica G returning to Ontario to be with him whenever she had time off from work in Fort McMurray, until December 2007.

[412] In December 2007, Jessica G met Trevor Greenhow in Fort McMurray. They began living together on March 4, 2008. The relationship apparently broke up about a week before the start of this trial but Mrs. Greenhalgh suggested that it may not be over in her evidence at trial. Jessica G, however, described the men as "losers."

Employment

[413] From January 2001 until September 2001, Jessica G did not work, look for work or go to school. She watched TV, visited friends and did little else during that period.

[414] During the 2 years and 4 months between her completion of the first year at Centennial in May 2002 and starting at SSF in September 2004, she worked for a couple of months at a call centre in Peterborough and worked in a temporary seasonal position for at a Sears Catalogue centre in Belleville for a couple of months around Christmas 2003. There is no evidence of any efforts to find other employment during that period.

[415] There is no evidence of any employment or attempts to find employment during the summers of 2005 and 2006 when she was attending SSF. Jessica G did work at a Call Centre in Belleville starting in December 2005 but she quit after two weeks because she did not like the commute from Havelock.

[416] On July 9, 2007, Jessica G began working as a procurement clerk for Berry Y & V in Fort McMurray, Alberta, earning \$27.95/hr. By October 22, she was promoted to purchasing clerk earning \$32.00/hr. By January 2008, she was receiving a housing allowance and a per diem meal allowance. Her original schedule was 20 days on, 8 days off, which later changed to 6 days on, 1 day off, with a full week off every 6 weeks. In October 2007, she worked 26 days in a row at 10 hours/day. Her payroll records indicate that she worked on average 45 hours every week until she was laid off on October 9, 2008 because the project she was working on ended. That average figure takes into account her absences (as per the evidence at trial of her former supervisor, Gerson Charmell, that her pay and therefore the payroll record was generated from time sheets he kept manually which he testified accurately set out the days she worked and the days she left early or came in late). In total, she earned \$146,484.56 during that 15 month period.

[417] Jessica G's mother testified that Jessica G plans to enrol in courses put on by the Purchasing Management Association of Canada with a view to obtaining a certificate in purchasing management which will hopefully lead to a management position in the purchasing field.

[418] Her former supervisor at Berry Y & V, David Wilde, rated her skills as "good" and her attitude as "average". He recommended her for re-hire should another position come available.

[419] Although Jessica G's job was largely sedentary, the work site was a rugged location some 80 kms north of Fort McMurray. The Fort McMurray winter climate is extremely harsh.

[420] Mrs. Greenhalgh claimed that Jessica G missed 2 days per week due to amputee-related problems, but the payroll records disclose only 10 days that she should have been working that she did not get paid for over the 15 month period and 9 additional days where she did not get paid for a full day (presumably because she left work early or came in late), 3 of which days she worked 9 hours; 2 days she worked 8 hours; 2 days she worked 7 hours; 1 day she worked 5 hours; and 1 day she worked 1 hour.

[421] Jessica G's parents are primarily concerned for their daughter's future in view of her limitations. The defendant argued that their testimony should be given little or no weight because of their interest in the lawsuit and the fact that some aspects of their evidence may be contradicted by objective records. For example, the evidence of both parents concerning the extent of absences by Jessica G from work is not supported by the available payroll records.

[422] Gerson Charmell testified that Jessica G was a near model employee for the first four of the last eleven months of her employment while he was her supervisor and then dramatically changed in terms of work product, attitude, emotional responses and absences over the last seven

months. This evidence seems exaggerated, particularly since his evidence about the absences is contradicted by the objective payroll records. The defendant submitted that his evidence should be given no weight. I decline to discount his evidence on the basis argued by the defendant that: “he was put up to coming to court (without a summons, with all expenses paid plus a day’s salary on his day off (likely a benefit in the order of \$600.00),” because I see no real benefit to him. But I found his evidence to be to be unreliable. He tended to exaggerate Jessica G’s limitations, emotional problems and absences over the last seven months of her employment. Although he was asked to bring the attendance/time sheets he kept that purportedly set out his own accurate, contemporaneous record of Jessica G’s absences and times when she left early or came in late and admitted that he could have done so, he did not bring them to trial. He said in evidence that he would send them later and never did. I infer from this that Mr. Charmell did not want the objective evidence of her attendance that he made at the time to come out at trial because they would not have corroborated his oral evidence. Mr. Charmell was sympathetic to Jessica G and wanted to help her and Mr. Greenhalgh with whom he worked, so his evidence must be discounted. Mr. Charmell admitted that he did not know the reason for Jessica G’s asserted change in attitude and increased emotional reactions and absences and admitted that it could have been due to any one of a number of reasons unrelated to her amputations.

[423] What I take from Mr. Charmell’s evidence is that Jessica G is capable of being a productive employee even though she is prone to attitude problems and may need some accommodation for her disabilities. I accept that there was some diminution in her productivity over time and that she found the long hours to be difficult, considering her impairments, as the physiatrists predicted.

Functionality

[424] Despite the severity of Jessica G’s injuries she showed a high level of functionality and activity at and away from work.

[425] Jessica G has testified that she is independent in all of her personal care activities. She is capable of performing all usual household/housekeeping tasks without assistance. OT Carol Kelly, who testified about her future care needs for the plaintiffs, observed Jessica G performing activities of daily living, including personal care and housekeeping. Her evidence was that it takes Jessica G longer to perform these activities than it would have before her injuries. How she puts sheets on the bed, and how she ambulates without her prosthetics in the house, are good examples of the need for extra time.

[426] Jessica G is able to drive a motor vehicle without hand controls (safely in her father’s opinion). Her mother testified that there is no limit on how far she can drive, and she regularly drives back and forth from Toronto, a four hour round trip from her home in Norwood.

[427] Jessica G has travelled for holidays, including from Fort McMurray to St. John’s, Newfoundland for a week in April 2008, to Kelowna, B.C. for 8 days in 2008 with her boyfriend Trevor Greenhow and from Norwood to Florida in 2001 for 10 days and to Cuba in January 2006

for 2 weeks. On this latter trip, she wore a bathing suit, went swimming and spent considerable periods lying on the beach.

[428] Jessica G is somewhat functional with a keyboard/computer (as evidenced by various emails in the Sir Sandford Fleming records and is able to write with a pen (as evidenced by her written answers in the Clinical Skills #I test in the Sir Stanford Fleming records. The Ontario surveillance video shows her tying her hair in a ponytail with an elastic while walking and talking.

[429] Despite concerns about heavy lifting, the Ontario surveillance shows her lifting, carrying and throwing large bags of garbage, climbing onto and off of the bed of a pick-up truck unassisted and carrying furniture both on her own and with a senior male. The Fort McMurray surveillance shows her lifting and carrying numerous plastic grocery bags and a case of beer to her condominium, driving a $\frac{3}{4}$ ton pick-up truck without hand controls and walking with a normal gait pattern.

[430] OT Carol Kelly, who testified about her future care needs, observed Jessica G performing activities of daily living, including personal care and housekeeping. She did so in May 2006 after Jessica G had been hobbling around on water legs for a considerable period of time as her everyday legs were temporarily broken. The water legs are not suitable for walking any distance, so she had developed pain and skin breakdown in her residual limbs resulting in complaints of pain and more limited functional abilities. Ms. Kelly's observations of Jessica G need to be discounted somewhat because they took place on one of her worst conceivable days, but she will inevitably have such days.

[431] Prosthetist Judith Langford, who testified for the defendant, gave her opinion that notwithstanding her disabilities, in her experience, Jessica G should be able to lead a full, active life, including completing all personal care tasks and all housework and home maintenance not requiring heavy lifting, unlimited walking tolerance and the ability to carry out full employment to the extent that she desires to do so. She testified that Jessica G should not be confined to sedentary levels of activity. As defence physiatrist Dr. Chow noted, not only is Jessica G capable of such activity levels, but she should be encouraged to maximize her activity level so as to maintain cardiovascular fitness and avoid weight gain which are special risk factors for amputees that could lead to pre-mature morbidity. Based on the evidence of the physiatrists, the other experts and the lay witnesses, I find Ms. Langford's prognosis to be both overly optimistic and beyond her expertise as a prosthetist.

[432] Dr. John, and to a lesser extent, Dr. English, painted a bleaker picture of Jessica G's functional abilities. Although Dr. John had the advantage of being her treating physiatrist, he only saw her twice. He provided no history in his report at all and was unable to point out anywhere in his clinical notes where he took any history substantiating his claims of Jessica G's functional limitations, which he speculated were worse than Jessica G's own sworn evidence of her abilities. He admitted that he was basing his assessment of her limited functionality on generalizations from the amputee population as a whole rather than Jessica G's particular

abilities. This was also true of Dr. English, who essentially stated that, based on his experience with amputees generally, he did not believe Jessica G's asserted levels of functionality. While it is true, as submitted by the defendant, that each individual must be assessed on his/her own particular merits, including their drive and actual capabilities, not on generalities about a group as a whole, I am reluctant to reject their evidence about her present and future prognosis even though it conflicts with her evidence and the surveillance, in view of her defiant coping strategy. That defiance is both a blessing and a curse; it gives her the drive she needs to succeed, but it can induce her to do things that are not good for her. Hopefully she will find the right balance.

The Assessment of Damages in this Case

[433] This assessment is carried out in three categories. First I will assess general damages. Then I will discuss the legal principles associated with the calculation of pecuniary damages. In the third section, I will carry out the assessment of pecuniary damages.

General Damages

[434] The general damages cap has now grown to about \$320,000 for the purposes of this case. Mr. Fireman seeks \$300,000 for Jessica G. Mr. Boghosian submits that the appropriate range for general damages for Jessica G would be between \$200,000 and \$225,000.

[435] Trial judges were cautioned by the Court of Appeal in *Koukounakis v. Stainrod*, "While the upper limit may also provide some small assistance in assessing the propriety of an award in a case where the maximum award is inappropriate, any attempt to use the upper limit as more than a very rough guide for comparative purposes ignores the policy reasons underlying the creation of the upper limit."⁷⁵ The cited policy reason is from *Lindal*, per Dickson J.: "Thus the amount of an award for non-pecuniary damage should not depend alone upon the seriousness of the injury but upon its ability to ameliorate the condition of the victim considering his or her particular situation. It therefore will not follow that in considering what part of the maximum should be awarded the gravity of the injury alone will be determinative."⁷⁶

[436] Jessica G's injuries are very significant. She has lost both her legs below the knee from frostbite and had to endure two surgeries. In addition, she suffered the loss of her four fingers down to the first joint above the palm. She has and will continue to experience pain from time to time associated with her legs and fingers that will be detailed below. These are disfiguring injuries that distress her deeply from a psychological perspective and will continue to do so. Her activities have been and will continue to be curtailed by her impairments.

[437] At the same time, Jessica G is fully intact cognitively and mobile both on foot and in a vehicle. She can walk; she is able to perform most tasks of daily living; she can have and has had intimate relationships; she can have and raise children if she would like to; she has and can

⁷⁵ *Koukounakis v. Stainrod*, [1995] O.J. No. 1369, [23 O.R. \(3d\) 299](#) at para 19 (C.A.).

⁷⁶ *Lindal v. Lindal*, *supra*, note 56 at 637. See also *Abbott v. Sharpe*, [2007] N.S.J. No. 21, 2007 NSCA 6 at paras. 109-151.

continue to work, take holidays and travel. She has all of her perceptual senses but has a reduced sense of touch in her fingers. She can type on a keyboard, access entertainment and socialize with friends. Her pain is such that at the present time she does not take much medication for it and there is no reason to expect things to worsen if she takes care of herself. While Jessica G's injuries are severe and she is catastrophically impaired,⁷⁷ much of the normal enjoyment of life is still open to her.

[438] Taking into account these factors, I would fix general damages at \$275,000.

[439] The award would carry with it pre-judgment interest under section 128 of the *Courts of Justice Act*.⁷⁸ Notice was given on February 20, 2008 which sets the pre-judgment interest rate at five percent per year.

Particular Heads of Damage

FLA Claims

[440] As noted, Jessica G's parents, Gary and Eileen Greenhalgh, claim the equivalent to general damages under Section 61(2) (e) of the *Family Law Act*, which refers to: "an amount to compensate for the loss of guidance, care and companionship that the claimant might reasonably have expected to receive from the person if the injury...had not occurred."

[441] Jessica G's evidence is that she has been independent in her own personal care and has not relied on her parents since very soon after being discharged home. Her mother returned to full-time employment at the Timbr-Mart in May 2000 within a month of Jessica G's discharge from St. Mary's after a considerable period of time out of the work force. The arrangement was that if Jessica G needed her, she would stop working and stay home to look after her. That never happened.

[442] Her father moved to Fort McMurray in 2006 and her mother moved there in February 2007, leaving Jessica G alone in Ontario to look after herself. This limits their *FLA* claims.

[443] Mr. Fireman requested damages of \$75,000 for Eileen Greenhalgh. Mr. Fireman also requests the amount of \$25,000 to be paid to Eileen Greenhalgh for past services rendered to her daughter which were caused by the injuries.

[444] Mr. Fireman has not broken down the care and companionship component in relation to Gary Greenhalgh's claim for damages; instead he has given the figure of \$50,000, which he describes "inclusive of all services rendered to his daughter, inclusive of renovations to the home which are set out more particularly in the special damages."

⁷⁷ At least as that term is understood by the *Statutory Injury Benefits Schedule* – Injuries on or after November 1, 1996, per O.Reg 403/96, paragraph (f) of section 2(1.1).

⁷⁸ R.S.O. 1990, c. C.43.

[445] Mr. Boghosian submitted that the *FLA* claims of Mr. and Mrs. Greenhalgh are properly assessed in the range of \$20,000.00-30,000.00 each. He relied on *Aminullah v. Fouroughy*,⁷⁹ in which the spouse received \$35,000 and the children \$15,000 each. He also relied on *Gray v. Macklin*, in which the mother received \$30,000 and the father \$12,000 in view of his lesser involvement.⁸⁰ These, however, are older cases.

[446] I would fix the amount of *FLA* damages globally as \$60,000 plus pre-judgment interest for Eileen Greenhalgh.

[447] I would fix the amount of *FLA* damages globally as \$30,000 plus pre-judgment interest for Gary Greenhalgh.

Out-of-Pocket Expenses

[448] Mr. and Mrs. Greenhalgh also claim reimbursement for out-of-pocket expenditures on Jessica G under Section 61 of the *Family Law Act*.

Pool - \$2,784.74 Claimed

[449] The Plaintiffs claim \$1,684.74 for materials and \$1,100.00 for the installation cost of the pool at Gary and Eileen Greenhalgh's home. Although the defendant complains that no invoices for the installation of the pool have been provided and no evidence was led regarding the cost of the installation, I accept the plaintiffs' evidence and find the cost to be reasonable.

Ramp, Deck - \$4,331.71 Claimed

[450] The Plaintiffs claim \$3,431.71 for materials and \$900.00 for installation for the ramp and deck to the home of Gary and Eileen Greenhalgh. The Defendant submits that the only amount recoverable is \$3,431.71, as no invoice for labour has been provided and no evidence was led as to actual labour costs, again I accept the plaintiffs' evidence and find the costs to be reasonable.

Mileage Expense - \$5,478.00 Claimed

[451] The amount claimed represents travel by Mr. Greenhalgh to and from Kingston every day Jessica G was hospitalized; however, he admitted at trial that he only travelled to Kingston on about half of those days. I find that the correct amount is half the amount claimed, or \$2,739.00.

Housekeeping - \$2,140.00 Claimed

[452] At trial, Eileen Greenhalgh testified that her sister would check on their home when they were not there. She testified that on average, they would pay her \$20.00 each time she attended.

⁷⁹ [2004] O.J. No. 2485, [2004] O.T.C. 495 at paras. 3-5, 9 and 12 (Sup. Ct.).

⁸⁰ *Gray v. Macklin*, *supra*, note 65 at paras. 79, 245-247

She conceded that her sister would attend only when Gary Greenhalgh was not present at the home. During his testimony, Gary Greenhalgh estimated that he was at the hospital half of the period that Jessica Greenhalgh was hospitalized. The Plaintiffs claim housekeeping expenses for every day that Jessica Greenhalgh was hospitalized. I find that the correct amount is half of the amount claimed, or \$1,070.00.

Prescriptions - \$1,211.90 Claimed

[453] The Plaintiffs have submitted receipts of only \$812.50 for prescriptions for Jessica G and there is no other evidence of additional prescription costs. I find the full amount to be reasonable.

Accommodation - \$642.00 Claimed

[454] The Plaintiffs have submitted receipts for only \$210.00 for accommodation for Eileen Greenhalgh while staying in Kingston and there is no other evidence of additional accommodation expenses.

Entertainment - \$712.62 Claimed

[455] The Plaintiffs have submitted receipts of \$651.96 for entertainment costs associated with Jessica Greenhalgh's hospitalization. Included in these costs are \$436.96 for a television and VCR which were kept by the Greenhalghs. The defendant that since they retained the equipment the TV and VCR costs are not compensable but I find that the expense would not have been incurred but for the injury and, expecting little residual value in the equipment, I would award the full amount.

Meals in Hospital - \$665.05 Claimed

[456] The Plaintiffs claim \$665.05 for meals consumed by Jessica Greenhalgh while in hospital. At trial, Eileen Greenhalgh testified that she purchased meals for Jessica Greenhalgh for every meal as Jessica G did not like hospital food. I would award this amount.

Subrogated Claims

OHIP

[457] I understand that the OHIP subrogated claim has been dismissed, past and future.

Assistive Devices Program "ADP"

[458] There is no statutory or (on the record at trial) contractual basis for a subrogated claim on behalf of ADP.

Ontario Disability Support Program ("ODSP")

[459] In order for a subrogated claim to be advanced, there must be a statutory right of subrogation and a direction from ODSP to the Plaintiff to subrogate. ODSP does not normally subrogate. The only document in the record which the Plaintiffs assert provides them with authority to subrogate is actually an agreement signed by Jessica G in which she agrees to repay amounts paid to her by ODSP from any award for loss of income she receives. Nowhere in that document is she requested nor does she agree to subrogate on behalf of ODSP. It is submitted that there is no basis for a subrogated claim by ODSP.

War Amps

[460] This is a charitable organization. There is no contractual agreement between Jessica G and War Amps providing that she would pursue a subrogated claim for amounts they have donated to her for prostheses and schooling costs.

[461] Neither of the cases cited by the Plaintiffs stands for the proposition that payments by a charitable organization to a plaintiff are subject to a subrogated claim. One of those cases involved approval of an infant settlement where the issue of a subrogated claim was not determined by the Court and in the other, an award for a subrogated claim by War Amps was apparently made without any opposition or argument from defence counsel.

Past Loss of Income

[462] Jessica's expressed career intention prior to her injuries was to become an early childhood educator. Afterwards she pursued a business diploma, but she switched out of the program because she did not like it and wanted a more "hands on" position like the PT/OT Assistant program, consistent with a job working with children. She might be required now to focus on the business field as a career as more sedentary positions are available in that field, in contrast to the physically demanding nature of an early childhood education position or a PT/OT Assistant. Accordingly, I find that her past loss of income ought to be based on a "but for" earning capacity scenario as an early childhood educator.

[463] If she had completed the courses needed for high school by May 2001 (as she stated was her intention prior to the injury and which she did after the injury), and had then obtained a 2 year diploma in Early Childhood Education from a community college from September 1, 2001 through April 1, 2003, commencing employment on May 1, 2003, her earnings up to date of trial commencement would have been \$168,262.00. If her actual earnings of \$148,073.00 from 2002-2008 are fully deducted the net past loss of income would be about \$20,000.00 This is based on the economic report of Matson, Driscoll & Damico Ltd. ("MDD") dated December 8, 2008.

[464] The MDD report utilized the average, annual income of full-time female graduates under each of the foregoing scenarios. The plaintiffs' vocational expert, Mr. Katz, endorsed the use of female income statistics on the basis of lower female workforce participation rates due to pregnancy and child-rearing. Although some cases have suggested that using female wage data perpetuates a discriminatory earning pattern as between males and females, the Ontario Court of Appeal has suggested that the issue of whether to use female or mixed earnings is a matter within

the discretion of the trial judge.⁸¹ Even where mixed wage rates are used, courts typically discount female earnings for negative workforce participation contingencies, primarily due to pregnancy and child rearing on the part of females. Reductions in the order of 30% are routinely utilized.⁸² Reducing the mixed average full-time annual earnings of females by 30% leaves the court with roughly the same projected income as is achieved by using full-time female rates. On this basis I would accept the MDD approach.

[465] Neither MDD nor the plaintiffs' economic loss expert ("NERA") reduced the past loss of income calculation on the basis of failure to mitigate. Jessica G admitted that she did not work and did not make reasonable efforts to look for suitable employment from January to September 2001, between completion of her high school credits and her commencement at Centennial College; from May 2002 when she completed the first year of the Centennial College Business Program until September 2004 but for two short term jobs totalling at most 5 months or 0.4 years, when she enrolled in a general arts/science program at SSF; or during the summers of 2005 and 2006 when she was between terms at SSF. This represents a combined period of approximately 3.1 years. Assuming that she would have had a minimum wage job (assuming an average hourly minimum wage rate of \$7.50 over that period), she could have earned in the range of \$46,500.00 had she worked full-time during that period (\$7.50/hr x 40 hrs./week x 50 weeks/year x 3.1 years). Given the uncertainties of her finding a full time job and keeping it over that period, I would reduce the past income loss award by imputing \$23,000 of income to her.

Jessica G's Out-of Pocket Expenses

[466] Mr. Firemen proffered a list of out-of-pocket expenses for Jessica G that was not specifically contested by Mr. Boghosian:

Wheelchair	\$ 2,300.00
Prescriptions	\$ 1,211.90
Postal charges	\$ 6.36
Telephone charges/Long distance	\$ 498.50
Bell Mobility	\$ 760.91

⁸¹ *Walker v. Ritchie*, [2005] O.J. No. 1600, 197 O.A.C. 81 at paras. 41-51 (C.A.); revrs'd on other grounds [2006] S.C.J. No. 45, 2006 SCC 45.

⁸² See for example, *Gray v. Macklin*, *supra*, note 65 at paras. 197 and 203-205.

Medi-Chair	\$ 98.00
St. Mary's Driving Lessons	\$ 200.00
St. Mary's Parking Pass	\$ 30.00
City of Kingston Parking	\$ 82.00
Source Rehabilitation (case management)	\$ 5,000.00

Assuming that there is no double-counting with expenses claimed by her parents, I would award these as special damages.

Future Loss of Income

[467] As indicated under the discussion of past loss of income, Jessica G's most likely career path but for her injuries was to pursue a two year college diploma in early childhood education and then embark upon a career in that field.

[468] The NERA report for the plaintiffs projects a normal retirement age of 70. The MDD report for the defendant is based upon a retirement age of 62.5, based on Statistics Canada Labour Force Survey dated May 2006 indicating that the current median retirement age of the total population is 61.1. That retirement age was increased by MDD to 62.5 to reflect economic projections that the retirement age may increase somewhat in the future. The MDD also contains calculations based on a retirement age of 65 years. Recognizing the gradual drift upwards in the retirement age, I would accept the retirement age of 62.5 projected by MDD, but I do not see the evidence to support an increase to age 70 projected by NERA.

[469] Jessica G has demonstrated an ability to successfully work in the business field, particularly as a procurement clerk. According to both vocational experts, Messrs. Katz and Csoka, she has demonstrated the ability to complete a two year college diploma in business. All of the physicians agree that she is capable of working in many positions in that field, including as a purchasing clerk, as they are sedentary positions. Her mother has testified that Jessica G is interested in taking purchasing management courses while working full-time (they are designed to take three years to complete while working full-time). Upon completion of those courses, she should be able to earn more than the average female college graduate during her working life.

[470] Early retirement as a result of the injuries – Psychiatrist Dr. Devlin, for the defendant, testified that in a sedentary position, there is no reason why Jessica should not be able to work over a normal working life expectancy. Dr. Devlin has 20 years' experience working with amputees and runs the largest amputee clinic in the country, seeing 120-150 new amputee

patients per year and a total of 1,000-1,200 amputee patients per year. His opinion is entitled to great weight even though he only reviewed Jessica's file and did not examine her. Dr. English, who is even more experienced than Dr. Devlin, projected that Jessica could work in a sedentary position such as a procurement clerk to age 55. Dr. Ameis also projected full-time employment to age 55. The lowest assessment of working life expectancy was that of Dr. John, who projected that Jessica could work up to 45-50, although his evidence was premised on Jessica working in a physically-demanding position as a physiotherapy assistant.

[471] NERA assumes a retirement age of 50 as requested by plaintiffs' counsel. The MDD report assumes that Jessica will work full-time in a position as a purchasing officer until the age of 50 and part-time (50% of full-time hours) until the age of 55. This is toward the low end of the range of working life expectancies provided by the medical experts with specialization in amputee care. I accept MDD's projection as reasonable.

[472] The MDD calculation of future income loss also assumes a 14% reduction in income for loss of competitive disadvantage (more time off between jobs and increased absences compared to the average) during her actual (ie. reduced) working years, consistent with Mr. Katz's estimates. I accept the MDD adjustment.

[473] Based upon the foregoing assumptions and assuming that Jessica G would not graduate from a college business diploma program until April 2012 and commence full-time employment until May 1, 2012, the MDD report projects a net loss of future income of \$267,359.00 assuming Jessica G would have worked as an early childhood educator but for the injury.

Loss of Interdependent Relationship

[474] Mr. Fireman argued, relying on Mr. Berenblut, that two can live cheaper than one and the statistics used in fatal injury cases demonstrate that a single person would spend 29% more than couples in an interdependent relationship. By way of example, he pointed out that if \$45,000.00 was consumed by one person in a relationship, if that person were alone they would have to earn 29% more to be able to support the same level of consumption. This would amount to \$13,050.00 per annum for each year the court concludes that Jessica would have been married. He submits that the loss of interdependent relationship should be assessed at \$200,000, less than half the figure projected by NERA.

[475] In this case, no evidence has been led to predict the time at which the Plaintiff would have entered into an interdependent relationship but for the injury, what the hypothetical partner would have earned and how long the Plaintiff would have remained in that relationship, or in respect of any of the numerous other factors that would properly be considered in addressing such a claim.

[476] The defendant argues that an award for the risk of loss of an interdependent relationship is unwarranted, since "Jessica G has demonstrated an ability to enter into cohabitation relationships with males where a degree of interdependent savings was undoubtedly achieved. Moreover, Jessica, at 27 years old, is not yet even in her prime marrying years (28-35). As noted

by Mr. Katz in his evidence at trial, Jessica G is attractive, she has the ability to become a college graduate and therefore to attract well educated males and she is active and outgoing such that her prospects of meeting and interesting suitable males in a long term relationship is high.”

[477] I find that there is a risk facing Jessica G that she will not form an interdependent relationship of some permanence that goes beyond the ordinary risk, but I do not think that the risk is so high that it warrants consideration as a “substantial possibility” or an award.

Housing

[478] The provision of appropriate housing has been considered by many courts to be part of the costs of future care. The focus of the courts has been on accommodating the actual needs of the plaintiff in his or her unique circumstances.⁸³ The evidence on this issue was provided on the plaintiff’s behalf by Jeffrey Baum of Adapt-Able Design Group. His expertise was accepted by me as it has been by other courts.

[479] Based on Mr. Baum’s evidence, the parties have agreed that Jessica will make three moves in her lifetime, one immediately, one at age 45 and one at age 62.5. The parties have further agreed that the gross cost of such moves would be \$335,000.00. Mark Gain of MDD calculated while on the stand that taking into the full amount of the renovations necessary for the first move (\$137,500.00), and the present value of the cost of the renovations for the moves at age 45 (\$137,500.00 gross) and at age 62.5 (\$60,000.00), the present value cost of wheelchair accessible renovations is \$247,593.75. This is an appropriate figure for this head of damages.

[480] While housing modifications and the plaintiff’s entitlement thereto have been accepted by the defence, the plaintiffs are seeking an award of the cost of a home in Peterborough at a value of \$345,000.00. This is resisted by the defence.

[481] The plaintiffs rely on Mr. Baum’s rationale for suggesting that the purchase price of the home should be part of the award. Mr. Fireman argued: “Under normal circumstances Jessica may never have gotten to a point where she would have purchased a home, but might have lived in a non-disabled apartment had she not been injured. In other words, she may never have had an income with which to purchase a home, but would have always lived in an apartment for a substantial period of time. However, given her need for a modified bungalow, on an immediate basis, and the lack of disabled housing or apartments, Mr. Baum offered that as the basis for suggesting that the purchase price of the home should be payable by the defendant.”

[482] The defendant characterized Mr. Baum’s rationale differently, being that: “wheelchair accessible rental accommodations are not available in Peterborough and as Jessica G needs wheelchair accessible housing, she has been deprived of having such accommodations as a renter and therefore a home must be bought for her which she may not otherwise be able to afford.”

⁸³ *Roycroft v. Kyte*, *supra*, note 5 at paras 233-242.

[483] The defendant argued that it is far from clear that Jessica G will ever settle in Peterborough since she has only ever lived there as a student. Mr. Katz, the vocational expert for the plaintiffs, projected that she will more likely than not move to a larger centre where she can earn more money, such as Calgary, Edmonton or Vancouver, rather than Peterborough. There is no evidence, the defence argues, that wheelchair accessible rental accommodations are not available in those centres, so it would be inappropriate to award Jessica G an amount to permit her to purchase a house. There is some merit in these arguments, but I do not find them to be dispositive.

[484] There are cases on both sides of the issue. As Shaughnessy J. pointed out in *Roycroft v. Kyte*,⁸⁴ the focus called for by the Supreme Court in the trilogy is to be on the provision of “an ongoing practical level of orderly care in a home environment.” If the “home environment” is out of the plaintiff’s reach as a result of the injury, then the argument in favour of the provision of housing is stronger. If, however, appropriate housing remains within reach because the plaintiff has sufficient earning capacity, then the argument in favour of the provision of housing is weaker. In either case, however, the plaintiff is entitled to funds to permit the modification of housing to accommodate the needs that flow from the injury.

[485] In cases of severe injuries such as complete paralysis through the plaintiff’s trunk and lower extremities together with serious pain and cognitive impairment the courts have awarded the provision of housing;⁸⁵

[486] Awarding a house creates an issue, however, because the provision of a capital asset is inconsistent with the compensation principle; at the end of her life, the plaintiff would end up with an asset at the defendant’s expense, which is arguably overcompensation.⁸⁶

[487] I find that Jessica G’s earning capacity after her injuries remains sufficient for her to aspire to purchase a house. She has not been deprived of this opportunity by her injuries and therefore should not be compensated for the loss. As noted above, she would be entitled to an allowance for the cost of modifying any home to accommodate her needs.

Future Care Costs

[488] An award of costs for future care should be made where there is a “substantial possibility” based upon expert or cogent evidence that the need for such care will arise in the future.⁸⁷ The possibility must be “realistic as opposed to a speculative possibility.”⁸⁸

⁸⁴ *Ibid.* at para 237.

⁸⁵ *Roycroft v. Kyte, ibid.*; *Dube v. Penlon Ltd* (1994), [1994] O.J. No. 1720, 21 C.C.L.T. (2d) 268 (Gen Div) (as per Zuber J.); *Roberts v. Morana*, [1997] O.J. No. 3089, 34 O.R. (3d) 647 (Gen. Div.) (as per O’Brien J.), affm’d [2000] O.J. No. 1709; 2 C.C.L.T. (3d) 247 (C.A.).

⁸⁶ *Fullerton v. Delair* [2005] B.C.J. No. 276, 2005 BCSC 204 at para 294. (as per Goepel J).

⁸⁷ *Schrump et al. v. Koot et al. supra*, note 61; *Meyer v. Bright, supra*, note 61.

⁸⁸ *Graham v. Rourke, supra*, note 62.

[489] A critical fact is Jessica G's life expectancy. MDD projects this at 83 years. The NERA report surprisingly does not express a number, but Mr. Berenblut testified that in his calculations the number was 85 years. MDD further uses a reduction of 14 years because Jessica G is a smoker. No qualified life expectancy expert gave evidence. Although the various doctors gave evidence on the risk factors inherent in her disabilities, there was no evidence on which I could rely that would lead to such a reduction.

Prosthetics

Lower Extremity

[490] The parties agree that it is reasonable for Jessica G to have three different sets of prosthetics - an everyday pair, a back-up pair and a water/recreation pair. The parties also agree that the Dorset cover would be appropriate for both the daily use and the back-up prostheses.

[491] The areas of disagreement regarding the below knee prostheses appear to be as follows:

- (i) The replacement frequency of the sockets on all prostheses;
- (ii) The replacement period for the back-up and water/recreational prosthesis;
- (iii) Whether the Ontario Assistive Devices Program ("ADP") funding for prosthetics should be credited against the total cost.

Replacement Frequency - Sockets

[492] Prosthetist Martin Robinson testified for the plaintiffs. In his oral evidence (though not in his report) he testified that the sockets would need to be replaced every 1.5 years. As a result of this evidence the future care expert Carol Kelly generated a supplementary report dated November 25, 2008, pricing in the extra expense, but she inadvertently doubled the appropriate expense.

[493] Apart from Mr. Robinson, no one with prosthetics expertise testified that the sockets need to be replaced more frequently than every three years. Most prostheses are to be replaced every 3 years including the sockets, so more frequent socket changes are not needed, but if they are because of stump changes, the cost is paid by ADP. Mr. Robinson wilted in cross-examination on this issue and I reject this evidence. I accept and prefer the evidence of both Dr. Devlin and prosthetist Ms. Langford for the defendant, who testified that after a period of approximately 3-5 years, an amputee's stumps "mature" and reach a permanent shape and volume so that socket changes more frequently than every 3 years are not needed. Ms. Langford testified that socket replacement every 3 years is the standard assumption.

Replacement Frequency – Back-up and Water/Recreational Prostheses

[494] The parties agree that the foot/ankle mechanisms on the daily use prostheses need to be replaced entirely every three years. I accept as reasonable the evidence of Ms. Langford and Dr. Devlin that since the back-up and water/recreational prosthesis would be used less frequently, the foot/ankle parts of those prostheses will only need to be replaced every four years. But the sockets will require replacing at 3 years, as Ms. Langford testified.

Maintenance Costs

[495] Mr. Robinson testified to an annual maintenance cost in the range of \$3,000.00-5,000.00 on the basis that Jessica G would have three sets of prostheses.

[496] Ms. Langford testified that an appropriate allowance for maintenance costs is \$1,500.00 per year on the basis of three sets of prostheses, with no maintenance costs being incurred in the first year after replacement, as in her experience maintenance is not incurred during that first year and would in any event, be covered by warranties. I accept Ms. Langford's estimate of annual maintenance costs.

Deduction for the contribution from the Ontario Assistive Devices Program

[497] As both Ms. Langford and Ms. Vellone testified at trial, ADP has been around since the early 1980s and it is available to all persons requiring assistive devices without any means test. Both expressed no concern that the Program is in any jeopardy of being cancelled given its important public policy role of keeping users of assistive devices active and in the community rather than in a more costly institutional settings.

[498] Courts have deducted the ADP contribution from the assessment of past and future care costs in respect of assistive devices, including prostheses.⁸⁹

[499] The evidence at trial was that the ADP contribution is 75% of the cost of the prosthetics up to a maximum that is currently \$5,612.25. In Jessica's case, it would apply to one set (both legs) of prostheses (ie. the everyday use prostheses) every three years. The evidence was also that any socket replaced between full prosthetic replacements was fully funded by ADP if, as would invariably be the case, it was based on a physiological change in the stump between prosthetic changes. That would apply to the replacement of both sockets on one set of prostheses.

Summary of Below Knee Prosthetic Costs

[500] I find that the following calculation is appropriate but do not supply the figures:

Daily Use Prostheses (including socket)

⁸⁹ *Dann Litigation Guardian of v. Chiavaro*, [1996] O.J. 1912, 4 O.T.C. 331 at paras. 76-81 and 82 (Gen. Div.); *Dowhan v. Coates*, [2000] O.J. No. 2343, [2000] O.T.C. 441 at paras. 123-125 (Sup. Ct.); *R.H. v. Hunter*, [1996] O.J. No. 4477, 22 O.T.C. 204 at paras. 54-58 (Gen. Div.); *Dube (Litigation Guardian of) v. Penlon Ltd.*, *supra*, note 85 at para. 202.

Add Dorset cover X 2

Less deduction for flex skin covering (replaced by the Dorset cover priced separately)

Less ADP contribution (collateral benefit)

Net Amount

Back-up Prostheses (including socket)

Add Dorset cover X 2

Less flex skin covering (replaced by the Dorset
cover priced separately)

Net Amount

Water Recreational Prostheses

Hand/finger Prostheses

[501] One set of hand/finger prostheses with a Dorset covering is warranted. I accept Ms. Langford's evidence that a five year replacement cycle of the hand/finger prostheses should be preferred over Mr. Robinson's projection of replacement every three years on the basis that Jessica G is unlikely to use them often given their lack of functionality as testified to by Drs. Devlin, Ameis and English and Ms. Langford. I also accept Ms. Langford's annual maintenance cost projection of \$500.00 per prosthesis with no maintenance required in the first year after it is acquired.

[502] The evidence as I have found it, does not permit me to carry out the necessary calculations, which I leave to the parties. Except where otherwise stated, I prefer the evidence of Ms. Langford on the costing where it conflicts with the evidence of Ms. Kelly.

Other Costs of Future Care

General Comment on the Evidence Regarding Future Care Costs

[503] The future care costs other than prosthetics and housing (dealt with above) turn largely on whether to accept the recommendation of the plaintiffs' life care planner, Carol Kelly, or those of the defendant's life care planner, Sandra Vellone, with input in respect of some items by the parties' respective medical experts.

[504] During her career at Kingston General Hospital/St. Mary's of the Lake Hospital in Kingston from September 1978 through January 31, 2003, Ms. Vellone worked extensively with amputees, was assigned to the amputee in-patient program for a period of 11 years, and dealt with amputees on an out-patient basis throughout her employment there, including providing them with life care plans, case management services and vocational assessment and counselling. She has specifically worked with bilateral below knee amputees and patients with bilateral upper extremity amputations.

[505] Ms. Kelly is an occupational therapist with over twenty-five years of experience, and is a certified life care planner. She has worked as a consultant with various levels of government including the Assistive Devices Branch of the Ministry of Health. She appears to have no particular experience dealing with amputees although they would have been in the client group she assisted.

Particular Items

[506] Medication - There is no evidence that Jessica has used much pain medication, prescription or otherwise, in respect of her amputations since the summer of 2000. There is little evidence of the extent to which, if any, she has needed antibiotic cream since the injury. Ms. Vellone noted that the report of Dr. Urovitz referred to monthly stump infections. She says that if this is so, Ms. Kelly's \$500 per annum allowance seems reasonable. I would award the \$500.00 allowance per year from the present as Ms. Kelly has recommended.

[507] Counselling - Both life care planners agree that some counselling is required but disagree on the extent of such need. Ms. Kelly has provided for 32 sessions per year at \$200.00 per session for ages 25-35, 18 sessions per year at the same cost from age 36 to age 45 and 12 sessions per year from age 46 for life. Ms. Vellone has suggested that Jessica will likely have 9 periods over her lifetime where she may need counselling in relation to amputee-related problems and limitations. She has factored in 20 sessions for each of those episodes at \$120.00 per visit. I find that Ms. Vellone's estimate of need is more appropriately focused on times of change and transition when such counselling will be needed rather than numerous sessions every year, particularly since Jessica G has not taken or sought out psychological counselling in relation to her injuries.

[508] Family Counselling - Ms. Kelly and Ms. Vellone have supported family counselling, although this may have been on the assumption that Jessica G would be living with her parents and she is not doing so. I find that such counselling would be helpful. I accept the hourly rate of \$150 per hour rate proposed by Ms. Vellone for a counsellor trained at the Master's level in preference to the \$200.00 suggested by Ms. Kelly based on the Ontario Psychological Association rate. It is not clear why a Master's level counsellor would not be adequate.

[509] Pain Management Program - Ms. Kelly conceded that a chronic pain management program is not normally required in the case of an amputee. Dr. Ameis was in agreement with this. Both Ms. Vellone and Dr. Chow stated that such a program is inappropriate for Jessica G in

light of the fact that she does not have the kind of debilitating chronic pain that affects a patient psychologically to the point that they are unable to perform their activities of daily living. There is no evidence that Jessica G is experiencing levels of pain such that she requires a pain management program, given that she does not take any medication or therapy for such pain and is functioning fully in her activities of daily living. The pain management program is not warranted in the circumstances of Jessica G's actual pain levels and the absence of any effect of her pain on her activities of daily living.

[510] Physical and Alternative Therapies Allowance – Ms. Kelly proposes an annual expenditure of \$2420 under this head. Dr. Devlin testified at trial that Jessica G should not experience the need for physiotherapy any more than any other member of the general population. Ms. Vellone's recommendation, supported by Dr. Chow, is that an allowance for one consultation every two years to review instructions and proper body mechanics and in a self-directed exercise program is more reasonable at an annual cost of \$300. Dr. Ameis stated that the proposed alternative therapies were "extraordinary and unprecedented" in the context of an amputee. As Ms. Vellone testified, Jessica G has not obtained or sought out any such alternate therapies in the nine years since the injury and there is no suggestion that she has levels of pain that warrant any such therapies, a position supported by Dr. Chow. I find Ms. Kelly's projection to be too high, but Ms. Vellone's to be too low. In the absence of better evidence I would award an allowance at the midpoint.

[511] Occupational Therapy - The life care planners agreed on an annual allowance of \$336 and a one-time cost of \$480 which I would accept.

[512] Case Management - The purpose of case management is to co-ordinate and schedule services equipment and medical appointments. Ms. Kelly suggests case management at 3 hours per month for the first 2 years and then 9 hours per year for the balance of Jessica G's life. Ms. Vellone recommends that more intensive service be provided initially at 24 hours per year of service in the first 2 years with 7 hours per year thereafter. This seems to be a more reasonable position, which I accept based on Ms. Vellone's superior experience with respect to case management for amputees. The cost would be \$3180 X 2 plus \$1060 annually starting May 2010.

[513] Nutritional Consultation – I accept Ms. Kelly's assessment of a need for an initial nine visits to a nutritional consultant so that Jessica G can firmly establish herself, as well as Ms. Vellone's recommendation for an additional annual visit. The initial cost would be \$2950, and the annual cost thereafter not including travel allowance would be \$190.

[514] Transportation Allowance – Ms. Kelly has costed travel time for the case manager to come to Jessica G whereas Jessica G is capable of traveling to the case manager. A mileage allowance for travel to and from service providers on the part of Jessica G should be separately costed and awarded.

[515] Ms. Kelly based her allowance on the assumption that Jessica G would have to travel to Toronto, Oakville, Oshawa, Kingston and Peterborough for medical appointments and based her calculation on the cost of two trips per month to Toronto. Jessica G's current prosthetist is Gary Cockerell and her physiatrist is Dr. John, whose offices are in Oshawa. They will be taking care of most of Jessica's prosthetic and physiatry needs. Jessica G would need to travel to Toronto every three years for fitting of the Dorset cosmesis. Jessica G saw Dr. John, her current psychiatrist, twice between the beginning of 2005 and the commencement of this trial and the clinical notes and records of Mr. Cockerell, her prosthetist since 2005, indicate fewer than six attendances per year even in years where Jessica G was being fitted for new prostheses. I accept Ms. Vellone's assumption of an average of 10 medical appointments per year at a round trip cost to Oshawa, and would add two trips to Toronto annually to provide a reasonable cushion.

[516] Manual Wheelchair, Cushion, Cushion Cover Repairs and Maintenance and Wheelchair Bag - Ms. Vellone agreed with Ms. Kelly with respect to the need for each of these items, but they disagreed on replacement frequency and maintenance costs. Ms. Kelly based her replacement cycle of every five years on the typical wheelchair user who uses a wheelchair continuously. Ms. Vellone costed replacement every 6.5 years to reflect the reduced wear and tear because Jessica G will likely be utilizing the chair and accessories much less than the typical user (she has only used a wheelchair outside of her home on 2 occasions prior to the trial and outdoor use increases wear and tear compared to indoor use). I accept Ms. Vellone's estimate. Ms. Vellone has costed maintenance on the assumption typically applied of 10% of the cost of the chair purchase per year, or \$350.00/annum. Ms. Vellone has also deducted the 75% contribution from ADP for the wheelchair and cushion cover cost. I accept the appropriateness of these calculations.

[517] Scooter, Batteries, Repairs and Maintenance - Ms. Vellone agreed with Ms. Kelly that a scooter may be necessary in the future but said that it is neither necessary nor appropriate until Jessica G reaches the age of 45. This is based on the opinion of Dr. Chow that Jessica G should be encouraged to be as active as possible for as long as possible such that she should be encouraged to use her prosthetics or a manual wheelchair if she cannot use the prosthetics to ensure that she is getting enough exercise to maintain cardiovascular shape and avoid weight gain, which are both particular problems for amputees. Dr. Devlin indicated that the use of a scooter is a "lifestyle" choice but it is a choice that he would not make if he was in Jessica's position or recommend to her for the same reason as Dr. Chow – namely, that once a person gets a scooter, they tend to use it so that its acquisition should be deferred for as long as possible. Although I also expect that Jessica G will not be an avid user, once she gets a scooter she may use it more frequently so I accept the standard 5 year replacement frequency suggested by Ms. Kelly. A 4 year replacement cycle for the battery rather than the 2 years suggested by Ms. Kelly would be more reasonable. I accept Ms. Vellone's estimate of the standard 10% per year allowance for maintenance and repairs.

[518] Clothing Allowance - The life care planners have agreed on an annual allowance of \$500, which I accept.

[519] Bath Bench - The life care planners have agreed on the acquisition cost of \$300 and an annual replacement allowance of \$60, which I accept.

[520] Bath Lift - Ms. Kelly justified this item on the basis that it would be required to access a “Jacuzzi-style, deep bathtub”. Jessica G has prosthetic water limbs which are expressly designed for use in a bathtub and she is mobile and capable of safe transfer in and out of the tub. There is no demonstrated need for this item.

[521] Tempur-pedic Bed - Dr. Ameis agreed with Ms. Vellone and Dr. Chow that there is no medically demonstrated need for such a bed in the case of Jessica G. As the physicians indicated, it would not do anything to relieve the phantom pain. This is consumer decision not related to the injury.

[522] Long Handle Reachers – Utensils/Assistive Devices - The life care planners have agreed on an initial cost of \$500 and an annual replacement allowance of \$50, which I accept.

[523] Wheelchair Kitchen Utility Cart/3 bin Mesh Laundry Sorter/Mesh Bags – Given the modest cost of these items I accept Ms. Kelly’s estimate and recommended replacement cycle.

[524] Lightweight Cordless Vacuum Cleaner - Whereas Ms. Kelly recommended payment for such a vacuum cleaner every 5 years for life, Ms. Vellone only supported the purchase in the first year as thereafter, replacement would be no different than replacing an ordinary vacuum cleaner (ie. it is an alternate choice in the same price range as a traditional vacuum cleaner that is available to any consumer at any store that sells vacuum cleaners). I accept Ms. Vellone’s approach.

[525] Telescoping Duster – I accept Ms. Kelly’s recommendations on this item.

[526] Basic Environmental Controls - The life care planners have agreed that this would help Jessica G conserve energy, at a cost of \$300.

[527] La-Z-Boy Recliner - A La-Z-Boy recliner is an ordinary feature in many homes and is not a special need for an amputee. This is consumer decision not related to the injury.

[528] On-Star - The life care planners have agreed that this is a necessary safety item at \$350 annually.

[529] Vehicle Purchase - The purchase of a vehicle is not an extraordinary expense unique to Jessica G’s circumstances but is a customary and usual cost of living expense. There is no medical necessity for Jessica G to have a vehicle compared to the population generally,

particularly those living in rural and suburban settings such as Norwood, Peterborough and Fort McMurray. I would decline to award the cost of a vehicle.⁹⁰

[530] Vehicle Modifications - The life care planners were in agreement on the need for and cost of vehicle modifications, except for the need for a robot wheelchair retrieval system (as it is only required to lift a scooter and would not be needed to lift a manual wheelchair). Ms. Vellone costed a less expensive wheelchair lift to age 45 on the assumption that the scooter would not be needed until then. Ms. Vellone proposed a replacement cycle of 6 years rather than 5 years to reflect the reduced use of such devices because of Jessica G's mobility and use of prosthetics and relatively lower use of wheelchairs and scooters compared to the typical wheelchair/scooter user. With respect to maintenance, Ms. Vellone proposed an annual allowance of \$300.00 to age 45 to reflect the need for maintenance of the more expensive robot arm only after age 45. I accept Ms. Vellone's adjustments.

[531] Ergonomic Work Station - Ms. Vellone agreed that such a station was required but as the station includes the cost of ergonomic chairs, work tables and cabinets, Ms. Vellone deducted \$700.00 to reflect the cost of such non-ergonomic items, which Jessica G would have had to purchase in any event. I accept this approach.

[532] Laptop Computer Package and Palm Pilot - A computer and internet access are customary and usual costs of living which everyone, especially younger persons such as Jessica G, invariably acquire irrespective of whether they are amputees. This is consumer decision not related to the injury.

[533] Gym Membership/Home Exercise Equipment and Maintenance Allowance - The life care planners agree on the provision and cost of exercise equipment in the home so that Jessica G would have access to it on a daily basis regardless of weather conditions that may render her unable to get out to a gym. Ms. Kelly suggests a gym membership at \$600 annually which Ms. Vellone does not support because it would be duplicative. I am not persuaded that Jessica G would use a gym membership, nor am I persuaded that she would keep it up. Her penchant for hiding her disability suggests that she would not be comfortable in a gym setting. She did not testify on this.

[534] Adapted Recreational Allowance - The life care planners were in agreement with this item which calls for an initial expenditure of \$8,000 and an annual allowance of \$1,000. Ms. Vellone would reduce the annual allowance to \$500.00 from age 40 to age 65 to reflect reduced sports/recreation participation during those years and to zero after age 65 to reflect the reality that Jessica G would likely not be participating in significant sports/recreation after that age in light of her reduced mobility in her later years. Ms. Kelly's evidence that Jessica G should be encouraged to make a lifelong commitment makes her approach better and I would accept it.

⁹⁰ *Plasway v. Abraham*, [1993] B.C.J. No. 172, 38 A.C.W.S. (3d) 82 at para. 153 (S.C.), *Fullerton (Guardian ad litem of) v. Delair*, *supra*, note 86.

[535] Attendant Care - Ms. Kelly suggested 8 hours/day for 28 days a year every year for life. Ms. Vellone disputed that attendant care during periods of illness/injury will be required to the extent suggested by Ms. Kelly. There is no evidence of any such periods of illness or injury in the record. Jessica G would have a wheelchair and her home would be wheelchair accessible, thereby allowing her independent access to her bathroom and the ability to prepare meals from her wheelchair. She also noted that Jessica G is able to reach her residual limbs to treat skin breakdown (and has for the last 9 years) such that she does not help with such care (GG, 70). Ms. Vellone has suggested that it is reasonable to assume that someone will need to come to her home to check on Jessica G over the last 10 years of her life on the basis of 1 visit per day for 2 hours per day for 28 days per year to assist with bathing, meal preparation and clean-up when she may be unable to take care of herself during periods of illness/injury. I accept Ms. Vellone's approach.

[536] Ms. Kelly proposes post-surgery attendant care at 28 days X 16 hours X \$23 X 2 episodes for a cost of \$20,608. The defendant argues that the need for future surgery is entirely speculative, and notes that Jessica G has not undergone any surgery in the 9 years since the initial amputations; there was no evidence led suggesting a substantial possibility of any need for future surgery from any of the plaintiffs' psychiatrists. Ms. Vellone says that there will be one to two episodes over her life, but says the intensity of service is excessive and suggests an allowance of up to \$2576 for two-hour visits over a three to four week period for a total of \$5152. While I acknowledge Ms. Vellone's superior experience working with amputees compared to Ms. Kelly, I would prefer a contingency allowance somewhat larger, so I would set the allowance at the midpoint between the two estimates.

[537] Housekeeping/Seasonable Cleaning/Home Maintenance – Jessica G is able to do housekeeping, but she needs assistance in some areas, including heavy lifting. Ms. Kelly proposed 7 hours/week of housekeeping assistance. Ms. Vellone recommended 2 hours every 2 weeks for heavier vacuuming and floor cleaning increasing to 3 hours every 2 weeks in 2015 and increasing to 3 hours per week at age 50 to reflect Jessica G gradually slowing down and being somewhat less able to do as much housekeeping. This seems to better match Jessica G's current and future homemaking abilities. Both life care planners recognize the need for assistance for seasonal cleaning, but disagree on the allowance. Ms. Vellone suggests an allowance of \$200.00/per year for the next 7 years and then accepts Ms. Kelly's recommendation of \$500.00/per year thereafter. Ms. Vellone based this on Jessica G's age and small living space. This rationale escapes me, and I would adopt Ms. Kelly's recommendation.

[538] Both life care planners recommend an allowance for home maintenance and agree on \$3,500 annually. Given Jessica G's intent to buy a house with the proceeds of this lawsuit there is no rational basis to delay the commencement of a home maintenance allowance for 7-10 years (median of 8.5 years) to reflect when Jessica G would likely be in a position to purchase a home, as Ms. Vellone suggests.

Calculation of Future Losses

[539] In a personal injury action, a successful plaintiff is entitled to money damages paid in a lump sum⁹¹. This lump sum includes an award for future losses, which raises an issue of justice, as the Ontario Law Reform Commission explained:

In determining the present value of future losses, it would be inappropriate for a court simply to assess the plaintiff's annual loss and multiply it by the number of years during which the loss will be suffered. Since the plaintiff will receive the award in respect of the future losses immediately, and will earn interest on it, the amount must be discounted. Otherwise, the plaintiff will be overcompensated at the expense of the defendant.⁹²

[540] Rule 53.09 of the *Rules of Civil Procedure*,⁹³ deals with the discount rate issue. The evolution of the rule has attempted to account for five matters:

1. The rate of interest that the award of damages will earn;
2. The effect of inflation, which would diminish the interest rate and lead to undercompensation if it were not accounted for;
3. The effect of income taxes on the award;
4. The need to avoid wasting trial time in developing evidence related to the first three matters by prescribing the calculation to account for them; and
5. The need to recognize exceptions to the ordinary calculation where the costs or a component of the calculation are expected to increase faster than the ordinary rate of inflation.

Loss of Income and the Discount Rate

[541] The effort began with a prescribed net discount rate of 2.5 per cent in 1984. It was later recognized that in the period from 1980 to 1990, the net discount rate of 2.5 per cent was too low.⁹⁴ The Subcommittee of the Civil Rules Committee on the Discount Rate and Other Matters reported in 1998 that: "There would appear to be a consensus that at some point in the longer

⁹¹ Ontario Law Reform Commission, *Report on Compensation for Personal Injuries and Death* (1987) at 155; S.M.Waddams, *The Law of Damages*, looseleaf, (Aurora, ON: Canada Law Book, 2009) at 3 -1, §3.10.

⁹² Ontario Law Reform Commission, *supra*, note 91 at 219.

⁹³ R.R.O. 1990, Reg. 194.

⁹⁴ *Report of the Subcommittee of the Civil Rules Committee on the Discount Rate and Other Matters*, (February, 1998).

term, it would be appropriate to use a 2.5 per cent discount rate, but there is no consensus as to either the discount rate to be used in the shorter term or the length of that term.”⁹⁵

[542] This was the subject to which the Subcommittee addressed its attention. The solution was to use “real return bonds,” which return a rate of interest in excess of the inflation rate, as the basis for determining the discount rate:

. . . we propose that real return bonds, adjusted as aforesaid, be used to measure the discount rate for an initial period of 15 years. For the subsequent or second-tier period, given that long-term historical data indicates real returns of 2% to 3 %, the existing 2.5 % per year discount rate should be used⁹⁶.

This led to the current wording of Rule 53.09.

[543] The words of the rule contemplate two distinct and separate calculations, the results of which are to be summed in the final award. The first, reflected in Rule 53.09(1) (a), relates to the 15-year period after trial and includes an adjustment of the discount rate to reflect inflation as tracked by the rate of return on real return bonds.

[544] The second calculation, reflected in Rule 53.09(1) (b), relates to any time in the post 15-year period and prescribes a flat discount rate of 2.5 per cent.

[545] Mr. Berenblut was the plaintiffs’ economic consultant. His report calculated Jessica G’s future income loss over the two periods, and considered Jessica G’s retirement age as either 50 or 70 years of age. His report asserted that he did the calculation required by Rule 53.09. At page 7 of Exhibit 49, he noted: “Discount rate of 0.75 per annum for the first 15 years and 2.5 per cent thereafter, in accordance with Rules 53.09 of the *Rules of Civil Procedure* of Ontario was applied to future losses of income.” At page 12, he added a footnote concerning the present value calculation: “Present value of one dollar per annum discounted at 0.75 per cent per annum for the first 15 years and then 2.5 per cent thereafter in accordance with Rule 53.09 of the *Ontario Rules of Civil Procedure* of Ontario (sic).”

[546] Despite these assertions, Mr. Berenblut’s report actually carried out a wholly novel calculation for the post 15-year period, so novel that Mr. Fireman and Mr. Boghosian advised me that there were no cases in which its use had been discussed. Mr. Berenblut, according to Mark Gain, the defendant’s economic consultant, used a blended approach that relies in part upon the calculation for the first 15-year period and in part on the calculation for the post 15-year period, so that the calculations are not separate and distinct.

[547] Perhaps some candour might have permitted a debate on the merits of the innovation. But Mr. Berenblut did not disclose the innovation and did not provide supporting calculations for

⁹⁵ *Ibid*, at page 6.

⁹⁶ *Ibid*, at page 9.

how he computed the present value factors in year 16 and beyond, which should have been provided in the ordinary course. He ought to have explained completely his methodology in the report, but he did not. At the very least, he ought to have provided oral evidence on the matter, but he did not.⁹⁷ In short, his evidence lacked the transparency and candour that the court expects of a qualified expert witness.

[548] Having identified the problem with Mr. Berenblut's calculation, the defendant's economic consultant, Mr. Gain was unable to specify precisely what Mr. Berenblut had done, but he ventured the following explanation:

NERA's [Mr. Berenblut's] interpretation of the long-term rate is that the 2.50 per cent (1.9 per cent for health care amounts) is applicable for year 16 and beyond, but that it should be discounted by the short-term rate for the first 15 years of the discount period for year 16 and beyond. This produced a blended rate that is comprised of the short-term rate for the first 15 years and the long-term rate thereafter. This approach produces a discount rate (assuming the 2.50 per cent rate) in year 16 of 0.8695 per cent.

[549] Mr. Gain testified that the difference between the conventional calculation required by the rule and Mr. Berenblut's approach was about \$500,000.00 in favour of the plaintiff in terms of the lump sum payment.

[550] Mr. Berenblut was not called in reply by the plaintiffs to explain the rationale behind his calculations. I can only assume that his innovation was intended to enhance the plaintiffs' recovery. In doing so, Mr. Berenblut moved decisively from the status of an objective expert witness to the status of an advocate.

[551] I agree with Mr. Gain's observation:

It is our view that, if the intention of Rule 53.09 was as interpreted by NERA [Mr. Berenblut] on the definition of the long-term rate would have been set out in much clearer detail so that it was fully explained how this rate should be calculated. Our interpretation of the rule is that you simply use the discount rate of 2.5 per cent in the period beyond the first 15 years and then apply the normal formula for determining the discount rate.

[552] Mr. Berenblut's methodology is inconsistent with the wording of Rule 53.09. It is not consistent with the spirit of that rule, which the Subcommittee of the Civil Rules Committee on

⁹⁷ I note as well that the methodology Mr. Berenblut used has no support in his own well regarded text: M.K. Berenblut, *Proving Economic Loss*, (Toronto; Thomson-Carswell, 2004) at Chapter 3.

the Discount Rate and Other Matters described as designed to “relieve parties embroiled in litigation of the need to incur the added expense of calling economic and actuarial evidence;” and also described as “the key objective [which] is to minimize the need for litigants to resort to adversarial positions with respect to quantification of future damages.”⁹⁸ Mr. Berenblut’s undisclosed innovation has had the opposite effect in this case.

Gross up for Income Tax

[553] Rule 53.09(2) prescribes the calculation of an amount to be included in the award of the lump sum for future pecuniary loss to offset liability for income tax on income from investment of the award. Mr. Gain accepts Mr. Berenblut’s calculation model for income tax gross up. He then adds: “We understand that the income tax gross up can be avoided through the use of a structured settlement. The nature of this matter with extensive future costs of care together with higher inflation rates for health care expenses would lend itself to this type of settlement should there be significant funding for the plaintiff.”

[554] One of the issues to be addressed later is whether I can and should order a structured settlement in these circumstances.

Health Care Discount Rate

[555] It has been accepted that the discount rate prescribed by rule 53.09(1) can be varied, as suggested in the 1998 Report in its view that real wage growth (also referred to as “productivity”) should be taken into account on the basis of case-by-case evidence rather than incorporated into Rule 53.09 as a constant mandatory rate.⁹⁹

[556] While courts have interpreted Rule 53.09(1) as setting out a mandatory real interest rate, they have varied the discount rate to take into account other factors.¹⁰⁰ There are three cases in which the discount rate was lowered with respect to future health care costs on the strength of testimony by Dr. Peter C. Coyte.¹⁰¹ This interpretation of the Rule is consistent with its specific

⁹⁸ *Report of the Subcommittee of the Civil Rules Committee on the Discount Rate and Other Matters*, *supra*, note 94 at 4.

⁹⁹ *Ibid.* at 15-16.

¹⁰⁰ *Giannone v. Weinberg* (1989), 68 O.R. (2d) 767 at 777-778 (C.A.).

¹⁰¹ *Desbiens v. Mordini*, [2004] O.J. No. 4735, 135 A.C.W.S. (3d) 90 at paras. 375-76 (Sup. Ct.); *Osborne (Litigation Guardian of) v. Bruce (County)*, [1999] O.J. No. 50, 83 O.T.C. 326 at paras. 69-73 (Gen. Div.); *Morrison v. Greig*, [2007] O.J. No. 225, 46 C.C.L.T. (3d) 212 (Sup. Ct.). Several other cases, including the Court of Appeal’s decision in *Martin v. Listowel Memorial Hospital*, [2000] O.J. No. 4015, 51 O.R. (3d) 384, (C.A.) endorse deviation from the prescribed rate to account for evidence of real wage growth. The Court of Appeal also upheld deviation in the face of evidence of costs of professional services increasing faster than the rate of inflation in *Walker v. Ritchie*, *supra*, note 81.

purpose, which is to avoid the need to assess real interest rates on a case-by-case basis and the associated uncertainty, cost, and risk of inconsistency.¹⁰²

[557] Dr. Coyte's evidence was adduced by the plaintiffs. In *Sandhu v. Wellington Place Apartments*, Horkins J. emphasized the need for evidence in each case respecting a disproportionate rise in health care costs in order to justify a departure from the prescribed rate, even in the wake of *Desbiens* and *Osborne*.¹⁰³ This view was upheld by the Court of Appeal.¹⁰⁴ The defendant did not seek to cross-examine Dr. Coyte. There was no contrary evidence. I therefore accept it.

[558] In his report addressed to Mr. Boghosian on past and future cost of care Mr. Gain notes: "You have instructed us to amend the discount rates that are applied to the future costs of care for the medical expenses, rehabilitation equipment and attendant care costs (referred to as the "health care" discount rate) to reflect the higher expected inflation rate as opined by Dr. Coyte." Mr Gain accepts Mr Berenblut's calculation of the health care discount rate, which he describes as follows:

NERA [Mr. Berenblut] has computed the health care discount rate by using the formula prescribed by Rule 53.09 and adjusting it for an increase in [certain] health care expenditures over the general inflation rate by 1% in absolute terms. We agree with the NERA computations that result in a discount factor of negative 0.22% in the first 15 years and 1.49% thereafter.

[559] But, as he did in relation to future income losses, Mr. Berenblut used a blended approach for the calculation of future costs of care. Mr. Gain rejects this approach as being inconsistent with Rule 53.09, and I agree. Mr. Gain's approach should be used in the calculations.

Structured Settlement

[560] The plaintiff has requested that an amount be included in the award of damages to offset any liability for income tax on income from the investment of the award, otherwise known as the "gross up". Under section 116(1) (b) of the *Courts of Justice Act*, I am authorized to make an order for a structured settlement.¹⁰⁵

[561] Considering the criteria in section 116(3), I find that the defendant has sufficient means to fund a structured settlement. Jessica G has not led evidence about a plan or method of

¹⁰² See the covering letter to the 1980 Report at 2-3, the *Report of the Discount Rate and Gross-Up Subcommittee*, 1992 ("1992 Report") at 2-3, and the *Report of the Subcommittee of the Civil Rules Committee on the Discount Rate and Other Matters*, 1998 ("1998 Report") at 4.

¹⁰³ *Sandhu v. Wellington Place Apartments*, [2006] O.J. No. 1577, 147 A.C.W.S. (3d) 612 at para. 29 (Sup. Ct.).

¹⁰⁴ *Sandhu v. Wellington Place Apartments*, [2008] O.J. No. 1148, 2008 ONCA 215.

¹⁰⁵ *Wilson v. Martinello*, (1995), 23 O.R. (3d) 417, [1995] O.J. No. 1397 at para 9 (C.A.); *Roberts v. Morana*, *supra*, note 85 at para 5.

payment that would be better able to meet her interests than a structured settlement. I have no doubt that such a settlement is practicable and is, in fact, in Jessica G's best interests, given her youth and state of health. Mr. Fireman did advance, in a desultory manner, the suggestion that a properly structured trust could obtain the security advantages of a structured settlement, but he provided no details and in my view, the additional expense to the defendant would not be reasonable.

[562] Mr. Fireman has asked that one-third of the total of any award for future income and future care be paid out in the form of cash to enable Jessica G to purchase a new home, furnish it and buy other items. This would be in her best interests; any award of damages should therefore be grossed-up as to one-third of the amount otherwise eligible for a structured settlement.

Conclusion on Damages

[563] As I noted at the outset of this section of the judgment on the subject of damages, the required decisions on the elements of damages are made on the assumption that the defendant is liable, even though I dismissed the case on liability. I have given the parties my findings on the damage calculations, but to complete the calculations I would require access to the experts. While the parties gave me leave to approach the experts on my own, I am reluctant to do so, particularly where the calculations are complex and will require much input, and where disputes may yet arise. I therefore leave it to the parties to complete the calculations based on these reasons, if it proves necessary in the further evolution of this case, given my decision on liability. If issues arise in that effort I may be spoken to.

Costs

[564] Since the case has been dismissed, the defendant Township of Douro-Dummer is entitled to its costs of this action, if demanded. If the parties are not able to agree, I will accept cost submissions not exceeding 10 pages in length from the defendant within 30 days of the date of this judgment, followed by a response not exceeding 10 pages in length from the plaintiffs, within an additional 30 days.

[565] In any cost submissions the parties should address whether it would be appropriate in this case to depart from the normal rule that cost liability is joint and several, particularly in the context of *Family Law Act* claims.¹⁰⁶

" Justice P. Lauwers "

Original Signed

¹⁰⁶ *Baldwin v. Daubney* (2006), 21 B.L.R. (4th) 232, [2006] O.J. No. 3919, [2005] O.T.C. 1047 (Sup. Ct.), *Boyuk v. Loblaw's Supermarkets Ltd.*, [2007] O.J. No. 732, 85 O.R. (3d) 614, (Sup. Ct.); *Walford (Litigation guardian of) v. Jacuzzi Canada Ltd.*, [2005] O.J. No. 5676, 144 A.C.W.S. (3d) 993 (Sup. Ct.).

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